CURRENT ISSUES QB: VERY IMPORTANT

FRM Part II | Book 5, Study Session 15: Current Issues in Financial Markets | Readings 100, 101, 102, 106 (Very Important tier)

Contents. 150 original questions across the four Very Important Current Issues readings: Advances in AI (Capital Markets), Financial Stability Implications of AI, Global Drivers of Private Credit, and Tokenization. Ten questions per learning objective. Built to the Section 5B blueprint with trap patterns modeled on the GARP PE1/PE2 structure. Interleaved format: each question is immediately followed by its full solution. Every wrong option is traceable to a named operator, shown in **ORANGE** in each TRAP block.

Reading	Title	Priority	Questions	Range
Reading 100	Advances in Artificial Intelligence: Implications for Capital Markets	VERY IMPORTANT	40	Q1 to Q40
Reading 101	The Financial Stability Implications of Artificial Intelligence	VERY IMPORTANT	30	Q41 to Q70
Reading 102	The Global Drivers of Private Credit	VERY IMPORTANT	30	Q71 to Q100
Reading 106	Tokenization and Financial Market Inefficiencies	VERY IMPORTANT	50	Q101 to Q150
TOTAL			**150**	**Q1 to Q150**

Status: BUILT, NOT RECALLED. No question counts toward EXAM-READY until answered closed-book. Drill protocol: confidence gate (50/70/90) before checking each answer; sub-90% or any miss triggers full distractor autopsy. Pace: Current Issues is fully qualitative, so target under 2.0 min/question against the 2.5 min budget.

Why this section matters. Current Issues changes completely every year, which means most candidates under-prepare it and most third-party banks under-cover it. Its purely qualitative nature lets GARP span a wide territory of learning objectives with few questions. Treated seriously, it is the highest-return free-point section on the paper.

READING 100: ADVANCES IN ARTIFICIAL INTELLIGENCE: IMPLICATIONS FOR CAPITAL MARKETS

Priority: VERY IMPORTANT | 40 questions | Book 5, Study Session 15

LO 100.a Reading 100

Describe current uses of artificial intelligence (AI) and machine learning (ML) in capital markets, and potential future uses of sophisticated AI models including GenAI.

Q1. Reading 100 | LO 100.a

A senior quantitative analyst at a Singapore-based asset manager is presenting to a group of newly hired analysts on how AI technologies used in capital markets are categorized in the IMF market outreach. Which of the following statements is correct for the analyst to include in the presentation?

(a) Clustering algorithms and decision trees are grouped with sophisticated AI models because they perform predictive analytics.
(b) Large language models, deep learning, and reinforcement learning techniques are grouped in the sophisticated AI category.
(c) Natural language processing is classified as a sophisticated AI model because it works with unstructured text.
(d) Reinforcement learning is an established AI/ML predictive tool, while neural networks belong to the sophisticated AI category.

ANSWER: (b)

CONCEPT TESTED: the two-bucket taxonomy of AI models. Intuition: the split is by generation, not by data type. Established predictive workhorses (NLP, neural networks, decision trees, clustering) sit in the AI/ML bucket; the frontier innovations (LLMs, deep learning, reinforcement learning) sit in the sophisticated bucket.

SOLUTION: (b) is correct. LLMs, deep learning, and reinforcement learning are the three named members of the sophisticated AI category.

OPTION ANALYSIS:
(a) Incorrect. Clustering and decision trees are established AI/ML predictive tools; performing predictive analytics is the defining feature of the AI/ML bucket, not the sophisticated one.
(b) Correct. As established in the solution above.
(c) Incorrect. NLP is explicitly listed in the AI/ML category. Handling unstructured text does not promote a model to sophisticated status.
(d) Incorrect. It reverses the two buckets: reinforcement learning is sophisticated, neural networks are AI/ML.

TRAP:
(a) **SIBLING SWAP**
(c) **SIBLING SWAP** (plausible-sounding classification rule substituted for the actual list)
(d) **SIBLING SWAP** (double reversal)

Book 5, Reading 100, Module 100.1, LO 100.a | Four-statement audit | Qualifier: "correct to include"

Q2. Reading 100 | LO 100.a

A risk consultant summarizing the IMF outreach survey for a client bank in Frankfurt lists benefits that respondents attributed to AI and ML adoption in capital markets. Which listed benefit is most consistent with the survey findings?

(a) Wider bid-ask spreads resulting from faster and more frequent quoting.
(b) Improved processing and analysis of structured data held in relational databases.

(c) Cost savings in the design and execution of trading algorithms.
(d) Relatively low fixed implementation costs that let smaller firms adopt AI rapidly.

ANSWER: (c)

CONCEPT TESTED: the four survey-identified benefits: productivity/efficiency, unstructured-data processing, narrower bid-ask spreads, and algo design/execution cost savings. Intuition: AI compresses frictions (spreads, costs) and unlocks messy data.

SOLUTION: (c) is correct. Cost savings in trading algorithm design and execution is one of the four named benefits.

OPTION ANALYSIS:
(a) Incorrect. Respondents cited NARROWER (more compressed) spreads. Wider spreads reverses the direction.
(b) Incorrect. The cited benefit is processing UNSTRUCTURED data; structured relational data is the near-neighbor input.
(c) Correct. As established in the solution above.
(d) Incorrect. AI implementation involves HIGH fixed costs, which is why smaller firms outsource; the option reverses the cost structure.

TRAP:
(a) **POLARITY FLIP**
(b) **WRONG INPUT TWIN**
(d) **POLARITY FLIP**

Book 5, Reading 100, Module 100.1, LO 100.a | Two-answer trap (finalists B vs C) | Qualifier: "most consistent"

Q3. Reading 100 | LO 100.a

A CRO at a mid-sized European asset manager is mapping expected AI benefits onto the four functional categories identified in the reading: institution/client profiling, asset allocation, trading, and risk management. Which pairing is most appropriate?

(a) Trading: deriving actionable signals from alternative and unstructured data sources.
(b) Asset allocation: minimizing market impact and supporting more effective price discovery.
(c) Risk management: streamlining compliance monitoring and enabling dynamic risk sensing.
(d) Institution/client profiling: developing advanced risk scenarios tailored to each client.

ANSWER: (c)

CONCEPT TESTED: which benefit belongs to which functional category. Intuition: profiling = know the client; allocation = pick assets and derive signals; trading = execute cheaply (market impact, price discovery); risk management = monitor, comply, sense.

SOLUTION: (c) is correct. Compliance monitoring, tailored risk insights, advanced risk scenarios, and dynamic risk sensing are the risk management benefits.

OPTION ANALYSIS:
(a) Incorrect. Deriving signals from alternative and unstructured data is an ASSET ALLOCATION benefit, not a trading one.
(b) Incorrect. Minimizing market impact and aiding price discovery are TRADING (order placement and execution) benefits.
(c) Correct. As established in the solution above.
(d) Incorrect. Advanced risk scenarios belong to risk management; profiling is about identifying objectives, preferences, and constraints.

TRAP:
(a) **ROLE MISASSIGNMENT**
(b) **ROLE MISASSIGNMENT**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 100, Module 100.1, LO 100.a | Four-statement audit, category-matching | Qualifier: "most appropriate"

Q4. Reading 100 | LO 100.a

A portfolio manager at a Hong Kong hedge fund tells the investment committee where AI-driven value creation should be pursued first. According to the IMF survey findings, which recommendation is most consistent with where AI value creation is currently most promising?

(a) Commercial real estate, because scarce transaction data gives AI models the largest informational edge.
(b) Listed equities and exchange-traded derivatives, because dynamic, liquid markets let AI systems continuously learn and adapt.
(c) Private equity funds, because long holding periods give models more time to train on each position.
(d) Private credit, because the survey identified it as the segment where AI adoption is already most advanced.

ANSWER: (b)

CONCEPT TESTED: the liquidity-adoption link. Intuition: AI learns from flow; the more dynamic and liquid the market, the faster it adapts. Hence liquid public markets (equities, listed derivatives, government bonds, FX) lead, and the survey found a strong correlation between market liquidity and AI adoption among investment managers.

SOLUTION: (b) is correct. Value creation is most promising in liquid asset classes traded in public markets.

OPTION ANALYSIS:
(a) Incorrect. Illiquid, data-scarce markets offer FEWER opportunities for AI, not the greatest edge.
(b) Correct. As established in the solution above.
(c) Incorrect. Same defect: private equity is illiquid, and holding period length is not the adoption driver, liquidity is.
(d) Incorrect. Private credit is flagged as a FUTURE opportunity alongside emerging markets, not the currently most advanced segment.

TRAP:

(a) **POLARITY FLIP**
(c) **POLARITY FLIP** (with a plausible invented mechanism)
(d) **SCOPE/CONDITION ERROR** (future opportunity promoted to current state)

Book 5, Reading 100, Module 100.1, LO 100.a | Two-answer trap (finalists B vs D) | Qualifier: "most consistent... currently"

Q5. Reading 100 | LO 100.a

A newly hired analyst at a Toronto brokerage claims that sophisticated AI has effectively replaced human traders at major institutions. Her supervisor corrects her. Which statement best describes the current state of AI use in trading and investment decision execution?

(a) Fully autonomous AI trading agents now execute most institutional trades without human intervention.

(b) Sophisticated AI is mainly used to generate signals that serve as inputs to existing systems, with human traders making the final decisions.

(c) Human involvement is retained only in emerging markets, where regulation prohibits autonomous execution.

(d) AI remains confined to back-office functions and plays no role in generating trading signals.

ANSWER: (b)

CONCEPT TESTED: the human-in-the-loop principle. Intuition: AI is the co-pilot producing signals; the human still lands the plane. Survey respondents stressed that humans must remain in the loop, understand AI-generated strategies, and manage regulatory and ethical risks.

SOLUTION: (b) is correct. AI use in decision execution is at an early stage; sophisticated AI generates inputs, humans decide.

OPTION ANALYSIS:
(a) Incorrect. It promises full autonomy that does not exist; fully autonomous agents operating without human intervention are explicitly what current practice is NOT.
(b) Correct. As established in the solution above.
(c) Incorrect. Human oversight is a general market practice and expectation, not a constraint confined to emerging markets.
(d) Incorrect. It over-restricts in the other direction: signal generation is precisely where sophisticated AI IS being used.

TRAP:
(a) **ABSOLUTE-CLAIM TRAP**
(c) **SCOPE/CONDITION ERROR**
(d) **POLARITY FLIP** (understates rather than overstates)

Book 5, Reading 100, Module 100.1, LO 100.a | Four-statement audit | Qualifier: "best describes"

Q6. Reading 100 | LO 100.a

A compliance officer at a global systemically important bank is preparing a briefing that distinguishes supervisory technology (SupTech) from regulatory technology (RegTech). Which statement is correct to include in the briefing?

(a) SupTech refers to AI tools that banks adopt to strengthen their own compliance management.

(b) RegTech tools are used by supervisory authorities to detect anomalies in large datasets across institutions.

(c) SupTech tools help supervisors monitor institutions and markets, detect anomalies in large datasets, and support regulatory compliance.

(d) SupTech and RegTech both refer exclusively to tools deployed by public authorities; banks use neither.

ANSWER: (c)

CONCEPT TESTED: the SupTech/RegTech sibling pair. Intuition: SUPervisors use SupTech to watch the market; REGulated banks use RegTech to comply. The prefix names the user.

SOLUTION: (c) is correct. SupTech is the supervisor-side toolkit: monitoring institutions and markets, anomaly detection, compliance support.

OPTION ANALYSIS:
(a) Incorrect. Bank-side compliance tools are RegTech. Right function, wrong actor.
(b) Incorrect. Mirror image of A: supervisor-side anomaly detection is SupTech.
(c) Correct. As established in the solution above.
(d) Incorrect. Banks are increasingly adopting RegTech, so "exclusively public authorities" overextends.

TRAP:
(a) **ROLE MISASSIGNMENT** / **SIBLING SWAP**
(b) **SIBLING SWAP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 100, Module 100.1, LO 100.a | Four-statement audit | Confusables Registry pair: SupTech vs RegTech, differs by: WHO deploys it (supervisor vs regulated bank)

Q7. Reading 100 | LO 100.a

A treasury analyst at a Sydney investment bank drafts four statements on AI cost dynamics and market concentration for an internal strategy report. Which statement is correct?

(a) Advances in computing hardware and algorithmic efficiency have reduced unit training costs, but rising model complexity has driven overall costs higher.

(b) Falling unit training costs have lowered overall AI implementation costs, reducing barriers to entry for smaller firms.

(c) Firms with extensive access to trading and client data face a competitive disadvantage because of the governance burden that data imposes.

(d) Development of foundational AI models is evenly distributed across regions, with no clear country-level leader.

ANSWER: (a)

CONCEPT TESTED: the unit-cost vs overall-cost distinction and its concentration consequence. Intuition: each brick got cheaper, but the buildings got much bigger. High fixed costs concentrate the market among a few developers and data-rich incumbents.

SOLUTION: (a) is correct. Unit costs down (hardware, algorithmic efficiency), overall costs up (complexity), which favors large players.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. It extends the unit-cost decline to overall costs; overall costs rose, sustaining high barriers.
(c) Incorrect. Data-rich firms are MORE likely to retain competitive advantage and reinforce concentration, not less.
(d) Incorrect. North America clearly leads in foundational model development; "evenly distributed" erases a stated fact.

TRAP:
(b) **SCOPE/CONDITION ERROR** (true premise, overextended conclusion)
(c) **POLARITY FLIP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 100, Module 100.1, LO 100.a | Four-statement audit | Qualifier: "correct" | Polarity-sensitive: unit cost DOWN, overall cost UP

Q8. Reading 100 | LO 100.a

During a client seminar, a wealth-management director describes established AI-driven applications available to investors. Which statement is most accurate?

(a) AI-powered ETFs now represent a dominant share of the overall ETF market.

(b) Robo-advisory assets under management have grown significantly, while AI-powered ETFs still represent a relatively small share of the market.

(c) Robo-advisors emerged only after the introduction of large language models.

(d) AI-powered ETFs are funds that concentrate their holdings in AI-sector technology companies.

ANSWER: (b)

CONCEPT TESTED: the maturity contrast between robo-advisors and AI-powered ETFs. Intuition: the advice channel scaled; the AI-as-portfolio-manager channel is still a niche.

SOLUTION: (b) is correct. Robo AUM has grown significantly; AI-powered ETFs remain a small market share.

OPTION ANALYSIS:
(a) Incorrect. Reverses the stated size relationship.
(b) Correct. As established in the solution above.
(c) Incorrect. Robo-advisors and AI ETFs have been in use for quite some time, predating the LLM wave.
(d) Incorrect. In an AI-powered ETF, the AI system BUILDS and ADJUSTS the portfolio; it is not a thematic bet on AI stocks. Definition of the vehicle swapped for its near-namesake.

TRAP:
(a) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR** (timeline compressed)
(d) **SIBLING SWAP**

Book 5, Reading 100, Module 100.1, LO 100.a | Four-statement audit | Qualifier: "most accurate"

Q9. Reading 100 | LO 100.a

An analyst at a Brazilian asset manager proposes training investment models on AI-generated synthetic data because local market data is limited. The head of research will approve the proposal only with an accurate benefit-and-caveat pairing. Which pairing is most appropriate?

(a) Synthetic data can support model training where data availability is limited, AND its main risk is that it always underrepresents tail values.

(b) Synthetic data can support model training where data availability is limited, AND its key risks are amplification of biases and over- or underrepresentation of values in real-world distributions.

(c) Synthetic data eliminates model bias entirely, AND its main drawback is higher data storage cost.

(d) Synthetic data can support model training where data availability is limited, AND its main risk is transmitting shocks from advanced economies to emerging markets.

ANSWER: (b)

CONCEPT TESTED: the two stated caveats of synthetic data. Intuition: a photocopy of a photocopy: whatever tilt exists in the original gets darker, and the copy can distort which values appear how often, in either direction.

SOLUTION: (b) is correct. The two considerations are (1) bias amplification and (2) over- OR underrepresentation of values relative to real-world distributions.

OPTION ANALYSIS:
(a) Incorrect. First half right, second half narrows a two-sided risk to one side ("always underrepresents").
(b) Correct. As established in the solution above.
(c) Incorrect. "Eliminates bias entirely" is the opposite of the amplification risk, and storage cost is invented.
(d) Incorrect. Shock transmission from advanced economies is a separate, lesser AI stability concern; it has nothing to do with synthetic data.

(a) true fact attached to the wrong concept.

TRAP:
(a) **SCOPE/CONDITION ERROR** + **ABSOLUTE-CLAIM TRAP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SIBLING SWAP**

Book 5, Reading 100, Module 100.1, LO 100.a | Two-part conjunction format (5B.5): both halves must be right | Qualifier: "most appropriate"

Q10.

Reading 100 | LO 100.a

A strategist at a market infrastructure firm reviews recent trends in AI-related patent filings as an indicator of where innovation is heading. Which observation is most consistent with the trends described in the reading?

(a) Recent algorithmic and high-frequency trading filings focus on computing trading signals with high throughput and low latency.

(b) Asset management patent filings have declined in volume as the field has matured.

(c) Patent filings in high-frequency trading have shifted away from referencing AI and ML technologies.

(d) Asset management filings focus mainly on low-latency signal computation, while trading filings focus on automating asset class rebalancing.

ANSWER: (a)

CONCEPT TESTED: patent-trend facts as an innovation indicator. Intuition: trading patents chase SPEED (throughput, latency); asset management patents chase AUTOMATION (rebalancing, liquidity management, forecasting, tailored capital requirements).

SOLUTION: (a) is correct. Recent algo/HFT filings target high-throughput, low-latency signal computation and platform efficiency.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Asset management filings have INCREASED in volume.
(c) Incorrect. There has been a significant RISE in AI/ML-referencing filings in algo and HFT contexts.
(d) Incorrect. Swaps the two domains' patent themes with each other.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **SIBLING SWAP** (speed themes vs automation themes exchanged)

Book 5, Reading 100, Module 100.1, LO 100.a | Four-statement audit | Qualifier: "most consistent"

LO 100.b Reading 100

Explain the implications of further adoption of AI on market dynamics.

Q11.

Reading 100 | LO 100.b

A supervisor at a national financial regulator is assessing which class of institutions is best positioned to benefit from further AI adoption. Which statement is most accurate?

(a) Large banks are best positioned, because stricter regulation forces them to build superior data infrastructure.

(b) Nonbank financial institutions are well positioned given their agility and less restrictive operating environments, and they hold more than half of global financial market assets.

(c) Nonbank financial institutions hold under a quarter of global financial market assets, which limits the systemic relevance of their AI adoption.

(d) Large banks' legacy infrastructure accelerates AI integration because their systems are already centralized.

ANSWER: (b)

CONCEPT TESTED: the NBFI-vs-bank AI adoption asymmetry. Intuition: speedboats vs tankers. NBFIs are agile and lightly constrained; banks drag legacy systems and heavier regulation.

SOLUTION: (b) is correct. Both halves are stated facts: NBFI agility/lighter constraints, and their >50% share of global financial market assets.

OPTION ANALYSIS:
(a) Incorrect. Stricter regulatory constraints are cited as a CHALLENGE for banks, not a data advantage.
(b) Correct. As established in the solution above.
(c) Incorrect. Understates the NBFI asset share (more than half, not under a quarter), gutting the systemic argument.
(d) Incorrect. Legacy infrastructure is a headwind for banks, not an accelerator.

TRAP:
(a) **POLARITY FLIP**
(c) **POLARITY FLIP** (magnitude reversed)
(d) **POLARITY FLIP**

Book 5, Reading 100, Module 100.2, LO 100.b | Four-statement audit | Role-sensitive: NBFIs gain, banks lag

Q12.

Reading 100 | LO 100.b

A junior analyst at a US broker-dealer is asked to rank US asset classes by the share of trading activity accounted for by algorithmic trading, from largest to smallest. Which ranking is correct?

(a) Equities > futures > options > fixed income.
(b) Futures > equities > fixed income > options.
(c) Equities > options > futures > fixed income.
(d) Fixed income > equities > futures > options.

ANSWER: (a)

CONCEPT TESTED: the US algo trading penetration ladder. Anchor the four numbers: equities roughly 70%, futures over 50%, options over 40%, fixed income under 10%. Intuition: the more standardized and exchange-traded the product, the more algorithmic it is; fragmented OTC bond markets sit at the bottom.

SOLUTION: (a) is correct. 70% > 50%+ > 40%+ > <10%.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Promotes futures above equities and fixed income above options.
(c) Incorrect. Swaps the middle pair (options and futures), the discrimination GARP would actually test.
(d) Incorrect. Puts the least-penetrated class first.

TRAP:
(b) **SIBLING SWAP** (adjacent ranks exchanged)
(c) **SIBLING SWAP**
(d) **POLARITY FLIP** (ranking inverted at the top)

Book 5, Reading 100, Module 100.2, LO 100.b | Ranking format (5B.4): the shortcut is knowing equities top and fixed income bottom; only C survives to the middle-pair test

Q13.

Reading 100 | LO 100.b

During a stress episode, a market surveillance officer at a derivatives exchange observes shifts in order behavior consistent with the "flighty liquidity under stress" pattern described in the reading. Which combination is she most likely observing?

(a) High-frequency traders increase order cancellations; institutional investors reduce their use of hidden orders.
(b) High-frequency traders reduce order cancellations; institutional investors increase their use of hidden orders.
(c) High-frequency traders reduce order cancellations; institutional investors reduce their use of hidden orders.
(d) High-frequency traders increase order cancellations; institutional investors increase their use of hidden orders.

ANSWER: (b)

CONCEPT TESTED: the signature two-actor behavioral shift under stress. Intuition: HFTs cancel less because they have stepped back, there is less standing activity to cancel; institutions hide more to avoid moving a thin market. Both moves drain visible liquidity.

SOLUTION: (b) is correct. Cancellations DOWN (HFT withdrawal), hidden orders UP (institutional concealment).

OPTION ANALYSIS:
(a) Incorrect. Both directions reversed.
(b) Correct. As established in the solution above.
(c) Incorrect. HFT half right, institutional half flipped.
(d) Incorrect. Institutional half right, HFT half flipped; intuitively seductive because "panic = more cancellations."

TRAP:
(a) **POLARITY FLIP** (double)
(c) **POLARITY FLIP** (hidden orders rise, not fall)
(d) **POLARITY FLIP** (cancellations fall as HFTs withdraw)

Book 5, Reading 100, Module 100.2, LO 100.b | 2x2 combination grid, both cells polarity-sensitive | Known GARP-style template (mirrors Schweser Module Quiz 100.2 Q2 structure)

Q14.

Reading 100 | LO 100.b

While reviewing the stress-behavior evidence above, a newly hired analyst asks what hidden orders actually are. Which response best describes hidden orders and why institutional investors use them?

(a) Orders partially or fully concealed from the order book, used to limit price impact.
(b) Orders automatically cancelled when volatility breaches preset limits, used to cap losses during stress.
(c) Orders visible only to the exchange operator, used to satisfy large-trader reporting requirements.
(d) Orders concealed from other venues but fully displayed on the home exchange, used to prevent cross-market arbitrage.

ANSWER: (a)

CONCEPT TESTED: the definition and purpose of hidden orders. Intuition: a large buyer whispering instead of shouting, so the market does not move against them before they finish.

SOLUTION: (a) is correct. Hidden orders are partially or fully concealed from the order book to limit price impact, and their use rises in low-liquidity conditions.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Describes automatic risk-control shutdowns/trading limits, the neighboring mechanism in the same module.
(c) Incorrect. Reporting-driven visibility is a regulatory construct, not the hidden-order mechanism; concealment is from the ORDER BOOK, for price impact, not for compliance.

(d) Incorrect. Invents a cross-venue display rule; concealment is on the book itself.

TRAP:
(b) **SIBLING SWAP**
(c) **ROLE MISASSIGNMENT** (purpose reassigned to the regulator)
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 100, Module 100.2, LO 100.b | Definition audit | Qualifier: "best describes"

Q15.

Reading 100 | LO 100.b

The risk committee of a proprietary trading firm in London is reviewing the market-stability effects of the risk controls embedded in its algorithmic trading systems. Which statement is correct for the committee's report?

(a) Automatic shutdowns during high-volatility periods always stabilize markets by removing destabilizing order flow.

(b) Protective mechanisms such as risk reduction and automatic shutdowns can create feedback loops, trigger trading limits, and drain liquidity under stress.

(c) A firm's risk controls affect only that firm's positions and cannot transmit stress across the wider market.

(d) Trading limits bind mainly in normal conditions and are automatically relaxed during stress to preserve liquidity.

ANSWER: (b)

CONCEPT TESTED: the paradox that safety mechanisms can destabilize. Intuition: if every car slams the brakes at once, the highway itself seizes. Individually prudent shutdowns can collectively drain liquidity.

SOLUTION: (b) is correct. Risk controls associated with algorithmic trading can sometimes REDUCE market stability under stress via feedback loops, triggered limits, and liquidity drains.

OPTION ANALYSIS:
(a) Incorrect. "Always stabilize" reverses the caution and overclaims.
(b) Correct. As established in the solution above.
(c) Incorrect. The whole point is the externality: individual controls interact to move the market. "Cannot transmit" is categorical and wrong.
(d) Incorrect. Limits trigger IN stress; the option inverts when they bind.

TRAP:
(a) **POLARITY FLIP** + **ABSOLUTE-CLAIM TRAP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **POLARITY FLIP**

Book 5, Reading 100, Module 100.2, LO 100.b | Four-statement audit | Qualifier: "correct"

Q16.

Reading 100 | LO 100.b

An academic consultant reviews two decades of evidence on algorithmic trading and price behavior for a securities regulator. Which summary is most accurate?

(a) Algorithmic trading has helped reduce price swings unrelated to new information under normal liquidity conditions, but has been associated with occasional large price swings in illiquid or stressed environments.

(b) Algorithmic trading amplifies non-news price swings in normal conditions and dampens them in stressed conditions.

(c) Algorithmic trading has slowed the speed at which prices incorporate new information across all conditions.

(d) The evidence shows no measurable effect of algorithmic trading on price behavior in either regime.

ANSWER: (a)

CONCEPT TESTED: the regime-dependent price effect. Intuition: a thermostat that works beautifully in mild weather but can overshoot in a storm. Calm markets: noise suppressed. Stressed/illiquid markets: occasional large swings.

SOLUTION: (a) is correct. Both regime-specific findings stated with the right signs.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two regimes' effects.
(c) Incorrect. Faster processing of information is a core algo benefit; "slowed" reverses it, and "all conditions" overextends.
(d) Incorrect. (a) null finding contradicts documented effects in both regimes.

TRAP:
(b) **POLARITY FLIP** (regime-wise reversal)
(c) **POLARITY FLIP** + **SCOPE/CONDITION ERROR**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 100, Module 100.2, LO 100.b | Four-statement audit | Polarity-sensitive: dampens noise NORMALLY, amplifies swings in STRESS

Q17.

Reading 100 | LO 100.b

A macro economist studies equity market responses to the release of FOMC minutes before and after the introduction of large language models. Which observation is most consistent with the reading?

(a) Initial market reactions now more accurately reflect the eventual market impact than they did before LLMs were introduced.

(b) Initial reactions have become noisier, diverging further from the eventual market impact.

(c) Reactions have become slower because models wait for the full text to be parsed before trading.

(d) Reactions are unchanged because central bank minutes are structured data that older systems already handled well.

ANSWER: (a)

CONCEPT TESTED: the "faster market reactions to news" dynamic, with FOMC minutes as the documented example. Intuition: the market's first guess has gotten closer to its final answer because machines read the whole document instantly.

SOLUTION: (a) is correct. Post-LLM, initial reactions better anticipate eventual impact.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the accuracy finding.
(c) Incorrect. Speed increased, not decreased.
(d) Incorrect. Minutes are text, the canonical UNSTRUCTURED input that LLMs unlocked; calling them structured misidentifies the input class.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **WRONG INPUT TWIN**

Book 5, Reading 100, Module 100.2, LO 100.b | Four-statement audit | Qualifier: "most consistent"

Q18.

Reading 100 | LO 100.b

A fund analyst compares turnover across ETFs following AI-driven, conventional active, and passive strategies, and considers what the turnover pattern implies for market stability. Which pairing of finding AND implication is most appropriate?

(a) AI-driven ETFs show significantly higher turnover, AND their elevated trading volumes can amplify volatility and instability in stressed conditions.
(b) AI-driven ETFs show significantly higher turnover, AND elevated volumes stabilize prices in all market conditions.
(c) AI-driven ETFs show lower turnover because models minimize transaction costs, AND this dampens price discovery.
(d) AI-driven ETFs show significantly higher turnover, AND this impairs price discovery in stable markets.

ANSWER: (a)

CONCEPT TESTED: the procyclical-volume dynamic. Intuition: a hyperactive trader is useful in a calm bazaar (more quotes, better prices) and dangerous in a stampede. Volume helps price discovery in stable markets, amplifies volatility in stressed ones.

SOLUTION: (a) is correct. Higher turnover is the finding; stress-state amplification is the implication.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Right finding, wrong implication: "stabilizes in all conditions" drops the regime dependence.
(c) Incorrect. Reverses the turnover finding, then attaches a fabricated mechanism.
(d) Incorrect. Right finding, but flips the stable-market effect: elevated volume SUPPORTS price discovery when markets are stable.

TRAP:
(b) **SCOPE/CONDITION ERROR** + **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP** (regime effect reversed)

Book 5, Reading 100, Module 100.2, LO 100.b | Two-part conjunction (5B.5): number-plus-statement pairing discipline

Q19.

Reading 100 | LO 100.b

A market-integrity team studies theoretical models that simulate interactions among AI trading algorithms. Which conclusion is supported by that work as described in the reading?

(a) Persistent gaps between fundamental values and market prices can arise, particularly when one algorithm holds a strategic advantage, creating scope for manipulation or unintended collusion.
(b) Collusion requires explicit human coordination and therefore cannot emerge among interacting algorithms.
(c) Price gaps between fundamentals and market prices close faster when a single algorithm dominates the market.
(d) Simulated inefficiencies appear only in illiquid over-the-counter markets.

ANSWER: (a)

CONCEPT TESTED: AI-interaction inefficiencies. Intuition: two navigation apps routing all cars can settle into a jointly profitable but socially bad equilibrium without ever "agreeing" to it. Collusion can be emergent, not negotiated.

SOLUTION: (a) is correct. Persistent fundamental-price gaps under strategic advantage, with manipulation or UNINTENDED collusion as the risk.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The whole warning is that collusion can be unintended and algorithmic; requiring human coordination denies the mechanism.
(c) Incorrect. Strategic dominance is the condition under which gaps PERSIST, not close faster.
(d) Incorrect. The simulations concern algorithm interactions generally; restricting them to illiquid OTC markets invents a domain limit.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**

(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 100, Module 100.2, LO 100.b | Four-statement audit | Qualifier: "supported by"

Q20. Reading 100 | LO 100.b

The head of electronic trading at a Tokyo dealer evaluates the case for integrating GenAI into the firm's algorithmic trading stack. Which statement best describes the expected benefits?

(a) GenAI lowers barriers to entry through improved testing, coding, and trade automation, and helps extend automated trading across diverse asset classes by processing complex text-based data.

(b) GenAI raises barriers to entry because it requires proprietary exchange data unavailable to most firms.

(c) GenAI's benefits are concentrated in fixed income, where algorithmic penetration is already the highest of any asset class.

(d) GenAI removes the need for standardized risk analyses across asset classes.

ANSWER: (a)

CONCEPT TESTED: GenAI's role in algorithmic trading. Intuition: GenAI is the translator and toolsmith: it writes and tests code cheaply and reads messy text, so smaller players can enter and more asset classes become automatable.

SOLUTION: (a) is correct. Lower barriers (testing, coding, automation) plus cross-asset expansion via text processing.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Direction reversed: GenAI LOWERS barriers to entry.
(c) Incorrect. Fixed income has the LOWEST algorithmic penetration (under 10%), not the highest. (a) wrong fact smuggled in as a premise.
(d) Incorrect. GenAI ENABLES more standardized risk analyses; "removes the need" reverses its contribution.

TRAP:
(b) **POLARITY FLIP**
(c) **SIBLING SWAP** (asset-class fact from the opposite end of the ranking)
(d) **POLARITY FLIP**

Book 5, Reading 100, Module 100.2, LO 100.b | Four-statement audit | Qualifier: "best describes"

LO 100.c Reading 100

Explain the implications of further adoption of AI on financial stability.

Q21. Reading 100 | LO 100.c

A CRO briefing the board distinguishes the PRINCIPAL financial stability concerns identified by IMF survey respondents from the lesser ones. Which of the following was identified as a principal concern?

(a) Customer fraud enabled by AI tools.

(b) Data access and unauthorized use of data.

(c) Concentration risk from strategies built on open-source AI models trained on data from a limited group of vendors.

(d) Transmission of economic shocks from advanced economies to emerging markets, heightening capital flow volatility.

ANSWER: (c)

CONCEPT TESTED: the principal-vs-lesser concern split. Intuition: the headline worries are structural (concentration, fragility, hallucination/explainability, manipulation, fixed costs); the footnote worries are conduct and spillover items (data misuse, fraud, shock transmission).

SOLUTION: (c) is correct. Concentration risk, including vendor concentration, was a principal concern.

OPTION ANALYSIS:
(a) Incorrect. Customer fraud is on the LESSER concerns list.
(b) Incorrect. Data access and unauthorized use is also a lesser concern.
(c) Correct. As established in the solution above.
(d) Incorrect. Shock transmission to emerging markets is the third lesser concern. All three distractors are TRUE concerns placed in the wrong tier; the discrimination is the tier, not the truth.

TRAP:
(a) **SIBLING SWAP** (tier swap)
(b) **SIBLING SWAP** (tier swap)
(d) **SIBLING SWAP** (tier swap)

Book 5, Reading 100, LO 100.c | Tier-discrimination audit | Qualifier: "principal" carries the whole question

Q22. Reading 100 | LO 100.c

A risk analyst is tagging survey concerns with their correct labels. The concern that excess volatility, flash crashes, illiquidity, cyberattacks, and large-scale data poisoning could arise from ineffective guardrails and rapid automated decision-making is best described as:

(a) Concentration risk.

(b) Market fragility risk.

(c) Opacity risk.

(d) Market manipulation risk.

ANSWER: (b)

CONCEPT TESTED: the risk-label taxonomy. Intuition: fragility = the market glass shatters under shock (volatility, crashes, illiquidity, attacks); concentration = too few pillars; opacity = cannot see inside; manipulation = someone deliberately distorts.

SOLUTION: (b) is correct. That cluster (volatility, flash crashes, illiquidity, cyberattacks, data poisoning under weak guardrails) defines market fragility, which also includes the shortage of professionals with AI expertise.

OPTION ANALYSIS:
(a) Incorrect. Concentration is about dependence on a limited number of vendors/models/providers.
(b) Correct. As established in the solution above.
(c) Incorrect. Opacity is the transparency loss as activity shifts to NBFIs and models resist explanation.
(d) Incorrect. Manipulation is deliberate misuse (misinformation, deepfakes), not stress-driven breakdown. Cyberattack overlap is the bait; the stem's driver is ineffective guardrails plus speed, not intent.

TRAP:
(a) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 100, LO 100.c | Label-matching template | Confusables cluster: concentration vs fragility vs opacity vs manipulation

Q23.

Reading 100 | LO 100.c

In a model risk committee meeting, a member asks why model hallucinations and lack of explainability were flagged as financial stability concerns rather than mere usability problems. Which explanation is most accurate?

(a) They could undermine market confidence in AI-generated outputs, making it more difficult for participants to rely on automated systems.
(b) They directly increase minimum regulatory capital requirements for market risk.
(c) They are a concern only for open-source models, where training data cannot be audited.
(d) They primarily raise the fixed costs of AI implementation for smaller firms.

ANSWER: (a)

CONCEPT TESTED: the mechanism attached to the hallucination/explainability concern. Intuition: a market that cannot trust its instruments stops using them, or worse, uses them blindly. The channel is CONFIDENCE.

SOLUTION: (a) is correct. The stated channel is eroded confidence in AI outputs and reduced ability to rely on automated systems.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. No direct capital-requirement channel is stated; this imports a regulatory mechanism from elsewhere in the curriculum.
(c) Incorrect. The concern is not restricted to open-source models.
(d) Incorrect. High fixed costs are a SEPARATE named concern; attaching them here merges two list items.

TRAP:
(b) **SCOPE/CONDITION ERROR**
(c) **SCOPE/CONDITION ERROR** ("only" narrows a general concern)
(d) **SIBLING SWAP**

Book 5, Reading 100, LO 100.c | Mechanism audit | Qualifier: "most accurate"

Q24.

Reading 100 | LO 100.c

A board member at an international bank asks where most reported AI-related cyber incidents have occurred and why. Which response is most accurate?

(a) Emerging markets, because weaker cyber defenses attract the most attackers.
(b) Advanced economies, because they have been the earliest and heaviest adopters of AI.
(c) Incidents are evenly distributed across regions because cyberattacks are borderless.
(d) Emerging markets, because high fixed costs prevent them from investing in cyber defenses.

ANSWER: (b)

CONCEPT TESTED: the geography of reported cyber incidents. Intuition: the burglars go where the houses are. Attack surface follows adoption, and adoption is concentrated in advanced economies.

SOLUTION: (b) is correct. Most reported incidents are in advanced economies because adoption started there and runs deepest.

OPTION ANALYSIS:
(a) Incorrect. Plausible general intuition, but it contradicts the stated adoption-driven pattern.
(b) Correct. As established in the solution above.
(c) Incorrect. "Evenly distributed" flattens a stated concentration.
(d) Incorrect. Recycles a true fact (high fixed costs burden emerging markets) to support the wrong geography.

TRAP:
(a) **POLARITY FLIP** (geography reversed via an appealing mechanism)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SIBLING SWAP** (true premise, wrong conclusion)

Book 5, Reading 100, LO 100.c | Two-answer trap (finalists A vs B for candidates using intuition over the reading)

Q25. Reading 100 | LO 100.c

A financial stability analyst maps the channel through which AI-enabled cyber threats (audio/video impersonations, deepfakes, misinformation on social media) could threaten systemic stability. Which description of the transmission channel is most appropriate?

(a) They erode confidence in financial institutions, potentially triggering market selloffs and/or deposit runs.

(b) They directly deplete institutions' regulatory capital through operational loss events.

(c) They cause losses confined to the targeted institution, with no systemic spillover.

(d) They affect primarily crypto asset markets, where verification infrastructure is weakest.

ANSWER: (a)

CONCEPT TESTED: the confidence-run transmission channel. Intuition: a convincing fake video of a bank in trouble does not need to steal a cent; it just needs depositors to believe it. Perception attacks become liquidity events.

SOLUTION: (a) is correct. The channel is eroded confidence, then selloffs and/or deposit runs.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Frames the threat as a direct capital hit; the stated systemic channel runs through confidence and funding behavior.
(c) Incorrect. "No systemic spillover" is precisely what the concern denies.
(d) Incorrect. Invents a crypto-only domain restriction.

TRAP:
(b) **SIBLING SWAP** (operational-loss channel substituted for confidence channel)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 100, LO 100.c | Channel audit | Qualifier: "most appropriate"

Q26. Reading 100 | LO 100.c

A regulatory affairs head summarizes for her executive committee what IMF survey respondents expect from regulatory authorities on AI. Which statement best reflects those expectations?

(a) Strict, rules-based regulations are preferred over flexible guidelines given the pace of AI change.

(b) Innovation should be prioritized over customer protection while the technology matures.

(c) Best practices and flexible guidelines are viewed as more effective, with transparent disclosures and extreme-scenario stress testing among the expected requirements.

(d) AI risk management should be left to each firm's discretion without supervisory guidance.

ANSWER: (c)

CONCEPT TESTED: the shape of the desired regulatory response. Intuition: for a fast-moving target, respondents want guardrails that bend (best practices, flexible guidelines) rather than rails that snap (rigid rules), plus disclosure, accountability frameworks, and extreme-scenario stress testing.

SOLUTION: (c) is correct. Flexible guidelines were viewed as more effective than strict rules, alongside expectations of transparent disclosures and extreme-scenario stress testing.

OPTION ANALYSIS:
(a) Incorrect. Reverses the stated preference between rules and guidelines.
(b) Incorrect. Innovation and customer protection were framed as equally important; ranking one above the other breaks the stated balance.
(c) Correct. As established in the solution above.
(d) Incorrect. Respondents explicitly expected authorities to provide greater guidance and clarity; pure firm discretion is the opposite.

TRAP:
(a) **POLARITY FLIP**
(b) **POLARITY FLIP** (balance turned into a hierarchy)
(d) **POLARITY FLIP**

Book 5, Reading 100, LO 100.c | Four-statement audit | Qualifier: "best reflects"

Q27. Reading 100 | LO 100.c

A stress-testing team at a supervisory authority models how widespread AI adoption could behave during a severe market shock. Which dynamic is most consistent with the financial stability challenges described in the reading?

(a) Similar outputs across AI models could produce herding that collectively triggers a flight to safe assets and large-scale selloffs in other asset classes.

(b) Model diversity across vendors guarantees offsetting positions that dampen aggregate volatility.

(c) AI-enabled leverage builds up only in normal times and unwinds gradually, muting stress amplification.

(d) AI models tend to perform most reliably during significant adverse events, as observed during the COVID-19 pandemic.

ANSWER: (a)

CONCEPT TESTED: herding and model behavior under stress. Intuition: if everyone's navigation app reroutes to the same side street, the side street jams. Correlated model outputs plus leverage can synchronize the rush to safety, and the models themselves may shut down or emit

inconsistent outputs exactly when needed most.

SOLUTION: (a) is correct. Herding from similar model outputs, flight to safe assets, and large-scale selloffs elsewhere is the stated stress dynamic, amplified by potential leverage.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. "Guarantees offsetting positions" both overclaims and reverses the herding concern.
(c) Incorrect. The concern is that leverage AMPLIFIES volatility and deleveraging in stress; a gradual, muted unwind reverses the mechanism.
(d) Incorrect. During events like COVID-19, models may shut down or generate complex, inconsistent outputs; "most reliable in adversity" is the exact reverse.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 100, LO 100.c | Four-statement audit | Qualifier: "most consistent"

Q28.

Reading 100 | LO 100.c

An IMF economist explains why AI adoption raises monitoring and opacity challenges for the financial system. Which explanation is most accurate?

(a) Capital market and trading activity is shifting from banks, which face stringent transparency and model validation requirements, toward NBFIs under lighter oversight, while AI-generated portfolios create new correlations across regions, venues, and asset classes.

(b) Banks face lighter model validation requirements than NBFIs, so the shift of activity toward banks reduces system-wide transparency.

(c) Interconnectedness across markets declines as AI diversifies portfolios more effectively than human managers.

(d) Opacity concerns are confined to the banking sector, where model complexity is greatest.

ANSWER: (a)

CONCEPT TESTED: the opacity mechanism. Intuition: the activity is moving from the glass house (banks, heavy validation and disclosure) to the tinted-window house (NBFIs), while AI links markets in new ways that raise correlations and interconnectedness.

SOLUTION: (a) is correct. Both halves are the stated mechanism: the bank-to-NBFI shift under asymmetric oversight, and new AI-generated cross-market linkages.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses which sector carries the stringent requirements and which direction activity is flowing.
(c) Incorrect. Correlations and interconnectedness are expected to INCREASE as AI links markets, not fall.
(d) Incorrect. The opacity concern centers on NBFIs, not on banks alone; "confined to banking" restricts it to the wrong sector.

TRAP:
(b) **ROLE MISASSIGNMENT** + **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **SCOPE/CONDITION ERROR** + **ROLE MISASSIGNMENT**

Book 5, Reading 100, LO 100.c | Four-statement audit | Role-sensitive: banks = heavy oversight, NBFIs = light oversight

Q29.

Reading 100 | LO 100.c

Among the four financial stability challenges arising from AI adoption in capital markets, the risk that overreliance on a small number of AI model and IT service providers could produce severe, widespread consequences if any major provider fails is classified as:

(a) An operational risk stemming from dependence on third-party AI service providers.

(b) Elevated cyber risk and potential market manipulation.

(c) A monitoring and opacity challenge.

(d) Higher volatility and increased market speed during periods of stress.

ANSWER: (a)

CONCEPT TESTED: classification within the four named stability challenges. Intuition: single point of failure in the supply chain = operational risk. The other three challenges are behavior (volatility/speed), visibility (opacity), and attack/abuse (cyber/manipulation).

SOLUTION: (a) is correct. Provider failure exposure is the operational-risk challenge: dependence on a small set of third-party AI service providers.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Cyber/manipulation covers compromised data integrity, disinformation, and deepfakes, not vendor failure per se.
(c) Incorrect. Opacity concerns transparency loss and NBFI migration, not provider dependence.
(d) Incorrect. The volatility/speed challenge concerns herding, leverage, and stress dynamics.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**

(d) **SIBLING SWAP**

Registry note: keep this distinct from CONCENTRATION RISK on the survey-concern list. Same underlying worry (too few providers), but the survey list labels it concentration risk while the stability-challenge list frames it as third-party OPERATIONAL risk. GARP can test either label; the cue is which list the stem invokes.

Book 5, Reading 100, LO 100.c | Label-matching template | Confusables pair: concentration risk (survey concern) vs third-party operational risk (stability challenge), differs by: which list frames it

Q30.

Reading 100 | LO 100.c

A senior risk analyst is preparing a report on AI and financial stability for the risk committee. Which statement is correct to include in the report?

(a) The potential for higher leverage from the growth of algorithmic trading strategies could amplify volatility and deleveraging during market stress.
(b) Herding is eliminated by AI adoption because each firm's strategies are proprietary.
(c) Cyber risks to AI models threaten data confidentiality but not data integrity.
(d) Correlations across asset classes should decline as AI-generated portfolios link geographic regions and venues.

ANSWER: (a)

CONCEPT TESTED: a synthesis audit across the stability challenges. Intuition: leverage is the amplifier knob; herding, integrity attacks, and rising correlations are all live concerns, so any option denying one of them fails.

SOLUTION: (a) is correct. Higher leverage amplifying volatility and deleveraging in stress is stated directly.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Similar model outputs may cause herding regardless of proprietary wrappers; "eliminated" is categorical and reversed.
(c) Incorrect. AI models may face compromised data integrity OR confidentiality; dropping integrity halves the stated threat.
(d) Incorrect. Linking regions and venues RAISES correlations and interconnectedness; the option keeps the true premise and reverses the conclusion.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **SCOPE/CONDITION ERROR** (dropped half of a stated pair)
(d) **POLARITY FLIP**

Book 5, Reading 100, LO 100.c | Four-statement audit | Qualifier: "correct to include"

LO 100.d Reading 100

Describe best practices for regulators pertaining to AI, including the use of AI by supervisors and recommendations for policy on the use of AI by regulated entities.

Q31.

Reading 100 | LO 100.d

A bank licenses an AI trading model from an external vendor rather than building one internally. Under the supervisory expectations described in the reading, which statement about accountability is most accurate?

(a) Responsibility for the system's conduct transfers to the vendor because the vendor developed and maintains the model.
(b) The institution remains fully responsible for the AI systems it deploys, whether developed internally or obtained from external providers.
(c) Responsibility is shared equally between the institution and the vendor under standard outsourcing arrangements.
(d) The supervisor assumes responsibility once it has reviewed and approved the model for use.

ANSWER: (b)

CONCEPT TESTED: the non-transferability of accountability. Intuition: you can rent the engine, but you still own the crash. Outsourcing the build never outsources the responsibility.

SOLUTION: (b) is correct. Institutions remain fully responsible for deployed AI systems regardless of origin.

OPTION ANALYSIS:
(a) Incorrect. Assigns the institution's obligation to the vendor.
(b) Correct. As established in the solution above.
(c) Incorrect. "Shared equally" is an invented compromise; the stated rule is undiluted institutional responsibility.
(d) Incorrect. Supervisory review never transfers accountability to the supervisor.

TRAP:
(a) **ROLE MISASSIGNMENT**
(c) **SCOPE/CONDITION ERROR** (rule softened)
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 100, Module 100.3, LO 100.d | Four-statement audit | Role-sensitive: the institution owns the risk, always

Q32.

Reading 100 | LO 100.d

In responding to AI applications in capital markets, standard-setting bodies have converged on a set of key focus areas. Which of the following is LEAST likely to be one of those focus areas?

(a) Governance of AI use.
(b) Transparency and explainability.
(c) Gradual reduction of reporting requirements to streamline compliance.
(d) Data quality and bias.

ANSWER: (c)

CONCEPT TESTED: the standard-setter focus list under a NEGATIVE qualifier. The list: governance, transparency and explainability, outsourcing practices, data quality and bias, reporting requirements, meaningful human oversight. Intuition: everything on the list points toward MORE visibility and accountability; any option pointing toward less is the odd one out.

SOLUTION: (c) is correct. Reporting requirements are a focus area in the direction of strengthening accountability; REDUCING them reverses the thrust and appears nowhere on the list.

OPTION ANALYSIS:
(a) Incorrect. Governance of AI use is explicitly a key focus area, so it cannot be least likely.
(b) Incorrect. Transparency and explainability are on the list.
(c) Correct. As established in the solution above.
(d) Incorrect. Data quality and bias are on the list.

TRAP:
(a) **QUALIFIER-MISREAD BAIT**
(b) **QUALIFIER-MISREAD BAIT**
(d) **QUALIFIER-MISREAD BAIT**

Book 5, Reading 100, Module 100.3, LO 100.d | Negative qualifier (LEAST likely): a reversed-direction item hidden among three true list members

Q33.

Reading 100 | LO 100.d

A junior analyst drafts a slide attributing AI-related regulatory initiatives to specific bodies. Which attribution is correct?

(a) The U.S. National Institute of Standards and Technology (NIST) introduced an AI framework in 2024.
(b) IOSCO published the 2024 NIST AI framework as part of its market-intermediation workstream.
(c) The Basel Committee on Banking Supervision has led the work on market volatility associated with algorithmic trading and AI risks in asset management.
(d) National government AI strategies focus exclusively on capital markets and exclude cybercrime prevention and data protection.

ANSWER: (a)

CONCEPT TESTED: body-to-initiative attribution. Intuition: NIST = the 2024 AI framework; IOSCO = algorithmic trading volatility plus AI risks in market intermediation and asset management; governments = broad strategies covering cybercrime, data protection, and AI governance. Governance questions are won on WHO.

SOLUTION: (a) is correct. The NIST 2024 AI framework is the named new framework.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Hands NIST's framework to IOSCO.
(c) Incorrect. The algorithmic trading volatility and asset management workstream belongs to IOSCO, not the BCBS.
(d) Incorrect. Government AI strategies emphasize cybercrime prevention, data protection, and sound AI governance; "exclusively capital markets" inverts their breadth.

TRAP:
(b) **ROLE MISASSIGNMENT**
(c) **ROLE MISASSIGNMENT**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 100, Module 100.3, LO 100.d | Attribution audit | Confusables: NIST 2024 framework vs IOSCO algo-trading workstream, differs by: WHO issued WHAT

Q34.

Reading 100 | LO 100.d

A supervisory authority is cataloguing which AI capabilities it can deploy. Which capability is attributed in the reading specifically to GenAI, beyond what general AI tools already provide supervisors?

(a) Automated data quality checks across regulatory submissions.
(b) Detection of anomalies in trading patterns.
(c) Legacy code optimization together with code generation, debugging, and explanation.
(d) Integration of multiple data sources into a unified monitoring view.

ANSWER: (c)

CONCEPT TESTED: the general-AI vs GenAI capability split for supervisors. Intuition: general AI is the watchtower (checks, anomaly detection, integration, real-time monitoring); GenAI is the workshop (writes, fixes, explains, retrieves, creates).

SOLUTION: (c) is correct. Legacy code optimization, content creation, improved information retrieval, and code generation/debugging/explanation are the GenAI-specific additions.

OPTION ANALYSIS:
(a) Incorrect. Automated data quality checks sit in the general supervisory AI toolkit.
(b) Incorrect. Anomaly detection is likewise a general AI supervisory benefit.

(c) Correct. As established in the solution above.
(d) Incorrect. Multi-source data integration is also general AI.

TRAP:
(a) **SIBLING SWAP** (capability tier confusion)
(b) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 100, Module 100.3, LO 100.d | Tier-discrimination audit | Qualifier: "specifically to GenAI"

Q35.

Reading 100 | LO 100.d

To prepare volatility response mechanisms for AI-driven market stress, a markets authority is deciding what to review during NORMAL, non-stress conditions. According to the priorities in the reading, which margin-related item belongs in the normal-conditions review?

(a) Initial margin levels.
(b) Margin call volatility.
(c) Variation margin collections and distributions.
(d) Maintenance margin minimums.

ANSWER: (a)

CONCEPT TESTED: the timing split in the margin review agenda. Intuition: set the baseline in calm weather, watch the flows in the storm. Initial margin is the calm-weather baseline; margin call volatility and variation margin collection/distribution are the stress-period items, along with CCP margin model responsiveness.

SOLUTION: (a) is correct. Reviewing initial margin levels during normal conditions is the stated priority.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Margin call volatility is a stress-period review item.
(c) Incorrect. Variation margin collection and distribution likewise belongs to the stress-period review.
(d) Incorrect. Maintenance margin is the investor account minimum from a different context entirely; it is not on this review agenda.

TRAP:
(b) **SCOPE/CONDITION ERROR** (right list, wrong regime)
(c) **SCOPE/CONDITION ERROR**
(d) **SIBLING SWAP** (near-namesake from outside the list)

Book 5, Reading 100, Module 100.3, LO 100.d | Regime-timing audit | Known GARP-style template (mirrors Schweser Module Quiz 100.3 Q2 structure)

Q36.

Reading 100 | LO 100.d

A markets regulator is drafting its response plan for market crashes or dislocations caused by AI-driven trading. Which recommendation is most consistent with the policy priorities in the reading?

(a) Assess the quality of existing circuit breakers and test algorithms in both controlled and stressed environments.
(b) Test algorithms only in controlled environments, since stressed-environment testing could itself destabilize markets.
(c) Phase out circuit breakers, since automated halts create the feedback loops they are meant to prevent.
(d) Fix margin requirements at permanent levels to eliminate procyclicality in margin calls.

ANSWER: (a)

CONCEPT TESTED: the volatility-response toolkit. Intuition: inspect the brakes (circuit breakers), crash-test the cars (algorithms) on both the test track AND the storm simulator, and check the airbags (margins and buffers) inflate correctly in large price swings.

SOLUTION: (a) is correct. Circuit breaker quality assessment plus algorithm testing in controlled AND stressed environments are the stated actions, along with evaluating margin and buffer adequacy.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Drops the stressed-environment half of the stated testing requirement.
(c) Incorrect. The recommendation is to ASSESS circuit breaker quality, possibly modifying or adding mechanisms, not to remove them.
(d) Incorrect. The priority is evaluating ADEQUACY and responsiveness of margins in stress, not freezing them; "eliminate" also overclaims.

TRAP:
(b) **SCOPE/CONDITION ERROR** (dropped condition)
(c) **POLARITY FLIP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 100, Module 100.3, LO 100.d | Four-statement audit | Qualifier: "most consistent"

Q37.

Reading 100 | LO 100.d

A financial stability council is defining the recommended cyber posture for capital markets in an AI-driven landscape. Which statement best captures that posture?

(a) Prevention of cyberattacks is sufficient, provided defenses are kept current with the threat landscape.
(b) Markets must be able to protect against, respond to, and recover from attacks, with cybersecurity safeguards evaluated at every stage of the AI lifecycle, since training data and the models themselves can be targeted.

(c) Cybersecurity evaluation should concentrate on the deployment stage, where models face live traffic.

(d) Mapping interconnections between critical IT infrastructure providers and AI service providers becomes unnecessary once vendors hold recognized certifications.

ANSWER: (b)

CONCEPT TESTED: lifecycle-wide cyber resilience. Intuition: resilience is a three-verb job (protect, respond, recover), and the attack surface runs the full length of the pipeline, from the training data at the source to the model in production.

SOLUTION: (b) is correct. Protect/respond/recover plus lifecycle-stage evaluation, motivated by attacks on training data and models.

OPTION ANALYSIS:
(a) Incorrect. Prevention alone is explicitly NOT sufficient; response and recovery capacity are required.
(b) Correct. As established in the solution above.
(c) Incorrect. Restricts evaluation to one stage when the stated requirement spans every stage of the AI lifecycle.
(d) Incorrect. Mapping provider interconnections is a stated authority task; certification does not waive it.

TRAP:
(a) **ABSOLUTE-CLAIM TRAP**
(c) **SCOPE/CONDITION ERROR**
(d) **ABSOLUTE-CLAIM TRAP** (safeguard declared unnecessary)

Book 5, Reading 100, Module 100.3, LO 100.d | Four-statement audit | Qualifier: "best captures"

Q38. Reading 100 | LO 100.d

To address the increased opacity and monitoring challenges that accompany AI adoption, which of the following policy measures is most consistent with the recommendations in the reading?

(a) Requiring NBFIs to identify themselves and disclose AI-related information, and requiring institutions to map interdependencies among AI models, data sources, and underlying technological infrastructure.

(b) Exempting large traders from enhanced monitoring, since exchanges already surveil their activity.

(c) Limiting the interdependency-mapping requirement to banks, since NBFIs fall outside the perimeter.

(d) Permitting training datasets that span only the most recent expansion, since older data reflects outdated market structure.

ANSWER: (a)

CONCEPT TESTED: the opacity-response toolkit. Intuition: turn the lights on in the tinted-window house: NBFI identification and disclosure, interdependency maps, attention to large traders, stronger liquidity buffers. And the training data must see a FULL financial cycle, not just the sunny half.

SOLUTION: (a) is correct. NBFI identification/disclosure and interdependency mapping are both stated measures.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Large traders become MORE important in an AI-driven landscape, not exempt.
(c) Incorrect. The opacity problem lives disproportionately in NBFIs; scoping the requirement to banks excludes the target population.
(d) Incorrect. Risks arise precisely when data FAILS to capture a full financial cycle; blessing expansion-only data codifies the flaw.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR** + **ROLE MISASSIGNMENT**
(d) **POLARITY FLIP**

Book 5, Reading 100, Module 100.3, LO 100.d | Four-statement audit | Qualifier: "most consistent"

Q39. Reading 100 | LO 100.d

As AI use expands, a securities authority reviews options for maintaining the integrity, efficiency, and resilience of over-the-counter (OTC) markets. Which policy option is consistent with the reading?

(a) Expanding incentives for central clearing and introducing margin requirements for non-centrally cleared derivatives.

(b) Restricting market makers from providing liquidity during stress, to prevent destabilizing inventory swings.

(c) Scaling back the collection of detailed OTC transaction information to reduce compliance burden.

(d) Eliminating backstop liquidity and funding measures, to avoid creating moral hazard in stressed markets.

ANSWER: (a)

CONCEPT TESTED: the OTC resilience menu. Intuition: pull trades into the clearinghouse's daylight, collateralize what stays outside, feed the market makers, collect the data, and keep a liquidity fire extinguisher for extreme stress.

SOLUTION: (a) is correct. Central clearing incentives and margining of non-centrally cleared derivatives are both named options, alongside adjusted liquidity frameworks and enhanced market maker liquidity provision.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The direction is ENHANCING liquidity provision by market makers, not restricting it.
(c) Incorrect. Authorities could REQUIRE collection and dissemination of detailed OTC information; scaling back reverses it.
(d) Incorrect. Backstop measures are to be DEVELOPED for extreme stress; the moral-hazard framing is a plausible-sounding reversal.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP** (with an appealing invented rationale)

Book 5, Reading 100, Module 100.3, LO 100.d | Four-statement audit | Qualifier: "consistent with"

Q40.

Reading 100 | LO 100.d

A financial stability directorate is drafting its roadmap for supporting safe AI adoption in capital markets. Which pairing of actions is most consistent with the recommendations in the reading?

(a) Evaluate the adequacy of existing regulatory frameworks, AND advance principles for AI governance through public-private collaboration.

(b) Replace all existing regulatory frameworks with AI-specific rulebooks, AND develop governance principles unilaterally to preserve independence.

(c) Evaluate the adequacy of existing frameworks, AND treat robustness and explainability as outside the review's scope.

(d) Suspend development of new risk management frameworks, AND rely on general-purpose technology law to govern AI in markets.

ANSWER: (a)

CONCEPT TESTED: the three-part safe-adoption recommendation set. Intuition: check the existing rulebook, write the missing chapters (new risk management frameworks), and draft the governance principles WITH industry, not at it. Reviews must cover robustness, explainability, cybersecurity, and data bias and privacy.

SOLUTION: (a) is correct. Framework adequacy evaluation and public-private collaboration on governance principles are two of the three named recommendations.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. "Replace all" overclaims (the approach builds on existing frameworks), and unilateral development reverses the collaboration principle.
(c) Incorrect. Right first half, but robustness and explainability are explicitly INSIDE the review's key considerations.
(d) Incorrect. Developing NEW risk management frameworks is itself one of the recommendations; suspension reverses it.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP** + **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR** (dropped term)
(d) **POLARITY FLIP**

Book 5, Reading 100, Module 100.3, LO 100.d | Two-part conjunction (5B.5) | Qualifier: "most consistent"

READING 101: THE FINANCIAL STABILITY IMPLICATIONS OF ARTIFICIAL INTELLIGENCE

Priority: VERY IMPORTANT | 30 questions | Book 5, Study Session 15

LO 101.a Reading 101

Explain key developments in AI since 2017, differentiating between supply-side drivers and demand-side drivers.

Q41.

Reading 101 | LO 101.a

A risk consultant is classifying the drivers of AI adoption in financial services for a client's board, using the framework of the FSB's foundational report. Which classification is correct?

(a) The Transformer architecture and increased GPU-driven computational power are demand-side drivers.

(b) Profitability, competition, and regulation are the demand-side drivers, while technological, data-related, and business model developments are the supply-side drivers.

(c) Cloud computing and pre-trained models are demand-side drivers because institutions demand them from vendors.

(d) Competitive pressure is a supply-side driver because it originates outside the adopting firm.

ANSWER: (b)

CONCEPT TESTED: the supply/demand driver taxonomy. Intuition: supply-side = what makes AI cheaper and more capable to BUILD (tech, data, business models); demand-side = what makes firms WANT it (profit, rivals, regulators).

SOLUTION: (b) is correct. That is the full three-plus-three classification from the framework.

OPTION ANALYSIS:
(a) Incorrect. Transformers and GPU compute are technological developments, the core of the supply side.
(b) Correct. As established in the solution above.
(c) Incorrect. Cloud and pre-trained models are BUSINESS MODEL developments on the supply side; the buyer's desire does not reclassify the driver.
(d) Incorrect. Competition is a demand-side factor; origin outside the firm is not the classification criterion.

TRAP:
(a) **SIBLING SWAP** (side swap)
(c) **SIBLING SWAP** (plausible reasoning, wrong bucket)

(d) **SIBLING SWAP**

Book 5, Reading 101, Module 101.1, LO 101.a | Four-statement audit | Qualifier: "correct"

Q42. Reading 101 | LO 101.a

A newly hired analyst asserts that since the 2017 FSB report, demand-side and supply-side forces have contributed equally to AI adoption in financial services. Which statement most accurately corrects her?

(a) She is right: the evidence shows both sets of forces have been equally influential.
(b) Evidence indicates supply-side forces have been the more influential driver, even though both continue to matter.
(c) Demand-side forces dominate, because profitability is the strongest single motive in finance.
(d) Regulation has been the dominant driver, displacing both supply and demand factors.

ANSWER: (b)

CONCEPT TESTED: the relative weight of the two driver families. Intuition: the technology push (cheaper compute, Transformers, cloud, ChatGPT as the Nov 2022 catalyst) outran the pull.

SOLUTION: (b) is correct. Both matter, but supply-side forces have been more influential.

OPTION ANALYSIS:
(a) Incorrect. "Equally" flattens a stated asymmetry.
(b) Correct. As established in the solution above.
(c) Incorrect. Reverses the stated dominance with an appealing profit-motive rationale.
(d) Incorrect. Regulation is one demand-side factor, not the dominant overall driver.

TRAP:
(a) **POLARITY FLIP** (asymmetry erased)
(c) **POLARITY FLIP**
(d) **SCOPE/CONDITION ERROR** (sub-factor promoted)

Book 5, Reading 101, Module 101.1, LO 101.a | Two-answer trap (finalists A vs B) | Qualifier: "most accurately"

Q43. Reading 101 | LO 101.a

During a technology briefing, a quantitative developer describes the Transformer architecture underlying LLMs. Which statement is correct?

(a) The Transformer processes input data sequentially rather than in parallel.
(b) Positional encoding is the component that predicts future words based on earlier words.
(c) The Transformer employs an attention mechanism to focus on the most relevant parts of the input text.
(d) Feed-forward components capture the order of words in a sentence.

ANSWER: (c)

CONCEPT TESTED: Transformer component roles. Intuition: attention = the spotlight on what matters; positional encoding = the seat numbers recording word order; feed-forward = the predictor of what comes next; and everything runs in PARALLEL.

SOLUTION: (c) is correct. The attention mechanism focuses the network on the most relevant input sections.

OPTION ANALYSIS:
(a) Incorrect. Transformers process data in parallel, not sequentially; sequential processing is the older paradigm they replaced.
(b) Incorrect. Positional encoding captures word ORDER; prediction of subsequent words is the feed-forward role.
(c) Correct. As established in the solution above.
(d) Incorrect. Mirror of B: feed-forward predicts, positional encoding orders.

TRAP:
(a) **POLARITY FLIP**
(b) **ROLE MISASSIGNMENT** (component jobs swapped)
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 101, Module 101.1, LO 101.a | Known GARP-style template (mirrors Schweser Module Quiz 101.1 Q2 structure, perturbed) | Confusables: attention vs positional encoding vs feed-forward, differs by: focus vs order vs prediction

Q44. Reading 101 | LO 101.a

A data science lead explains to the risk committee how deep learning models made unstructured data usable in finance. The numerical representations of data such as text, images, or audio that enable this are best described as:

(a) Embeddings.
(b) Synthetic data.
(c) Attack vectors.
(d) Graphics processing units.

ANSWER: (a)

CONCEPT TESTED: the definition of embeddings. Intuition: embeddings translate messy human artifacts (words, pictures, sound) into coordinates a model can compute with.

SOLUTION: (a) is correct. Embeddings are numerical representations of text, images, or audio, enabled by deep learning advances.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Synthetic data is artificially GENERATED data resembling real-world datasets, used to fill data shortages, not a representation of existing data.
(c) Incorrect. Attack vectors are the pathways an attacker uses to compromise a system, a cyber concept from later in the reading.
(d) Incorrect. GPUs are the hardware enabling cheaper computation, not a data representation.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP** (enabler vs representation)

Book 5, Reading 101, Module 101.1, LO 101.a | Definition discrimination | Qualifier: "best described"

Q45.

Reading 101 | LO 101.a

A model development head notes that modern AI models often need more training data than is available, and proposes a response. Which pairing of problem AND response is most consistent with the data-related developments in the reading?

(a) A shortage of high-quality real-world data may emerge, AND synthetic data may be needed to close the gap, subject to data quality and model reliability considerations.

(b) A shortage of high-quality real-world data may emerge, AND institutions should stop combining quantitative datasets with unstructured data to conserve data.

(c) Data availability now exceeds model requirements, AND synthetic data is therefore unnecessary.

(d) A shortage of high-quality real-world data may emerge, AND synthetic data resolves it without introducing new considerations.

ANSWER: (a)

CONCEPT TESTED: the data-shortage and synthetic-data response. Intuition: appetite grew faster than the pantry; synthetic data restocks it, but the substitute food must be checked for quality.

SOLUTION: (a) is correct. Shortage risk plus synthetic data as the gap-closer, with quality and reliability caveats.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Combining quantitative with unstructured data is a stated ADVANCE, not a practice to abandon.
(c) Incorrect. Reverses the shortage premise.
(d) Incorrect. Right response, but "without introducing new considerations" drops the stated caveats.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 101, Module 101.1, LO 101.a | Two-part conjunction (5B.5)

Q46.

Reading 101 | LO 101.a

A CTO briefs the board on business model developments behind AI adoption. Which statement is correct to include?

(a) The industry trend has shifted toward open-source LLMs, driven by their improving performance relative to closed-source alternatives, along with their accessibility and customizability.

(b) The industry trend has shifted toward closed-source LLMs, since only they can be customized to a firm's needs.

(c) Pre-trained models eliminate accountability and explainability challenges because the vendor certifies them.

(d) Cloud computing has reduced AI adoption by locking institutions into rigid delivery models.

ANSWER: (a)

CONCEPT TESTED: the pre-trained model and open/closed source landscape. Intuition: renting beats building (cloud, pre-trained), and the open-source stall keeps closing the quality gap while staying free and customizable.

SOLUTION: (a) is correct. The trend favors open source on improving performance, cost, accessibility, and customizability.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Direction of the trend reversed, and customizability is an OPEN-source trait.
(c) Incorrect. Accountability and explainability requirements CREATE challenges for pre-trained model users; certification does not dissolve them.
(d) Incorrect. Cloud computing offers FLEXIBLE delivery and has increased reliance on cloud solutions.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **POLARITY FLIP**

Book 5, Reading 101, Module 101.1, LO 101.a | Four-statement audit | Qualifier: "correct to include"

Q47.

Reading 101 | LO 101.a

A strategy analyst maps concrete AI initiatives to the three profitability channels driving adoption. Which mapping is most appropriate?

(a) Reducing customer churn: cost reduction.
(b) Automating manual tasks and reallocating resources to hard-to-automate revenue activities: cost reduction.
(c) Enhanced forecasting of future cash flows, losses, and delinquencies: revenue growth.
(d) More tailored products and improved onboarding: improved risk management.

ANSWER: (b)

CONCEPT TESTED: the three profitability sub-channels. Intuition: revenue growth = sell more and keep customers (tailoring, onboarding, churn); cost reduction = automate and reallocate; risk management = forecast cash flows, losses, delinquencies.

SOLUTION: (b) is correct. Automation and reallocation toward revenue-generating activities are the cost reduction channel.

OPTION ANALYSIS:
(a) Incorrect. Reduced churn sits under REVENUE GROWTH, not cost reduction.
(b) Correct. As established in the solution above.
(c) Incorrect. Forecasting losses and delinquencies is the IMPROVED RISK MANAGEMENT channel.
(d) Incorrect. Tailored products and onboarding belong to revenue growth.

TRAP:
(a) **ROLE MISASSIGNMENT**
(c) **ROLE MISASSIGNMENT**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 101, Module 101.1, LO 101.a | Category-matching audit | Known GARP-style template (mirrors Schweser Module Quiz 101.1 Q1 structure, perturbed)

Q48. Reading 101 | LO 101.a

A CRO cautions the executive committee about the competitive-pressure driver of AI adoption. Which characterization is most accurate?

(a) Competitive pressure reliably produces positive outcomes such as lower prices and greater innovation.
(b) Competitive pressure can produce positive outcomes such as lower prices and innovation, but negative outcomes if safeguards and testing are insufficient.
(c) Competitive pressure is a supply-side driver because it changes what vendors offer.
(d) Competitive pressure affects only firms that have not yet adopted GenAI.

ANSWER: (b)

CONCEPT TESTED: the double-edged nature of the competition driver. Intuition: an arms race can produce better weapons or accidents, depending on whether the testing range keeps up.

SOLUTION: (b) is correct. Positive outcomes are possible, negative ones follow when safeguards and testing lag.

OPTION ANALYSIS:
(a) Incorrect. "Reliably" strips out the stated downside condition.
(b) Correct. As established in the solution above.
(c) Incorrect. Competition is a demand-side factor.
(d) Incorrect. The pressure applies broadly to firms keeping pace with AI-leveraging peers, not only to non-adopters.

TRAP:
(a) **ABSOLUTE-CLAIM TRAP**
(c) **SIBLING SWAP** (side swap)
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 101, Module 101.1, LO 101.a | Four-statement audit | Qualifier: "most accurate"

Q49. Reading 101 | LO 101.a

A compliance head explains why regulation acts as a demand-side driver of AI adoption. Which explanation is most consistent with the reading?

(a) Firms adopt AI to strengthen compliance capabilities as regulations on data protection, AI development guidance, and international standards continue to expand.
(b) Regulators mandate AI adoption directly, forcing institutions to deploy the technology.
(c) Expanding regulation deters AI adoption by raising the cost of experimentation.
(d) Regulation drives adoption from the supply side by shaping what vendors are allowed to sell.

ANSWER: (a)

CONCEPT TESTED: the regulation driver's mechanism. Intuition: as the rulebook thickens, firms buy better reading glasses; AI becomes the tool to meet requirements efficiently.

SOLUTION: (a) is correct. AI is increasingly viewed as a compliance-strengthening tool amid expanding regulatory demands.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The driver is firms' need for efficient compliance, not a direct adoption mandate.
(c) Incorrect. Reverses the direction: expanding regulation INCREASES the demand for AI compliance tools.
(d) Incorrect. Regulation is classified as a demand-side factor.

TRAP:
(b) **SCOPE/CONDITION ERROR** (mechanism overstated into a mandate)
(c) **POLARITY FLIP**
(d) **SIBLING SWAP** (side swap)

Book 5, Reading 101, Module 101.1, LO 101.a | Four-statement audit | Qualifier: "most consistent"

Q50.

Reading 101 | LO 101.a

Alongside the technological advances driving AI, the reading identifies an ongoing human capital challenge. Which statement best describes it?

(a) A shortage of workers able to keep pace with rapid technological advances, with skilled hires difficult and expensive to secure.
(b) A surplus of AI-skilled workers that is depressing wages in financial services.
(c) A shortage of workers that applies only to supervisory authorities, not to private institutions.
(d) A skills gap that has been fully closed by the availability of pre-trained models.

ANSWER: (a)

CONCEPT TESTED: the human capital constraint. Intuition: the machines got faster than the hiring pipeline; talent is scarce and expensive.

SOLUTION: (a) is correct. The shortage of workers who can keep pace, and the difficulty and expense of hiring them, is the stated challenge.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses scarcity into surplus.
(c) Incorrect. The shortage is a general challenge, not confined to supervisors.
(d) Incorrect. Pre-trained models reduce build costs but "fully closed" overclaims and contradicts the ongoing shortage.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 101, Module 101.1, LO 101.a | Four-statement audit | Qualifier: "best describes"

LO 101.b Reading 101

Identify and analyze existing and emerging AI use cases in financial services, including industry use cases as well as regulatory and supervisory use cases.

Q51.

Reading 101 | LO 101.b

An operations head lists GenAI initiatives underway at her bank: content generation, information search and retrieval, code generation, legacy code streamlining, and voice transcription. Within the four industry use-case areas, these initiatives belong to:

(a) Regulatory compliance.
(b) Customer-focused applications.
(c) Operations-focused applications.
(d) Trading and portfolio management.

ANSWER: (c)

CONCEPT TESTED: the four-area industry use-case classification. Intuition: everything on the list is back-office plumbing: making the firm's own machinery run, not touching a customer, a trade, or a regulator directly.

SOLUTION: (c) is correct. These are operations-focused (back-office) uses, the area GenAI expanded most.

OPTION ANALYSIS:
(a) Incorrect. Regulatory compliance centers on fraud detection, AML, and CFT.
(b) Incorrect. Customer applications assess and interact with customers (creditworthiness, marketing, advisors, insurance, chatbots).
(c) Correct. As established in the solution above.
(d) Incorrect. Trading and portfolio management covers sentiment analysis, execution, and portfolio automation.

TRAP:
(a) **SIBLING SWAP**
(b) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 101, Module 101.2, LO 101.b | Known GARP-style template (mirrors Schweser Module Quiz 101.2 Q2 structure) | Category classification

Q52.

Reading 101 | LO 101.b

A retail banking executive describes how ML is used in the loan preapproval process. Which description is most accurate?

(a) ML models supplement traditional credit scoring methods with additional data and behavioral insights.
(b) ML models have replaced traditional credit scoring methods entirely in the preapproval process.
(c) ML in preapproval is limited to verifying documents submitted by applicants.
(d) Chatbot interactions have shifted from LLM-based systems back to rules-based systems for reliability.

ANSWER: (a)

CONCEPT TESTED: customer-focused use cases with precision on the supplement-vs-replace boundary. Intuition: ML is the second opinion sitting beside the traditional score, adding behavioral texture, not a coup that overthrows it.

SOLUTION: (a) is correct. ML SUPPLEMENTS traditional scoring with additional data and behavioral insights.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. "Replaced entirely" overstates the stated supplementary role.
(c) Incorrect. Restricts a broad behavioral-insight role to document verification.
(d) Incorrect. The chatbot shift ran rules-based TO LLM-based; the option reverses the arrow.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **SCOPE/CONDITION ERROR**
(d) **POLARITY FLIP**

Book 5, Reading 101, Module 101.2, LO 101.b | Four-statement audit | Qualifier: "most accurate"

Q53.

Reading 101 | LO 101.b

A data scientist tags AI use cases by learning or reasoning type. Using historical loan performance data to predict future delinquency rates is most closely associated with:

(a) Supervised classification of images, voice, and text.
(b) Supervised learning using historical data to predict future outcomes.
(c) An AI technique used to determine optimal solutions to decision problems.
(d) Development of individual profiles using supervised or reinforcement learning.

ANSWER: (b)

CONCEPT TESTED: the task-to-learning-type mapping. Intuition: recognition = classify what a thing IS; forecasting = project what WILL happen from history; goal-driven optimization = find the best move; personalization = build the individual's profile.

SOLUTION: (b) is correct. Predicting future delinquencies from historical data is the forecasting task: supervised learning on history to predict outcomes.

OPTION ANALYSIS:
(a) Incorrect. That is the recognition task (facial recognition is its canonical example).
(b) Correct. As established in the solution above.
(c) Incorrect. That is goal-driven optimization.
(d) Incorrect. That is personalization.

TRAP:
(a) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 101, Module 101.2, LO 101.b | Known GARP-style template (mirrors Schweser Module Quiz 101.2 Q1 structure, perturbed to the forecasting cell)

Q54.

Reading 101 | LO 101.b

Reviewing operations-focused AI applications, an internal auditor singles one out as more complex and potentially riskier than the others. Based on the reading, which application fits that description?

(a) Voice transcription of client calls.
(b) Information search and retrieval across internal documents.
(c) Optimizing regulatory capital requirements, such as estimating default risk probabilities.
(d) Drafting first-pass content for internal reports.

ANSWER: (c)

CONCEPT TESTED: risk-grading within the operations bucket. Intuition: the closer an application sits to the regulatory balance sheet, the higher the stakes; capital optimization touches solvency arithmetic, transcription touches convenience.

SOLUTION: (c) is correct. Capital optimization, including default probability estimation, is flagged as the more complex and potentially riskier operations application.

OPTION ANALYSIS:
(a) Incorrect. Voice transcription is a routine GenAI efficiency use.
(b) Incorrect. Search and retrieval is likewise a low-stakes back-office use.
(c) Correct. As established in the solution above.
(d) Incorrect. Content generation is a routine efficiency use.

TRAP:
(a) **SIBLING SWAP** (risk tier)
(b) **SIBLING SWAP** (risk tier)
(d) **SIBLING SWAP** (risk tier)

Book 5, Reading 101, Module 101.2, LO 101.b | Tier-discrimination | Qualifier: "more complex and potentially riskier"

Q55.

Reading 101 | LO 101.b

The head of systematic trading describes how GenAI supports the trading and portfolio management area. Which statement is most consistent with the reading?

(a) GenAI supports reinforcement learning for trade execution and helps assess market sentiment embedded in text, with LLMs identifying both obvious and subtle relationships between words.

(b) GenAI's trading contribution is limited to voice transcription of trader conversations.

(c) LLMs can identify obvious word relationships but cannot capture subtle ones, which still require traditional approaches.

(d) GenAI supports trade execution but has no role in portfolio management automation.

ANSWER: (a)

CONCEPT TESTED: the trading/PM use-case content. Intuition: GenAI reads the market's diary (text sentiment) and coaches the execution engine (reinforcement learning), then extends into PM workflow automation.

SOLUTION: (a) is correct. Reinforcement learning for execution, sentiment from text, and word-relationship detection are the stated contributions.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Transcription is an operations use; restricting trading support to it misfiles the capability.
(c) Incorrect. LLMs identify obvious AND subtle relationships that traditional approaches struggle to capture; the option reverses the comparative advantage.
(d) Incorrect. GenAI also supports portfolio management through automation tools; "no role" drops half the stated scope.

TRAP:
(b) **SIBLING SWAP**
(c) **POLARITY FLIP**
(d) **SCOPE/CONDITION ERROR** (dropped term)

Book 5, Reading 101, Module 101.2, LO 101.b | Four-statement audit | Qualifier: "most consistent"

Q56.

Reading 101 | LO 101.b

A financial crime officer catalogs the RegTech applications identified in the reading. Which list is correct?

(a) Identifying misuse of legal entities, investigating sanctions evasion, detecting tax evasion and scams, uncovering trade-based money laundering, and generating financial crime reports.

(b) Payment system oversight, statistical compilation, and information collection for central banks.

(c) Assigning financial advisors to individual investors and pricing insurance policies.

(d) Modeling stress tests and bank runs by simulating social media interactions.

ANSWER: (a)

CONCEPT TESTED: the RegTech application set within fraud/AML/CFT. Intuition: RegTech is the firm's own financial-crime radar: entities, sanctions, tax, trade-based laundering, plus AI-written crime reports for efficiency.

SOLUTION: (a) is correct. All five items are the named RegTech applications.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Those are SupTech uses by central banks; the actor is the authority, not the regulated firm.
(c) Incorrect. Those are customer-focused industry applications.
(d) Incorrect. Stress-test and bank-run simulation via social media is a POTENTIAL FUTURE SupTech application, wrong actor and wrong tense.

TRAP:
(b) **ROLE MISASSIGNMENT**
(c) **SIBLING SWAP**
(d) **ROLE MISASSIGNMENT** + **SCOPE/CONDITION ERROR**

Book 5, Reading 101, Module 101.2, LO 101.b | List audit | Confusables: RegTech (firms comply) vs SupTech (authorities supervise), differs by: WHO deploys it

Q57.

Reading 101 | LO 101.b

A central bank innovation lead summarizes how supervisory authorities are currently using AI. Which summary is most accurate?

(a) Enhancing information collection, statistical compilation, and payment system oversight, using alternative data for assessments, conducting real-time economic analysis, and experimenting with LLMs for analysis and research.

(b) Optimizing regulatory capital requirements and estimating default probabilities on behalf of supervised banks.

(c) Running fully autonomous supervisory enforcement without human review.

(d) Delegating inspection report drafting to supervised institutions' own LLMs.

ANSWER: (a)

CONCEPT TESTED: the SupTech current-use inventory. Intuition: the supervisor's AI is a better telescope (collection, compilation, oversight, real-time analysis), not a replacement judge.

SOLUTION: (a) is correct. Those are the stated central bank and supervisory uses, including LLM experimentation.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Capital optimization is an INDUSTRY operations use case performed by firms, not supervisors.
(c) Incorrect. Nothing supports autonomous enforcement; supervisory use remains tool-level support.
(d) Incorrect. Supervisors use GenAI/NLP themselves to review documents and draft inspection reports; the drafting is not delegated to the supervised firms.

TRAP:
(b) **ROLE MISASSIGNMENT**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 101, Module 101.2, LO 101.b | Four-statement audit | Qualifier: "most accurate"

Q58.

Reading 101 | LO 101.b

A supervision director distinguishes current SupTech inspection capabilities from potential future applications. Which item is a POTENTIAL FUTURE application rather than a current one?

(a) Reviewing large volumes of regulatory examination documents to draft inspection reports.
(b) Generating customized error messages to support supervisory workflows.
(c) Using GenAI to model stress tests and bank runs by simulating social media interactions.
(d) Analyzing text data with GenAI and NLP for supervisory assessments.

ANSWER: (c)

CONCEPT TESTED: the current-vs-future boundary in SupTech. Intuition: reading and drafting are today's jobs; simulating a synthetic Twitter panic to stress-test a bank run is tomorrow's.

SOLUTION: (c) is correct. Social-media-simulation stress testing and bank run modeling is explicitly a potential future application.

OPTION ANALYSIS:
(a) Incorrect. Inspection report drafting from large document sets is a current, proven use.
(b) Incorrect. Customized error messages are a current LLM capability in supervisory workflows.
(c) Correct. As established in the solution above.
(d) Incorrect. Text analysis with GenAI/NLP is established in supervisory work.

TRAP:
(a) **SCOPE/CONDITION ERROR** bait (tense discrimination)
(b) **SCOPE/CONDITION ERROR** bait
(d) **SCOPE/CONDITION ERROR** bait

Book 5, Reading 101, Module 101.2, LO 101.b | Tense-discrimination audit | Qualifier: "potential future... rather than current"

Q59.

Reading 101 | LO 101.b

A financial stability economist explains why measuring AI adoption across the industry is difficult. Which explanation is most consistent with the reading?

(a) Comprehensive adoption data is unavailable, and competitive pressures may create a gap between perceived and actual AI use.
(b) Mandatory AI-use reporting gives authorities a complete adoption picture, so measurement is straightforward.
(c) Firms systematically understate their AI use to avoid appearing technologically aggressive.
(d) Adoption is fully observable for nonbank institutions but opaque for banks.

ANSWER: (a)

CONCEPT TESTED: the adoption-measurement gap. Intuition: no census exists, and bragging rights distort the survey: competitive pressure can inflate what firms CLAIM versus what they DO.

SOLUTION: (a) is correct. Lack of comprehensive data plus a perceived-vs-actual gap driven by competitive pressures.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. No such comprehensive reporting regime exists; data scarcity is the stated problem.
(c) Incorrect. The competitive-pressure distortion runs toward OVERSTATING use (perception exceeding reality), not hiding it.
(d) Incorrect. Visibility is WORSE outside traditional regulatory perimeters, so nonbanks are less observable, not fully observable.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP** (perimeter effect reversed)

Book 5, Reading 101, Module 101.2, LO 101.b | Four-statement audit | Qualifier: "most consistent"

Q60.

Reading 101 | LO 101.b

A mid-sized insurer with few specialized coders is evaluating GenAI. Which pairing of capability AND organizational implication best matches the reading?

(a) GenAI expands operations use cases such as code generation and legacy code modernization, AND it broadens access to advanced tools for firms that previously lacked sufficient staff with specialized coding skills.

(b) GenAI expands operations use cases, AND it benefits only firms that already employ large specialized coding teams.
(c) GenAI is restricted to customer chatbots, AND it therefore has no operations implications.
(d) GenAI expands operations use cases, AND its adoption removes the need for any governance of code quality.

ANSWER: (a)

CONCEPT TESTED: GenAI's democratization effect. Intuition: the power tools now come with an instruction manual that writes itself, so smaller shops can build what only big shops could before.

SOLUTION: (a) is correct. Both halves are stated: expanded operations use cases and broadened access for firms lacking coding staff.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the access effect: the stated benefit accrues especially to firms WITHOUT large specialist teams.
(c) Incorrect. GenAI's operations footprint (content, retrieval, code, transcription) is extensive.
(d) Incorrect. Right first half, but governance removal is an invented and reversed implication.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 101, Module 101.2, LO 101.b | Two-part conjunction (5B.5)

LO 101.c Reading 101

Assess the potential implications of AI for financial stability, with a focus on third-party dependencies and service provider concentration, market correlations, cyber risks, model risk, data and governance, and other vulnerabilities such as fraud, disinformation, and misalignment.

Q61.

Reading 101 | LO 101.c

A cybersecurity officer briefs the technology risk committee on AI-specific attack types. Which statement correctly distinguishes the two named attacks?

(a) Prompt injection attacks manipulate model weights, while poisoning attacks extract confidential information.
(b) Prompt injection attacks extract confidential information, while model/data poisoning attacks intentionally manipulate model weights and/or training data.
(c) Both attack types refer to intercepting model outputs in transit between the cloud provider and the institution.
(d) Poisoning attacks occur only during model deployment, while prompt injection occurs only during training.

ANSWER: (b)

CONCEPT TESTED: the prompt injection vs poisoning sibling pair. Intuition: injection is the con artist talking secrets OUT of the model; poisoning is the saboteur slipping bad ingredients INTO the model's food (weights or training data).

SOLUTION: (b) is correct. Injection extracts confidential information; poisoning manipulates weights and/or training data.

OPTION ANALYSIS:
(a) Incorrect. Swaps the two definitions exactly.
(b) Correct. As established in the solution above.
(c) Incorrect. Neither attack is an interception-in-transit concept; that is an invented third mechanism.
(d) Incorrect. Poisoning targets TRAINING data and weights; the lifecycle stages are reversed and over-restricted.

TRAP:
(a) **SIBLING SWAP** (mirror-image reversal)
(c) **SIBLING SWAP** (fabricated neighbor)
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 101, Module 101.3, LO 101.c | Confusables pair: prompt injection vs model/data poisoning, differs by: extract OUT vs corrupt IN

Q62.

Reading 101 | LO 101.c

An antitrust economist reviews the LLM and GenAI service provider market. Which factor is most likely to INCREASE market concentration rather than support competition?

(a) Increased competition among chip manufacturers expanding GPU supply.
(b) Continued performance improvements in open-source models.
(c) Growing demand for multimodal models capable of a wide range of GenAI tasks.
(d) Growth in domain- and task-specific models diversifying provider options.

ANSWER: (c)

CONCEPT TESTED: the concentration-drivers vs competition-supports split. Concentration side: complexity/costs, vertical integration, supply chain bottlenecks, incumbent investment, multimodality. Competition side: hardware competition, open source, architectural innovations, specialized models. Intuition: anything demanding breadth or scale favors giants; anything lowering entry cost favors challengers.

SOLUTION: (c) is correct. Multimodality favors providers with broad capabilities, reinforcing concentration.

OPTION ANALYSIS:
(a) Incorrect. Hardware competition expands supply and cuts GPU prices, supporting competition.
(b) Incorrect. Open-source improvement broadens participation.

(c) Correct. As established in the solution above.
(d) Incorrect. Specialized models diversify provider options and reduce concentration.

TRAP:
(a) **QUALIFIER-MISREAD BAIT** (list-side discrimination)
(b) **QUALIFIER-MISREAD BAIT**
(d) **QUALIFIER-MISREAD BAIT**

Book 5, Reading 101, Module 101.3, LO 101.c | Known GARP-style template (mirrors Schweser Module Quiz 101.3 Q1 structure, inverted to the concentration side)

Q63.

Reading 101 | LO 101.c

A stability analyst assesses how a bank's specific LLM deployment pattern affects market correlation risk. Which pairing of use AND correlation implication is most consistent with the reading?

(a) Using LLMs to shape investment strategies and inform risk management, AND correlation risk is accordingly higher.

(b) Using LLMs to shape investment strategies, AND correlation risk is negligible because strategies are proprietary.

(c) Using LLMs mainly for information retrieval, employee training, and document drafting, AND correlation risk is accordingly higher.

(d) Using LLMs for back-office document drafting, AND this use is the primary channel for flash crash risk.

ANSWER: (a)

CONCEPT TESTED: the use-dependence of correlation risk. Intuition: if the shared model steers PORTFOLIOS, everyone turns the wheel together (high correlation risk); if it just files the paperwork, the market never feels it (far lower risk).

SOLUTION: (a) is correct. Risk-management and investment-strategy uses of shared models carry the higher correlation risk.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Proprietary wrappers do not offset shared architectures and training data producing correlated outputs.
(c) Incorrect. Back-office internal uses carry FAR LOWER correlation risk; the implication is flipped.
(d) Incorrect. Same defect from the other direction: drafting documents is not a flash-crash channel.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 101, Module 101.3, LO 101.c | Two-part conjunction (5B.5) | Polarity-sensitive: strategy use = high risk, back-office use = low risk

Q64.

Reading 101 | LO 101.c

A market surveillance team documents the market-correlation vulnerability associated with AI adoption. Which statement is correct to include?

(a) Correlated behavior is driven by limited model choices, herding tendencies, network externalities, and limited model transparency, raising the likelihood of flash crashes, amplified volatility, and liquidity crunches in downturns.

(b) AI adoption necessarily raises market correlations, since all AI models converge on the same strategies.

(c) Incorporating GenAI-generated outputs into future training datasets would reduce output correlation over time.

(d) Homogeneous risk assessments across institutions arise only when regulators mandate a common model.

ANSWER: (a)

CONCEPT TESTED: correlation drivers and consequences. Intuition: same maps, same shortcuts, same traffic jam. But the road is two-way: AI could also REDUCE correlations via customized strategies and a broader participant base.

SOLUTION: (a) is correct. Those four drivers and three stress consequences are stated directly.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. "Necessarily" ignores the counter-channel: customized strategies and lowered entry barriers can reduce correlations.
(c) Incorrect. Feeding GenAI outputs back into training data would INCREASE correlations.
(d) Incorrect. Homogeneity can arise from institutions voluntarily building around the same risk management standards; no mandate is required.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 101, Module 101.3, LO 101.c | Four-statement audit | Qualifier: "correct to include"

Q65.

Reading 101 | LO 101.c

A CISO summarizes how GenAI reshapes the cyber threat landscape for financial institutions. Which statement is most accurate?

(a) GenAI can enable more effective and more frequent attacks while lowering barriers to entry for less sophisticated threat actors, and in the short term malicious actors may benefit from AI breakthroughs even more than legitimate users.

(b) LLMs strengthen defenses but cannot themselves be exploited to carry out attacks.

(c) As AI interaction channels multiply and datasets grow, the number of potential attack vectors has declined.

(d) Legitimate users capture the greater benefit in the short term, while malicious actors gain only over the long term.

ANSWER: (a)

CONCEPT TESTED: the cyber vulnerability, including the short-run asymmetry. Intuition: the new power tools reached the burglars first, because burglars skip the safety training that slows legitimate adopters; the sector is most exposed where attacks hit central banks, critical providers, FMIs, and unsubstitutable services.

SOLUTION: (a) is correct. More effective, more frequent attacks, lower entry barriers, and a short-run advantage to bad actors.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. LLMs themselves could be exploited to carry out certain attacks.
(c) Incorrect. Attack vectors have GROWN significantly as channels and datasets expand.
(d) Incorrect. Reverses the time asymmetry: malicious actors lead in the short term; legitimate users are expected to gain more over the long term.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP** (time horizons swapped)

Book 5, Reading 101, Module 101.3, LO 101.c | Four-statement audit | Known GARP-style template (mirrors Schweser Module Quiz 101.3 Q2 structure, perturbed) | Polarity-sensitive: short run favors attackers, long run favors defenders

Q66.

Reading 101 | LO 101.c

A bank relies on an external provider for its core GenAI capability. Which set of expectations best reflects the third-party risk management standards described in the reading?

(a) Conduct periodic risk assessments, maintain detailed vendor inventories, and perform ongoing monitoring and due diligence.
(b) Rely on the provider's industry certifications in place of the bank's own assessments.
(c) Perform a single comprehensive assessment at onboarding, after which monitoring is unnecessary.
(d) Contractually transfer accountability for model behavior to the cloud service provider.

ANSWER: (a)

CONCEPT TESTED: third-party risk mitigation expectations. Intuition: a rented engine still gets serviced on the renter's schedule: assess periodically, inventory the vendors, monitor continuously.

SOLUTION: (a) is correct. Periodic assessments, vendor inventories, and ongoing monitoring/due diligence are the stated expectations.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Certifications do not substitute for the institution's own risk assessment obligations.
(c) Incorrect. "Single... at onboarding" contradicts both PERIODIC assessment and ONGOING monitoring.
(d) Incorrect. Accountability stays with the institution; contracts do not shift it to the CSP.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **SCOPE/CONDITION ERROR** (frequency collapsed)
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 101, Module 101.3, LO 101.c | Four-statement audit | Qualifier: "best reflects"

Q67.

Reading 101 | LO 101.c

During model validation, a reviewer flags a GenAI output pattern: the model produces highly confident responses that are factually incorrect. Within the model risk terminology of the reading, this pattern is best described as:

(a) Misalignment.
(b) Hallucination.
(c) Model poisoning.
(d) Disinformation.

ANSWER: (b)

CONCEPT TESTED: the hallucination definition among its siblings. Intuition: hallucination is the model's own confident error; poisoning is someone corrupting it; misalignment is it pursuing the wrong objective; disinformation is a malicious human broadcasting falsehoods.

SOLUTION: (b) is correct. (a) hallucination is a highly confident but incorrect response, a GenAI-associated model inaccuracy.

OPTION ANALYSIS:
(a) Incorrect. Misalignment is a system not operating as intended or breaching regulatory/legal standards, an objective failure, not a factual one.
(b) Correct. As established in the solution above.
(c) Incorrect. Poisoning is intentional external manipulation of weights or training data.
(d) Incorrect. Disinformation is deliberately generated and disseminated false content by malicious actors.

TRAP:
(a) **SIBLING SWAP**

(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 101, Module 101.3, LO 101.c | Definition discrimination | Confusables cluster: hallucination vs misalignment vs poisoning vs disinformation

Q68. Reading 101 | LO 101.c

An AI trading system learns a strategy of spreading false negative content about a bank to trigger deposit outflows while profiting from the decline in the bank's stock price. Within the vulnerability categories of the reading, this behavior is best classified as:

(a) A market correlation vulnerability.
(b) A third-party dependency vulnerability.
(c) Misalignment, where a profit-maximizing system behaves inconsistently with regulatory and legal standards.
(d) A model governance failure caused by unstructured training data.

ANSWER: (c)

CONCEPT TESTED: the misalignment category via its named example. Intuition: the system did exactly what maximized its objective and exactly what the law forbids; that gap between objective and intended/legal behavior IS misalignment. The reading's examples: learned collusive pricing, and disinformation-triggered bank runs traded for profit.

SOLUTION: (c) is correct. This is the misalignment example almost verbatim in mechanism: disinformation triggering a run while the system profits from the stock decline.

OPTION ANALYSIS:
(a) Incorrect. No shared-model synchronization is involved; one system acting alone.
(b) Incorrect. No vendor or infrastructure dependence drives the behavior.
(c) Correct. As established in the solution above.
(d) Incorrect. The failure is objective misspecification, not data quality; a plausible-sounding governance frame attached to the wrong category.

TRAP:
(a) **SIBLING SWAP**
(b) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 101, Module 101.3, LO 101.c | Scenario classification | Qualifier: "best classified"

Q69. Reading 101 | LO 101.c

A model risk head prepares guidance on AI model risk for stressed conditions. Which statement is most consistent with the reading?

(a) During periods of crisis, it may become more difficult to monitor, validate, and correct models, and model risk management standards should cover data quality assessment, validation, outcome analysis, ongoing monitoring, and mitigants for unavailable or limited data.
(b) Crisis periods simplify validation because stressed data reveals model weaknesses more clearly.
(c) Because LLM outputs are structured and easily scored, error rates are straightforward to determine.
(d) AI model risk should be handled in a framework fully separate from existing risk management frameworks.

ANSWER: (a)

CONCEPT TESTED: model risk under stress and the MRM standards checklist. Intuition: the fog is thickest exactly when navigation matters most; the standards list is the instrument panel (data quality, validation, outcomes, monitoring, data-gap mitigants).

SOLUTION: (a) is correct. Both the crisis-period difficulty and the five-element standards content are stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Crisis periods make monitoring and validation HARDER, not clearer.
(c) Incorrect. LLM outputs are typically UNSTRUCTURED text, making accuracy assessment and error-rate determination difficult.
(d) Incorrect. Regulated institutions address AI data and model risk through their EXISTING risk management frameworks.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP** (integration reversed into separation)

Book 5, Reading 101, Module 101.3, LO 101.c | Four-statement audit | Qualifier: "most consistent"

Q70. Reading 101 | LO 101.c

A long-horizon risk report covers structural implications of expanding AI use. Which statement is correct to include?

(a) AI-related energy consumption is currently about 1% of global energy use but is expected to increase, and GenAI may create greater labor market risks for high-skilled workers than previous waves of technological innovation.
(b) AI-related energy consumption already dominates global energy use, making further adoption infeasible.
(c) GenAI's labor market effects will fall mainly on low-skilled workers, mirroring previous automation waves.
(d) Because most firms build customized value-generating AI applications, internal efficiency uses are now rare.

ANSWER: (a)

CONCEPT TESTED: the long-term structural block: energy, labor, and adoption focus. Intuition: the power bill is small today (about 1%) but growing; and this wave climbs the skill ladder, exposing high-skilled work in a way earlier automation did not.

SOLUTION: (a) is correct. The 1% figure with expected growth, and the elevated risk to high-skilled workers, are both stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Inflates a small current share into dominance.
(c) Incorrect. Reverses the skill gradient: GenAI potentially creates GREATER risks for high-skilled workers than prior waves.
(d) Incorrect. Many firms remain focused on internal efficiencies rather than customized value-generating applications; the adoption pattern is reversed.

TRAP:
(b) **POLARITY FLIP** (magnitude inverted)
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 101, Module 101.3, LO 101.c | Four-statement audit | Magnitude anchor: AI energy use approx. 1% of global

READING 102: THE GLOBAL DRIVERS OF PRIVATE CREDIT

Priority: VERY IMPORTANT | 30 questions | Book 5, Study Session 15

LO 102.a Reading 102

Describe the structure and characteristics of private credit funds, as well as the patterns in the global growth of the asset class.

Q71.

Reading 102 | LO 102.a

An investment consultant explains to a pension trustee why private credit funds (PCFs) can safely hold illiquid loans to maturity. The structural feature that best mitigates liquidity and maturity transformation risk is the:

(a) Exchange listing of fund shares.
(b) Growing retail investor base.
(c) Open-end structure with frequent redemptions.
(d) Closed-end structure with capital committed for roughly five to eight years.

ANSWER: (d)

CONCEPT TESTED: why the closed-end wrapper fits illiquid assets. Intuition: lock the doors and nobody can start a run; committed capital means no forced sales when investors get nervous.

SOLUTION: (d) is correct. Closed-end structures commit capital for about five to eight years, aligning funding with illiquid, full-term loans and reducing liquidity and maturity transformation risks.

OPTION ANALYSIS:
(a) Incorrect. PCFs are typically UNLISTED; listing is the exception (some BDCs) and does not reduce liquidity risk of the loan book.
(b) Incorrect. Retail growth INCREASES redemption pressure and pushes PCFs toward bank-like mismatch risk.
(c) Incorrect. Open-end features raise liquidity risk by promising redemptions against illiquid assets.
(d) Correct. As established in the solution above.

TRAP:
(a) **POLARITY FLIP**
(b) **POLARITY FLIP**
(c) **SIBLING SWAP** (opposite structure)

Book 5, Reading 102, Module 102.1, LO 102.a | Known GARP-style template (mirrors Schweser Module Quiz 102.1 Q1 structure)

Q72.

Reading 102 | LO 102.a

A wealth adviser describes business development companies (BDCs) to a client. Which statement is most accurate?

(a) BDCs account for roughly one-fifth of the US private credit market, are often publicly listed, and appeal to retail investors through open-end features allowing earlier redemptions.
(b) BDCs account for roughly 90% of the US private credit market and serve only institutional investors.
(c) BDCs impose longer capital lockups than typical closed-end PCFs to deter retail participation.
(d) BDCs are unlisted vehicles that prohibit redemptions before fund maturity.

ANSWER: (a)

CONCEPT TESTED: the BDC profile against the generic PCF profile. Intuition: BDCs are the retail-friendly storefront of private credit: listed, redeemable earlier, about a fifth of the market.

SOLUTION: (a) is correct. One-fifth share, frequent public listing, and retail appeal via open-end features are the stated traits.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The 90% figure belongs to the US share of GLOBAL loan originations, not the BDC share of the US market.
(c) Incorrect. Reverses the redemption design: BDCs offer MORE opportunities for earlier redemption, not longer lockups.
(d) Incorrect. Attributes the generic unlisted, locked PCF profile to BDCs, the one segment built the other way.

TRAP:
(b) **WRONG INPUT TWIN** (right number, wrong quantity)
(c) **POLARITY FLIP**
(d) **SIBLING SWAP**

Book 5, Reading 102, Module 102.1, LO 102.a | Four-statement audit | Confusables: BDC (listed, retail, open-end features) vs typical PCF (unlisted, institutional, closed-end)

Q73. Reading 102 | LO 102.a

A due diligence analyst maps PCF lending strategies to their defining features. Which mapping is correct?

(a) Mezzanine lending: subordinated debt that may include equity rights.
(b) Direct lending: purchasing credit-risky debt at significant discounts.
(c) Asset-based lending: lending with collateral requirements reduced or removed.
(d) Distressed debt investing: floating-rate structures with extensive covenants.

ANSWER: (a)

CONCEPT TESTED: the four-strategy feature map. Intuition: direct = floating rate plus covenants; mezzanine = subordinated with equity kickers; asset-based = substantial collateral; distressed = deep-discount purchases.

SOLUTION: (a) is correct. Mezzanine lending involves subordinated debt and may include equity rights.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Deep-discount purchases define DISTRESSED debt investing.
(c) Incorrect. Asset-based lending REQUIRES substantial collateral; reduced collateral describes the PCF direct-lending advantage over banks.
(d) Incorrect. Floating-rate structures with extensive covenants define DIRECT lending.

TRAP:
(b) **SIBLING SWAP**
(c) **POLARITY FLIP**
(d) **SIBLING SWAP**

Book 5, Reading 102, Module 102.1, LO 102.a | Category-matching audit | Qualifier: "correct"

Q74. Reading 102 | LO 102.a

Among the lending strategies available to PCFs, the one most central to the typical PCF business model is:

(a) Direct lending.
(b) Mezzanine lending.
(c) Asset-based lending.
(d) Distressed debt investing.

ANSWER: (a)

CONCEPT TESTED: strategy centrality. Intuition: the day job is originating floating-rate, covenant-heavy loans directly to firms; the other three are side businesses.

SOLUTION: (a) is correct. PCFs frequently pursue a focused direct-lending strategy; the others are participated in but less central.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Mezzanine is a real but secondary PCF strategy.
(c) Incorrect. Asset-based lending is likewise secondary.
(d) Incorrect. Distressed investing is likewise secondary.

TRAP:
(b) **SIBLING SWAP** (centrality tier)
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 102, Module 102.1, LO 102.a | Known GARP-style template (mirrors Schweser Module Quiz 102.1 Q2 structure) | Qualifier: "most central"

Q75. Reading 102 | LO 102.a

A prudential supervisor considers what growing retail participation would mean for PCF risk profiles. Which pairing of current state AND forward risk is most consistent with the reading?

(a) The investor base is predominantly institutional, AND continued retail expansion could expose PCFs to asset-liability mismatch risks similar to those faced by banks.
(b) The investor base is predominantly retail, AND institutional growth would introduce mismatch risk.
(c) The investor base is predominantly institutional, AND retail expansion would further reduce liquidity risk by broadening the funding base.
(d) Banks and PCFs both rely mainly on long-term committed funding, AND neither faces material mismatch risk.

ANSWER: (a)

CONCEPT TESTED: the investor-base structure and its migration risk. Intuition: patient institutional money is the moat; retail money wants exits, and exits against locked loans is exactly the bank disease (short funding, long assets).

SOLUTION: (a) is correct. Predominantly institutional today; expanding retail could import bank-like asset-liability mismatch.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the current base composition.
(c) Incorrect. Retail expansion RAISES redemption-driven liquidity risk; the implication is flipped.
(d) Incorrect. Banks rely heavily on SHORT-TERM funding and carry significant mismatches; the premise fails for banks.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 102, Module 102.1, LO 102.a | Two-part conjunction (5B.5)

Q76.

Reading 102 | LO 102.a

A market strategist summarizes the global growth pattern of private credit over the past two decades. Which summary is most accurate?

(a) AUM grew from roughly $0.2 trillion to more than $2.5 trillion, with the United States accounting for nearly 90% of loan originations and Europe, the UK, and Canada making up most of the rest.
(b) AUM grew from roughly $2.5 trillion to $0.2 trillion as banks reclaimed lending share.
(c) AUM grew to more than $2.5 trillion, with Europe accounting for nearly 90% of loan originations.
(d) AUM grew to more than $2.5 trillion, distributed roughly evenly across the US, Europe, and Asia.

ANSWER: (a)

CONCEPT TESTED: the growth and geography anchors. Two numbers to hold: $0.2T to $2.5T+, and the US near 90% of originations.

SOLUTION: (a) is correct. Both magnitude and geography match the stated pattern.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Runs the growth arrow backward.
(c) Incorrect. Hands the US's 90% share to Europe.
(d) Incorrect. "Evenly distributed" erases the pronounced US dominance.

TRAP:
(b) **POLARITY FLIP**
(c) **ROLE MISASSIGNMENT** (right number, wrong region)
(d) **ABSOLUTE-CLAIM TRAP** (concentration flattened)

Book 5, Reading 102, Module 102.1, LO 102.a | Magnitude anchors: $0.2T to $2.5T; US approx. 90% of originations

Q77.

Reading 102 | LO 102.a

Regarding the industry reach of private credit, which statement is most consistent with the reading?

(a) The sector has broadened from an early focus on manufacturing, technology, and industrial firms to a wider range including cleantech and life sciences.
(b) The sector has narrowed from broad industry coverage toward a concentrated focus on manufacturing.
(c) The sector began in cleantech and life sciences and later expanded into manufacturing and technology.
(d) Industry reach has been static, with lending confined to technology firms throughout.

ANSWER: (a)

CONCEPT TESTED: the direction and content of industry broadening. Intuition: old core (manufacturing, tech, industrial) to new frontiers (cleantech, life sciences).

SOLUTION: (a) is correct. That is the stated broadening path.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses broadening into narrowing.
(c) Incorrect. Swaps the early focus with the later expansion.
(d) Incorrect. "Static" and "confined" contradict the documented expansion.

TRAP:
(b) **POLARITY FLIP**
(c) **SIBLING SWAP** (timeline inverted)
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 102, Module 102.1, LO 102.a | Four-statement audit | Qualifier: "most consistent"

Q78.

Reading 102 | LO 102.a

An analyst compares portfolio diversification across lender types using the Herfindahl-Hirschman Index (HHI). Which conclusion

matches the reading?

(a) HHI measures show individual PCFs are far less diversified than banks or other nonbank lenders in the syndicated loan market.
(b) HHI measures show PCFs are the most diversified lender type, reflecting the sector's industry broadening.
(c) The HHI is used to measure fund leverage rather than portfolio concentration.
(d) Because the overall market has diversified, individual PCF portfolios have necessarily diversified as well.

ANSWER: (a)

CONCEPT TESTED: the concentration finding and the HHI's role. Intuition: the FOREST diversified while each TREE stayed specialized; sector-level breadth does not equal fund-level breadth.

SOLUTION: (a) is correct. HHI evidence shows PCF portfolios are far less diversified than banks or syndicated-market nonbank lenders.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the fund-level finding by importing the sector-level trend.
(c) Incorrect. HHI measures CONCENTRATION, not leverage.
(d) Incorrect. "Necessarily" bridges the sector-fund gap that the reading explicitly keeps open.

TRAP:
(b) **POLARITY FLIP**
(c) **SIBLING SWAP** (metric misdefined)
(d) **SCOPE/CONDITION ERROR** (level-of-aggregation slip)

Book 5, Reading 102, Module 102.1, LO 102.a | Four-statement audit | Confusables: market-level diversification vs fund-level concentration, differs by: aggregation level

Q79.

Reading 102 | LO 102.a

A fund manager defends her PCF's concentrated sector focus to an investor. Which rationale is most consistent with the reading?

(a) Concentration builds specialized screening and monitoring capabilities that allow better risk assessment and tailored terms for riskier, highly leveraged borrowers often rejected by banks.
(b) Concentration is imposed by regulation, which restricts each PCF to a single industry.
(c) Concentration eliminates exposure to sector-specific downturns.
(d) Concentration is preferred because diversified portfolios systematically earn higher returns.

ANSWER: (a)

CONCEPT TESTED: the economics of PCF specialization. Intuition: the specialist mechanic can profitably fix the cars the dealership refuses, because deep sector knowledge substitutes for collateral.

SOLUTION: (a) is correct. Specialized screening/monitoring supports serving limited-collateral, higher-risk borrowers on tailored terms.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Concentration is a chosen strategy, not a regulatory mandate.
(c) Incorrect. Concentration INCREASES exposure to sector-specific downturns; that is its cost.
(d) Incorrect. The stated tradeoff runs the other way: diversification may enhance safety but can REDUCE the higher returns of concentrated strategies.

TRAP:
(b) **SCOPE/CONDITION ERROR** (invented rule)
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 102, Module 102.1, LO 102.a | Four-statement audit | Qualifier: "most consistent"

Q80.

Reading 102 | LO 102.a

A retail investor protection unit reviews the concentration-diversification tradeoff in PCFs. Which statement is correct to include in its assessment?

(a) Institutional investors are generally better positioned to manage PCF concentration risk through broader portfolio diversification, while retail investors may be less aware of the concentration risks involved.
(b) Retail investors are better positioned than institutions to absorb PCF concentration risk because their holdings are smaller.
(c) Greater diversification within PCFs would raise both safety and expected returns simultaneously.
(d) Concentration risk is irrelevant to investors because PCF loans are held to maturity.

ANSWER: (a)

CONCEPT TESTED: who bears concentration risk well. Intuition: the institution holds the PCF as one tile in a large mosaic; the retail investor may hold it as the whole picture without seeing the tilt.

SOLUTION: (a) is correct. Institutional investors diversify around the concentration; retail awareness is the stated concern.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the stated positioning; holding size is not the mechanism.
(c) Incorrect. Diversification may enhance safety but can reduce the higher returns of concentration; "both simultaneously" denies the tradeoff.

(d) Incorrect. Held-to-maturity accounting does not neutralize sector-downturn losses.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 102, Module 102.1, LO 102.a | Four-statement audit | Qualifier: "correct to include"

LO 102.b Reading 102

Discuss the potential drivers of private credit growth and interpret regression results about their impact.

Q81. Reading 102 | LO 102.b

A credit strategist lists the four key forces behind the global expansion of private credit. Which list is correct?

(a) Low policy rates, banking sector inefficiency, increased regulatory stringency on banks, and rising corporate leverage.
(b) High policy rates, banking sector efficiency gains, deregulation of banks, and falling corporate leverage.
(c) Low policy rates, rising household savings, securitization growth, and falling default rates.
(d) Quantitative easing, deposit insurance expansion, fintech disruption, and demographic change.

ANSWER: (a)

CONCEPT TESTED: the four named growth drivers. Intuition: everything that makes BANKS step back (thin margins, inefficiency, regulation, risk aversion toward leveraged firms) makes room for PCFs to step in.

SOLUTION: (a) is correct. Those are the four drivers: accommodative monetary policy, banking inefficiency, regulatory stringency, and rising corporate leverage.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Every element is direction-reversed.
(c) Incorrect. Substitutes plausible macro factors not on the list for two of the four drivers.
(d) Incorrect. None of these is a named driver.

TRAP:
(b) **POLARITY FLIP** (full-list reversal)
(c) **SIBLING SWAP** (fabricated neighbors)
(d) **SIBLING SWAP**

Book 5, Reading 102, Module 102.1, LO 102.b | List audit | Qualifier: "correct"

Q82. Reading 102 | LO 102.b

An economist explains why prolonged low policy rates favor PCF lending over bank lending. Which explanation is most consistent with the reading?

(a) Low rates compress bank margins because the value of bank assets declines more quickly than the value of their liabilities, while PCFs escape this compression since both their assets and liabilities are generally floating rate.
(b) Low rates compress PCF margins because PCF liabilities are fixed rate while their assets float.
(c) Low rates expand bank margins, making banks more willing to lend and crowding out PCFs.
(d) Low rates affect banks and PCFs identically because both fund with customer deposits.

ANSWER: (a)

CONCEPT TESTED: the margin-compression asymmetry. Intuition: banks hold floating assets against sticky fixed-rate deposits, so falling rates squeeze them; PCFs float on BOTH sides, so the squeeze passes them by and the lending gap opens for them to fill.

SOLUTION: (a) is correct. Asset values fall faster than liability values for banks, while PCFs' matched floating structure avoids the compression.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Assigns the mismatched structure to PCFs; theirs is the matched one.
(c) Incorrect. Reverses the margin effect and its lending consequence.
(d) Incorrect. PCFs do not fund with customer deposits; the funding-structure difference IS the mechanism.

TRAP:
(b) **ROLE MISASSIGNMENT**
(c) **POLARITY FLIP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 102, Module 102.1, LO 102.b | Four-statement audit | Polarity-sensitive: banks squeezed, PCFs insulated

Q83. Reading 102 | LO 102.b

A researcher describes the IMF's financial institutions (FI) index and its relationship to private credit. Which statement is correct?

(a) The FI index measures how effectively banks meet loan demand, and PCF direct lending increases when the FI index is LOWER.
(b) The FI index measures how effectively banks meet loan demand, and PCF direct lending increases when the FI index is HIGHER.
(c) The FI index measures corporate leverage in the nonfinancial sector.

(d) The FI index measures the stringency of bank regulation across jurisdictions.

ANSWER: (a)

CONCEPT TESTED: the FI index definition and its sign. Intuition: the index scores how well banks serve borrowers; where banks serve badly (low index, often collateral-poor SMEs), PCFs move in with covenant-based lending.

SOLUTION: (a) is correct. Right definition, and the negative relationship: lower FI index, more PCF lending (coefficient around minus 1.7 to minus 1.9).

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Right definition, sign reversed.
(c) Incorrect. Corporate leverage is a separate regression variable.
(d) Incorrect. Regulatory stringency is likewise its own separate variable.

TRAP:
(b) **POLARITY FLIP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 102, Module 102.1, LO 102.b | Definition-plus-sign audit | Polarity-sensitive: LOW FI index = HIGH private credit

Q84.

Reading 102 | LO 102.b

Reviewing the BIS regression on private credit growth across 45 countries (2010-2019), an analyst ranks the four explanatory variables by economic impact, largest to smallest. Which ranking is correct?

(a) FI index > policy rate > regulatory stringency > corporate leverage.
(b) Policy rate > FI index > corporate leverage > regulatory stringency.
(c) Regulatory stringency > FI index > policy rate > corporate leverage.
(d) Corporate leverage > policy rate > FI index > regulatory stringency.

ANSWER: (a)

CONCEPT TESTED: the economic-impact ladder. Anchor the one-standard-deviation effects: FI index approx. 33%, policy rate approx. 12%, regulatory stringency 2% to 4%, corporate leverage under 1%.

SOLUTION: (a) is correct. 33% > 12% > 2-4% > under 1%.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the top pair; the FI index, not the policy rate, has the largest effect.
(c) Incorrect. Promotes the modest stringency effect to first.
(d) Incorrect. Puts the weakest variable first.

TRAP:
(b) **SIBLING SWAP** (top-pair exchange)
(c) **SIBLING SWAP**
(d) **POLARITY FLIP** (ranking inverted)

Book 5, Reading 102, Module 102.1, LO 102.b | Ranking format (5B.4): the shortcut is the 33/12/2-4/under-1 ladder | Known GARP-style template (mirrors Schweser Module Quiz 102.1 Q3 structure, extended to a full ranking)

Q85.

Reading 102 | LO 102.b

A reviewer checks the SIGNS of the four coefficients in the BIS private credit regression. Each row below assigns a sign to each variable's coefficient. Which row is correct?

(a) Policy rate: negative | FI index: negative | Regulatory stringency: positive | Corporate leverage: positive.
(b) Policy rate: positive | FI index: negative | Regulatory stringency: positive | Corporate leverage: negative.
(c) Policy rate: negative | FI index: positive | Regulatory stringency: negative | Corporate leverage: positive.
(d) Policy rate: positive | FI index: positive | Regulatory stringency: negative | Corporate leverage: negative.

ANSWER: (a)

CONCEPT TESTED: coefficient signs as a 4-column matrix. Intuition: private credit grows when rates FALL (negative, minus 0.03) and when bank effectiveness FALLS (negative, minus 1.7 to minus 1.9), and grows when regulation TIGHTENS (positive, 0.463 to 0.667) and when leverage RISES (positive, 0.001).

SOLUTION: (a) is correct. Negative, negative, positive, positive.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Flips the policy rate and corporate leverage cells.
(c) Incorrect. Flips the FI index and stringency cells, reversing the two bank-behavior channels.
(d) Incorrect. Flips all four signs.

TRAP:
(b) **POLARITY FLIP** (two cells)
(c) **POLARITY FLIP** (two cells)

(d) **POLARITY FLIP** (full inversion)

Book 5, Reading 102, Module 102.1, LO 102.b | Choice-matrix format (5B.5) | Polarity-sensitive on all four cells

Q86. Reading 102 | LO 102.b

Per the BIS regression, a one-standard-deviation DECLINE in the policy rate is associated with approximately what change in private credit loan origination?

(a) An increase of roughly 12%.
(b) An increase of roughly 33%.
(c) An increase of roughly 2% to 4%.
(d) An increase of less than 1%.

ANSWER: (a)

CONCEPT TESTED: attaching the right magnitude to the right variable. Intuition: 33 belongs to the FI index, 12 to the policy rate, 2-4 to stringency, under 1 to leverage.

SOLUTION: (a) is correct. (a) one-standard-deviation policy rate decline maps to roughly a 12% origination increase.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. That is the FI index effect, the neighboring magnitude.
(c) Incorrect. That is the regulatory stringency effect.
(d) Incorrect. That is the corporate leverage effect.

TRAP:
(b) **WRONG INPUT TWIN**
(c) **WRONG INPUT TWIN**
(d) **WRONG INPUT TWIN**

Book 5, Reading 102, Module 102.1, LO 102.b | Magnitude-matching | All distractors are legitimate magnitudes of the OTHER variables

Q87. Reading 102 | LO 102.b

A policy analyst is surprised that TIGHTER bank regulation is associated with MORE private credit. Which statement best explains the finding?

(a) Higher capital requirements and stricter oversight make banks less willing to lend to riskier firms, and those firms migrate to PCFs, which operate with greater flexibility.
(b) Tighter regulation applies equally to PCFs, so it cannot affect the competitive balance.
(c) The finding is an artifact: the regression coefficient on stringency is negative.
(d) Tighter regulation reduces total credit demand, mechanically raising the private credit share.

ANSWER: (a)

CONCEPT TESTED: the migration mechanism behind the positive stringency coefficient. Intuition: tighten the front door and the borrowers walk around to the side door; regulation binds the bank, not the fund.

SOLUTION: (a) is correct. Riskier borrowers displaced by bank risk aversion turn to more flexible PCFs; coefficient 0.463 to 0.667, worth roughly 2% to 4% per standard deviation.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The stringency variable measures BANK regulation; the asymmetry is the whole mechanism.
(c) Incorrect. The stringency coefficient is POSITIVE.
(d) Incorrect. The regression explains newly originated private credit LEVELS via borrower migration, not a share artifact from shrinking demand.

TRAP:
(b) **SCOPE/CONDITION ERROR**
(c) **POLARITY FLIP**
(d) **SIBLING SWAP** (plausible alternative mechanism not in the reading)

Book 5, Reading 102, Module 102.1, LO 102.b | Mechanism audit | Qualifier: "best explains"

Q88. Reading 102 | LO 102.b

Among the four regression variables, the one with the WEAKEST relationship to private credit growth is:

(a) The policy rate.
(b) Corporate leverage.
(c) The FI index.
(d) Bank regulatory stringency.

ANSWER: (b)

CONCEPT TESTED: the bottom of the impact ladder under a superlative qualifier. Intuition: leverage rose ALONGSIDE private credit (correlation in the narrative), but in the regression its marginal effect is tiny: coefficient 0.001, under 1% per standard deviation.

SOLUTION: (b) is correct. Corporate leverage shows the weakest relationship.

OPTION ANALYSIS:
(a) Incorrect. The policy rate carries the second-largest effect (about 12%).
(b) Correct. As established in the solution above.
(c) Incorrect. The FI index is the STRONGEST variable (about 33%).
(d) Incorrect. Stringency's 2% to 4% still exceeds leverage's under-1%.

TRAP:
(a) **QUALIFIER-MISREAD BAIT** (weakest, not strongest)
(c) **QUALIFIER-MISREAD BAIT**
(d) **SIBLING SWAP** (adjacent bottom ranks)

Book 5, Reading 102, Module 102.1, LO 102.b | Superlative qualifier (weakest) | Ladder anchor: 33 / 12 / 2-4 / under 1

Q89.

Reading 102 | LO 102.b

A researcher documents WHY low banking sector efficiency creates space for PCFs. Which statement is most consistent with the reading?

(a) Banks are frequently reluctant to lend to small- and medium-sized firms that cannot provide sufficient collateral, and PCFs fill the gap by reducing or removing collateral requirements and relying on more targeted covenants.
(b) Banks avoid SMEs because covenants are illegal in bank lending, forcing SMEs to PCFs.
(c) PCFs fill the gap by demanding more collateral than banks, which reassures risk-averse investors.
(d) Low bank efficiency reflects insufficient loan demand, which PCFs cannot remedy.

ANSWER: (a)

CONCEPT TESTED: the collateral-vs-covenant substitution at the heart of the FI index channel. Intuition: banks price on pledges; PCFs price on promises they can actually monitor.

SOLUTION: (a) is correct. Collateral-poor SMEs depress the FI index; PCFs substitute targeted covenants for collateral.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Banks use covenants too; no such legal bar exists.
(c) Incorrect. Reverses the PCF collateral posture.
(d) Incorrect. The FI index measures how well banks MEET demand; the gap is supply-side reluctance, which PCFs do remedy.

TRAP:
(b) **SCOPE/CONDITION ERROR** (invented rule)
(c) **POLARITY FLIP**
(d) **SIBLING SWAP** (demand story swapped for supply story)

Book 5, Reading 102, Module 102.1, LO 102.b | Four-statement audit | Qualifier: "most consistent"

Q90.

Reading 102 | LO 102.b

A junior analyst claims: "PCFs lend without collateral, so asset-based lending must be a bank-only strategy." Which correction is most accurate?

(a) Reduced collateral requirements characterize PCF direct lending to collateral-poor borrowers, while asset-based lending remains a PCF strategy that requires substantial collateral; the two coexist within the PCF toolkit.
(b) The analyst is right: PCFs never take collateral in any strategy.
(c) All PCF strategies require substantial collateral; the collateral-light description is a myth.
(d) Asset-based lending is indeed bank-only, since funds cannot perfect security interests.

ANSWER: (a)

CONCEPT TESTED: an internal confusable: the collateral-light direct-lending advantage vs the collateral-heavy asset-based strategy. Intuition: the same fund family runs both a trust-the-covenant desk and a hold-the-keys desk.

SOLUTION: (a) is correct. Direct lending substitutes covenants for collateral; asset-based lending requires substantial collateral; both sit inside PCFs.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. "Never" contradicts the asset-based strategy and the note that collateral may still be required.
(c) Incorrect. Overcorrects in the other direction, erasing the direct-lending advantage.
(d) Incorrect. Asset-based lending is listed as a PCF strategy; the legal rationale is invented.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 102, Module 102.1, LO 102.b | Confusables pair: direct lending (collateral-light) vs asset-based lending (collateral-heavy), differs by: what secures the loan

LO 102.c Reading 102

Compare private credit loans with bank loans and assess how changes in cost of equity, cost of debt, and leverage have influenced the competitive dynamics between them.

Q91. Reading 102 | LO 102.c

A CFO of a highly leveraged mid-market firm explains why she chose a private credit loan over a bank loan. Which factor best explains borrower preference for private credit?

(a) Tailored covenants and flexible terms with faster execution.
(b) Lower interest rates than banks offer.
(c) Guaranteed absence of collateral requirements.
(d) Uniformly longer repayment periods.

ANSWER: (a)

CONCEPT TESTED: the true borrower draw. Intuition: private credit sells FIT and SPEED, not cheapness; borrowers pay up for terms shaped to them and quick closes.

SOLUTION: (a) is correct. Flexible terms, tailored covenants, and faster execution are the stated attractions.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Private credit rates are often HIGHER than bank rates.
(c) Incorrect. Collateral may still be required; "guaranteed absence" overclaims.
(d) Incorrect. Repayment periods vary with borrower needs; uniformity is invented.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 102, Module 102.2, LO 102.c | Known GARP-style template (mirrors Schweser Module Quiz 102.2 Q2 structure) | Qualifier: "best explains"

Q92. Reading 102 | LO 102.c

A credit officer profiles the typical private credit borrower relative to the typical bank borrower. Which profile is most consistent with the reading?

(a) Limited tangible collateral, high leverage, and/or lower accounting transparency.
(b) Abundant collateral, low leverage, and audited transparency exceeding bank standards.
(c) Investment-grade large corporates seeking syndicated facilities.
(d) Sovereign and municipal borrowers excluded from bank balance sheets.

ANSWER: (a)

CONCEPT TESTED: the borrower fingerprint. Intuition: the private credit client is the one the bank's checklist rejects: thin collateral, thick leverage, opaque books, offset by the fund's specialized monitoring.

SOLUTION: (a) is correct. Those three traits define the borrowers better suited to PCF customized lending.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses each trait into the classic bank-friendly profile.
(c) Incorrect. Large syndicated investment-grade lending is the banks' and syndicated market's turf.
(d) Incorrect. Sovereigns and municipals are not the described client base of PCF direct lending to nonfinancial SMEs.

TRAP:
(b) **POLARITY FLIP** (full-profile reversal)
(c) **SIBLING SWAP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 102, Module 102.2, LO 102.c | Four-statement audit | Qualifier: "most consistent"

Q93. Reading 102 | LO 102.c

Comparing US banks and BDCs since the 2007-2009 financial crisis, which statement about the cost of equity (CoE) is correct?

(a) The CoE for BDCs has remained consistently lower than that of banks.
(b) The CoE for BDCs has remained consistently higher than that of banks.
(c) The CoE for banks and BDCs converged to equality shortly after the crisis.
(d) The CoE comparison is meaningless because BDCs have no listed equity.

ANSWER: (a)

CONCEPT TESTED: the post-crisis CoE ordering. Intuition: equity investors charge banks more (market risk plus regulatory burden loaded onto bank equity), leaving BDC equity persistently cheaper.

SOLUTION: (a) is correct. BDC CoE has been consistently below bank CoE since the crisis.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the ordering; a natural guess given BDCs' riskier borrowers, which is exactly the bait.

(c) Incorrect. The gap persisted; convergence happened in the overall COST OF CAPITAL, not in CoE.
(d) Incorrect. BDCs are often publicly listed; the premise fails.

TRAP:
(b) **POLARITY FLIP**
(c) **SIBLING SWAP** (metric swap: CoE vs WACC)
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 102, Module 102.2, LO 102.c | Polarity-sensitive: BDC CoE LOWER than bank CoE | Confusables: CoE gap (persistent) vs WACC gap (converged)

Q94.

Reading 102 | LO 102.c

A leverage comparison between US banks and BDCs is presented to a risk committee. Which statement is most accurate?

(a) Because banks face a higher cost of equity, they have relied increasingly on lower-cost debt, resulting in significantly higher leverage for banks relative to BDCs.
(b) BDCs are significantly more leveraged than banks, since funds face no capital regulation.
(c) Banks and BDCs maintain similar leverage because both target regulatory capital ratios.
(d) Banks reduced leverage after the crisis by substituting equity for debt, falling below BDC leverage.

ANSWER: (a)

CONCEPT TESTED: the leverage ordering and its cause. Intuition: expensive equity pushes banks toward debt, so BANKS carry the higher leverage; the intuitive guess (risky funds must be more levered) is the trap.

SOLUTION: (a) is correct. Higher bank CoE drove reliance on cheaper debt and significantly higher bank leverage relative to BDCs.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the ordering with an appealing no-regulation rationale.
(c) Incorrect. "Similar" erases a stated significant gap, and BDCs do not target bank capital ratios.
(d) Incorrect. The substitution ran equity-to-debt for BDCs; assigning it to banks in reverse misfiles the actor and the direction.

TRAP:
(b) **POLARITY FLIP**
(c) **ABSOLUTE-CLAIM TRAP** (difference flattened)
(d) **ROLE MISASSIGNMENT** + **POLARITY FLIP**

Book 5, Reading 102, Module 102.2, LO 102.c | Four-statement audit | Polarity-sensitive: BANKS are the more leveraged party

Q95.

Reading 102 | LO 102.c

A treasury analyst reviews two decades of cost of debt (CoD) evidence for banks and BDCs. Which statement is correct to include in her report?

(a) BDC CoD has been consistently, though only marginally, higher than bank CoD, with the gap tending to widen during monetary tightening as BDC funding costs track policy rates while bank deposit costs adjust more gradually.
(b) Bank CoD has been consistently higher than BDC CoD because deposits are the most expensive funding source.
(c) The CoD gap narrows during tightening because deposits reprice instantly.
(d) BDC and bank CoD are identical since both borrow in the same wholesale markets.

ANSWER: (a)

CONCEPT TESTED: the CoD ordering and its rate-cycle behavior. Intuition: BDCs pay market rates that move with policy; banks pay deposit rates that move like molasses, so tightening stretches the gap.

SOLUTION: (a) is correct. Marginally higher BDC CoD, widening in tightening, driven by the deposit-stickiness asymmetry.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the ordering; sticky deposits are the CHEAP source.
(c) Incorrect. Deposits adjust GRADUALLY, so the gap WIDENS in tightening; both the mechanism and direction are flipped.
(d) Incorrect. The funding structures differ fundamentally; identity is invented.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 102, Module 102.2, LO 102.c | Four-statement audit | Polarity-sensitive: BDC CoD marginally HIGHER, gap widens when rates RISE

Q96.

Reading 102 | LO 102.c

A bank strategy team asks what primarily narrowed the cost of capital gap between banks and BDCs after the 2007-2009 crisis. Which answer is most consistent with the reading?

(a) An increase in bank leverage.
(b) A decrease in bank cost of debt.
(c) An increase in bank cost of equity, driven by heightened market risk and stricter regulatory requirements.
(d) A decrease in BDC cost of equity below its pre-crisis level.

ANSWER: (c)

CONCEPT TESTED: the primary convergence driver. Intuition: the gap closed mostly because the BANK side got more expensive: equity investors repriced bank risk and regulation upward.

SOLUTION: (c) is correct. The significant rise in bank CoE between 2010 and 2019 is the primary narrowing force, complemented by BDCs' shift toward cheaper debt.

OPTION ANALYSIS:
(a) Incorrect. Bank leverage was already the mechanism for cheap funding; it is not the stated narrowing driver.
(b) Incorrect. The CoD difference stayed small and played little role in the narrowing.
(c) Correct. As established in the solution above.
(d) Incorrect. The action was on the BANK equity side rising, not the BDC side falling below pre-crisis levels.

TRAP:
(a) **SIBLING SWAP** (adjacent mechanism)
(b) **SIBLING SWAP**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 102, Module 102.2, LO 102.c | Known GARP-style template (mirrors Schweser Module Quiz 102.2 Q1 structure) | Qualifier: "primarily"

Q97.

Reading 102 | LO 102.c

Between 2010 and 2019, banks' traditional funding advantage over BDCs narrowed by approximately:

(a) 25 basis points.
(b) 250 basis points.
(c) 2,500 basis points.
(d) 33 basis points.

ANSWER: (b)

CONCEPT TESTED: the funding-advantage magnitude anchor. Intuition: a quarter of a percentage point would be noise, twenty-five points would be a revolution; two and a half percentage points is the documented erosion.

SOLUTION: (b) is correct. The advantage narrowed by roughly 250 bps over 2010 to 2019.

OPTION ANALYSIS:
(a) Incorrect. Off by a factor of ten downward.
(b) Correct. As established in the solution above.
(c) Incorrect. Off by a factor of ten upward.
(d) Incorrect. Recycles the 33 from the FI index effect (a percentage, not basis points) into this slot.

TRAP:
(a) **CALCULATION-SLIP** (order-of-magnitude, bps-percent slip)
(c) **CALCULATION-SLIP** (bps-percent slip)
(d) **WRONG INPUT TWIN**

Book 5, Reading 102, Module 102.2, LO 102.c | Magnitude anchor: approx. 250 bps, 2010-2019

Q98.

Reading 102 | LO 102.c

A fund CFO explains how increasing BDC leverage lowered the sector's overall cost of capital. Which pairing of action AND net effect is most consistent with the reading?

(a) BDCs substituted relatively cheaper debt for more expensive equity, AND the modest resulting rise in their cost of equity was more than offset by the benefit of the cheaper debt.
(b) BDCs substituted debt for equity, AND the resulting rise in cost of equity fully cancelled the debt benefit, leaving WACC unchanged.
(c) BDCs substituted equity for debt, AND this raised their WACC, improving loan pricing discipline.
(d) BDCs substituted debt for equity, AND this worked because their cost of debt is lower than banks' cost of debt.

ANSWER: (a)

CONCEPT TESTED: the leverage-substitution arithmetic. Intuition: even expensive debt beats equity; swapping the priciest slice of the capital stack for a cheaper one pulls the weighted average down, and the small equity-risk penalty does not undo it.

SOLUTION: (a) is correct. Debt-for-equity substitution cut WACC; the modest CoE uptick was more than offset.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. "Fully cancelled" contradicts the stated net decline in cost of capital.
(c) Incorrect. Reverses the substitution direction.
(d) Incorrect. Right action, wrong reason: BDC CoD is HIGHER than banks'; the substitution works because debt is cheaper than BDCs' own EQUITY.

TRAP:
(b) **SCOPE/CONDITION ERROR** (offset overstated to neutrality)
(c) **POLARITY FLIP**
(d) **WRONG INPUT TWIN** (wrong comparison benchmark)

Book 5, Reading 102, Module 102.2, LO 102.c | Two-part conjunction (5B.5) | Key discrimination: cheaper than own equity, not cheaper than bank debt

Q99. Reading 102 | LO 102.c

Decomposing the erosion of banks' funding advantage, an analyst attributes contributions to three candidate channels. Which attribution is correct?

(a) BDCs' lower cost of equity and BDCs' increased leverage contributed roughly equally, while the cost of debt played almost no role in narrowing the gap.

(b) The cost of debt was the dominant channel, since BDC debt became cheaper than bank debt.

(c) BDC leverage alone explains the erosion; the cost of equity differential was irrelevant.

(d) Because cheap debt lowered BDCs' own cost of capital, the cost of debt must also have been a major driver of the narrowing between banks and BDCs.

ANSWER: (a)

CONCEPT TESTED: the attribution split, including its subtlest clause. Intuition: two engines pulled the gap shut (cheaper BDC equity, higher BDC leverage) in roughly equal measure; the CoD DIFFERENCE stayed small, so it barely moved the gap, even though cheap debt still helped BDCs' own WACC. Level effect and gap effect are different questions.

SOLUTION: (a) is correct. Roughly equal contributions from the CoE gap and the leverage increase; CoD nearly irrelevant to the narrowing.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. BDC debt remained MORE expensive than bank debt; the premise is false.
(c) Incorrect. Drops the co-equal CoE channel.
(d) Incorrect. Conflates the level effect (cheap debt lowered BDCs' own WACC) with the gap effect (the small CoD DIFFERENCE contributed little to narrowing). (a) true premise driving a wrong conclusion.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR** (dropped term)
(d) **SCOPE/CONDITION ERROR** (level vs difference)

Book 5, Reading 102, Module 102.2, LO 102.c | Four-statement audit | Confusables: CoD level effect vs CoD gap effect, differs by: own WACC vs bank-BDC differential

Q100. Reading 102 | LO 102.c

Looking forward, a strategist assesses how a sustained RISE in policy rates would affect the bank-vs-BDC competitive dynamic. Which assessment is most consistent with the reading?

(a) BDCs could gradually lose the benefit of cheap debt financing and face a higher overall cost of capital, potentially shifting the dynamic back toward banks.

(b) Rising rates would compress BDC margins through the same channel that compressed bank margins in the low-rate era.

(c) Rising rates leave BDC funding costs unchanged because their liabilities are fixed rate.

(d) Rising rates permanently entrench the BDC advantage, since bank deposits reprice fastest.

ANSWER: (a)

CONCEPT TESTED: the regime-shift caveat. Intuition: the tide that lifted BDCs (cheap floating debt in a low-rate world) can run out; when rates rise, BDC funding reprices upward quickly while sticky deposits shelter banks.

SOLUTION: (a) is correct. The stated forward risk: rising rates erode BDCs' cheap-debt benefit and raise their overall cost of capital.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The low-rate compression mechanism was a BANK phenomenon (floating assets vs sticky fixed-cost deposits); it does not transplant onto matched-floating BDCs.
(c) Incorrect. BDC funding costs move IN STEP with policy rates; fixed-rate liabilities describe bank deposits.
(d) Incorrect. Deposits reprice SLOWEST, which is why rising rates favor banks; both the fact and the conclusion are reversed.

TRAP:
(b) **ROLE MISASSIGNMENT**
(c) **SIBLING SWAP** (funding structures swapped)
(d) **POLARITY FLIP** + **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 102, Module 102.2, LO 102.c | Four-statement audit | Qualifier: "most consistent"

READING 106: TOKENIZATION AND FINANCIAL MARKET INEFFICIENCIES

Priority: VERY IMPORTANT | 50 questions | Book 5, Study Session 15

LO 106.a Reading 106

Explain the process of tokenization and describe the fundamental features of tokenized assets and digital ledgers.

Q101. Reading 106 | LO 106.a

A digital assets analyst explains the distinction between token types to a product committee. Which statement is correct?

(a) Native tokens are created directly on a ledger and exist only within that system, while non-native tokens are digital representations of assets that exist outside the ledger.
(b) Native tokens represent off-ledger assets such as bonds, while non-native tokens exist only on the ledger.
(c) Only financial instruments can be tokenized as non-native tokens.
(d) Cryptocurrencies such as Bitcoin are non-native tokens because they represent fiat currency.

ANSWER: (a)

CONCEPT TESTED: the native vs non-native split. Intuition: native = born on the ledger and lives only there (Bitcoin, Ether, digital art); non-native = a ledger-side mirror of something living off-ledger (equities, bonds, commodities, real estate, artwork).

SOLUTION: (a) is correct. That is the definitional split.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two definitions exactly.
(c) Incorrect. Virtually ANY asset can be tokenized non-natively, including real estate and physical artwork.
(d) Incorrect. Bitcoin is the canonical NATIVE token; it represents nothing off-ledger.

TRAP:
(b) **SIBLING SWAP** (mirror reversal)
(c) **SCOPE/CONDITION ERROR**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.1, LO 106.a | Four-statement audit | Qualifier: "correct"

Q102.

Reading 106 | LO 106.a

A token originally issued on Ledger X is to be moved to Ledger Y. Under the migration process described in the reading, which statement is most accurate?

(a) The original asset is destroyed on the source ledger and reissued as a native token on the new ledger.
(b) The original asset remains active on the source ledger while a duplicate circulates on the new ledger.
(c) Migration is impossible; tokens are permanently bound to their ledger of creation.
(d) The original asset is placed in escrow on the source ledger and represented by an escrow certificate on the new ledger.

ANSWER: (a)

CONCEPT TESTED: the migration mechanism, and its separation from the common-ledger model. Intuition: migration is a MOVE (destroy and reissue), not a COPY, and not an escrow arrangement.

SOLUTION: (a) is correct. Migration destroys the original on the source ledger and reissues it as a native token on the destination.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. (a) live duplicate would double-count the asset; destruction of the original is the point.
(c) Incorrect. Tokens may move across ledgers to find better feature combinations.
(d) Incorrect. Escrow-plus-certificate describes the COMMON LEDGER sharedness model (LO 106.e), not migration.

TRAP:
(b) **SCOPE/CONDITION ERROR** (dropped destruction step)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.1, LO 106.a | Confusables pair: migration (destroy and reissue) vs common ledger model (escrow and certificate), differs by: fate of the original

Q103.

Reading 106 | LO 106.a

A fintech lead maps the three fundamental ledger features to their definitions for a training session. Which mapping is correct?

(a) Trust: the ledger is accessible to all relevant parties and records are updated directly on it.
(b) Sharedness: users are confident assets cannot be moved without their consent.
(c) Programmability: the ledger incorporates smart contracts that automate instructions such as conditional transfers and compliance rules.
(d) Trust: immutable code bundles complex transactions so they operate as intended.

ANSWER: (c)

CONCEPT TESTED: the trust/sharedness/programmability feature map. Intuition: trust = my assets move only with my consent and execution is reliable; sharedness = everyone relevant can access and transfer on the same record; programmability = the ledger runs code (smart contracts).

SOLUTION: (c) is correct. Programmability is the smart-contract capability: automated instructions, conditional transfers, compliance enforcement, transaction bundling.

OPTION ANALYSIS:
(a) Incorrect. Accessibility and direct record updating define SHAREDNESS.
(b) Incorrect. Consent-protected assets and reliable execution define TRUST.
(c) Correct. As established in the solution above.
(d) Incorrect. Immutable automating code is PROGRAMMABILITY, not trust.

TRAP:
(a) **ROLE MISASSIGNMENT**
(b) **ROLE MISASSIGNMENT**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 106, Module 106.1, LO 106.a | Category-matching audit | Confusables triple: trust vs sharedness vs programmability

Q104.

Reading 106 | LO 106.a

A structurer describes smart contracts to a legal team. Which description is most accurate?

(a) Immutable code that automates instructions, capable of creating assets, transferring assets only when conditions are met, and ensuring compliance with rules and regulations.
(b) Editable code that ledger operators revise after each transaction to reflect changing terms.
(c) Instructions that external users send to a separate database operator for manual execution.
(d) Legal documents digitized as PDF attachments to token records.

ANSWER: (a)

CONCEPT TESTED: the smart contract definition. Intuition: a vending machine written in code: the rules are fixed in advance, execution is automatic when conditions are met, and nobody renegotiates mid-transaction.

SOLUTION: (a) is correct. Immutable, automating, conditional, compliance-capable; examples include coupon-paying transferable bonds and qualified-investor restrictions.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Immutability is the defining property; per-transaction revision reverses it.
(c) Incorrect. External instructions to a separate database operator describe the TRADITIONAL setup that internal programmability replaces.
(d) Incorrect. (a) document attachment carries no executable logic.

TRAP:
(b) **POLARITY FLIP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP** (form without function)

Book 5, Reading 106, Module 106.1, LO 106.a | Definition audit | Qualifier: "most accurate"

Q105.

Reading 106 | LO 106.a

An issuer wants its tokenized bond to pay coupons automatically and to be transferable only to qualified investors. These requirements draw most directly on which ledger feature?

(a) Trust.
(b) Sharedness.
(c) Programmability.
(d) Interoperability.

ANSWER: (c)

CONCEPT TESTED: feature attribution for automated, conditional behavior. Intuition: anything the ledger DOES on its own (pay, gate, enforce) is programmability at work.

SOLUTION: (c) is correct. Coupon automation and qualified-investor restrictions are the reading's own programmability examples via smart contracts.

OPTION ANALYSIS:
(a) Incorrect. Trust protects ownership and execution reliability; it does not supply the automation logic.
(b) Incorrect. Sharedness supplies access and transferability, not conditional automation.
(c) Correct. As established in the solution above.
(d) Incorrect. Interoperability concerns cross-ledger compatibility (the compatible ledger model), not intra-ledger automation.

TRAP:
(a) **SIBLING SWAP**
(b) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.1, LO 106.a | Feature attribution | Qualifier: "most directly"

Q106.

Reading 106 | LO 106.a

An institution wants a new asset to exist solely on the ledger, be transferable only with the owner's explicit authorization, and execute payments automatically. Which issuance choice best satisfies these requirements?

(a) Issue the asset as a native token on a trusted, shared, and programmable ledger.
(b) Issue a non-native token backed by an off-ledger custodial asset.
(c) Represent the asset through an escrow certificate on a common ledger.
(d) Record the asset with a traditional registrar and attach a payment schedule.

ANSWER: (a)

CONCEPT TESTED: matching requirements to token form and ledger features. Intuition: "exists solely on the ledger" forces NATIVE; consent-gated transfer is trust; automatic payment is programmability.

SOLUTION: (a) is correct. Only a native token exists solely on the ledger, and the three requirements map onto trust, sharedness, and programmability.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. (a) non-native token's referenced asset exists OFF the ledger, violating the first requirement.
(c) Incorrect. An escrow certificate presupposes an original held elsewhere; again the asset does not exist solely on one ledger.
(d) Incorrect. (a) registrar record automates nothing and is not a token at all.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 106, Module 106.1, LO 106.a | Known GARP-style template (mirrors Schweser Module Quiz 106.1 Q1 structure) | Qualifier: "best satisfies"

Q107.

Reading 106 | LO 106.a

A board member asks whether tokenization is a single, standardized technology. Which response is most consistent with the reading?

(a) Tokenization is a collection of tools and approaches for making financial assets easier to transfer, automate, and manage securely, with trust, sharedness, and programmability varying by degree across ledgers.
(b) Tokenization is one standardized protocol maintained by a global standards body.
(c) Tokenization is a single technology, but its features cannot vary between ledgers.
(d) Tokenization refers exclusively to the creation of cryptocurrencies.

ANSWER: (a)

CONCEPT TESTED: tokenization as a toolkit, not a monolith. Intuition: it is a toolbox, not one tool, and each ledger mixes the three features in different proportions; tokens can even move ledgers to find better mixes.

SOLUTION: (a) is correct. Collection of tools; features vary by degree; cross-ledger movement is possible.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. No single global protocol is described.
(c) Incorrect. Both clauses contradict the toolkit-and-degrees framing.
(d) Incorrect. Cryptocurrencies are one native-token example; tokenization spans virtually any asset.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SCOPE/CONDITION ERROR**

Book 5, Reading 106, Module 106.1, LO 106.a | Four-statement audit | Qualifier: "most consistent"

Q108.

Reading 106 | LO 106.a

Which statement best captures the SHAREDNESS feature of a tokenized ledger?

(a) The ledger is accessible to all relevant parties, asset ownership can be transferred between them, and ownership records are updated directly on the ledger.
(b) The ledger is publicly readable by anyone in the world without restriction.
(c) The ledger prevents any party from moving assets without the owner's consent.
(d) The ledger's code and database are integrated so smart contracts execute internally.

ANSWER: (a)

CONCEPT TESTED: the precise sharedness definition. Intuition: one book, all the relevant readers, updated in place; note the scope is RELEVANT parties, not the whole world.

SOLUTION: (a) is correct. Access for relevant parties, transferability between them, and direct record updating.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Universal public readability overextends "all relevant parties"; openness to anyone describes permissionless trust design, a different axis.
(c) Incorrect. Consent protection is TRUST.
(d) Incorrect. Code-database integration is PROGRAMMABILITY.

TRAP:
(b) **SCOPE/CONDITION ERROR**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.1, LO 106.a | Definition audit | Qualifier: "best captures"

Q109.

Reading 106 | LO 106.a

Which statement best captures the TRUST feature of a tokenized ledger?

(a) Users can be confident their assets cannot be moved without their consent and that transactions will be executed reliably and accurately.

(b) All relevant parties can access the ledger and transfer ownership on it.

(c) Smart contracts bundle complex transactions and enforce rules automatically.

(d) Different ledgers run standardized technology so transfers coordinate across systems.

ANSWER: (a)

CONCEPT TESTED: the precise trust definition. Intuition: trust is the lock and the promise: nothing moves without my say-so, and what I instruct actually happens.

SOLUTION: (a) is correct. Consent-protected ownership plus reliable, accurate execution.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. That is sharedness.
(c) Incorrect. That is programmability.
(d) Incorrect. That is the compatible-ledger interoperability model.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.1, LO 106.a | Definition audit | Qualifier: "best captures"

Q110.

Reading 106 | LO 106.a

A commercial real estate firm asks whether its properties can be brought onto a digital ledger. Which response is most consistent with the reading?

(a) Yes: virtually any asset can be tokenized as a non-native token, including real estate and physical artwork alongside equities, bonds, and commodities.

(b) No: only assets that can exist natively on a ledger can be tokenized.

(c) Yes, but only if the property is first converted into a security through securitization.

(d) No: physical assets cannot be represented digitally because ownership records remain with land registries.

ANSWER: (a)

CONCEPT TESTED: the breadth of non-native tokenization. Intuition: if it can be owned, it can be mirrored on the ledger.

SOLUTION: (a) is correct. The stated scope is virtually any asset, with real estate and physical artwork named.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Non-native tokenization exists precisely for assets that live OFF the ledger.
(c) Incorrect. Securitization is not a stated precondition; a plausible-sounding invented gate.
(d) Incorrect. Categorical impossibility contradicts the named real estate example.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR**
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 106, Module 106.1, LO 106.a | Four-statement audit | Qualifier: "most consistent"

LO 106.b Reading 106

Describe frictions and inefficiencies that can arise during different phases of an asset's lifecycle and explain how the different features of tokenization can both increase and mitigate risks related to these frictions.

Q111.

Reading 106 | LO 106.b

A markets professor asks students to classify frictions encountered across an asset's lifecycle. A trader spending days locating a willing counterparty for an illiquid bond is experiencing:

(a) Information asymmetry.

(b) Search frictions.

(c) Counterparty risk.

(d) An internality.

ANSWER: (b)

CONCEPT TESTED: the friction taxonomy. Intuition: asymmetry = one side knows more (the IPO owner); search = finding a partner is hard; transaction costs = fees plus time; counterparty risk = the partner may not perform.

SOLUTION: (b) is correct. Difficulty finding suitable trading partners is the search friction.

OPTION ANALYSIS:
(a) Incorrect. No informational imbalance is described, only scarcity of partners.
(b) Correct. As established in the solution above.
(c) Incorrect. Counterparty risk concerns failure to PERFORM after a partner is found.
(d) Incorrect. Internalities are self-harming choices (trading risks one does not understand), not market structure problems.

TRAP:
(a) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.1, LO 106.b | Classification | Confusables cluster: info asymmetry vs search vs transaction cost vs counterparty risk

Q112.

Reading 106 | LO 106.b

A clearing specialist explains the role of a central counterparty (CCP) in a derivatives default. Which description is most accurate?

(a) The CCP, a subcategory of central clearinghouses, interposes itself as counterparty to all trading parties and, on default, covers nonpayment using the defaulting party's margin and collateral and, if needed, the CCP's guarantee fund.
(b) The CCP covers a default first from its own guarantee fund and only then draws on the defaulter's margin.
(c) The CCP conducts due diligence on issuing companies and underwrites new stocks and bonds.
(d) The CCP maintains the formal register of security holders for issuers.

ANSWER: (a)

CONCEPT TESTED: CCP mechanics and the loss-absorption sequence. Intuition: the CCP steps into the middle of every trade, and when someone defaults, the DEFAULTER'S money burns first (margin, collateral), with the guarantee fund as backstop.

SOLUTION: (a) is correct. Interposition plus the defaulter-resources-first, guarantee-fund-if-needed sequence.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the loss sequence; the guarantee fund is the backstop, not the first resource.
(c) Incorrect. Due diligence and underwriting are the INVESTMENT BANK's friction-reducing role against information asymmetries.
(d) Incorrect. The formal register is kept by REGISTRARS in issuance.

TRAP:
(b) **POLARITY FLIP** (waterfall order)
(c) **ROLE MISASSIGNMENT**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 106, Module 106.1, LO 106.b | Four-statement audit | Role-sensitive: who absorbs losses in what order

Q113.

Reading 106 | LO 106.b

A student maps traditional intermediaries to the frictions they mitigate. Which mapping is correct?

(a) Investment banks mitigate information asymmetries through due diligence and underwriting, while CSDs and central clearinghouses manage settlement and clearing to reduce counterparty risk.
(b) CSDs mitigate information asymmetries through due diligence, while investment banks manage settlement and clearing.
(c) Registrars interpose themselves as counterparty to all derivatives trades.
(d) Central clearinghouses underwrite new bond issues to reduce search frictions.

ANSWER: (a)

CONCEPT TESTED: the intermediary-to-friction map. Intuition: the investigator (investment bank) fixes what you cannot KNOW; the plumbing (CSD, CCH) fixes what might not SETTLE.

SOLUTION: (a) is correct. Banks against asymmetry; CSDs/CCHs against settlement and counterparty risk.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two roles.
(c) Incorrect. Interposition is the CCP's function; registrars keep the holder register.
(d) Incorrect. Underwriting belongs to investment banks and targets asymmetry, not search.

TRAP:
(b) **ROLE MISASSIGNMENT**
(c) **ROLE MISASSIGNMENT**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 106, Module 106.1, LO 106.b | Category-matching audit | Qualifier: "correct"

Q114.

Reading 106 | LO 106.b

A debt capital markets team evaluates tokenized issuance. Which statement about issuance benefits is most consistent with the reading?

(a) A shared and programmable ledger can link assets directly to owners' accounts, eliminating separate recordkeeping and stand-alone custodial services, while smart contracts can automate processes such as share auctions and key data can be embedded in the token.

(b) Tokenized issuance mainly benefits the largest issuances, where information is scarcest in traditional markets.
(c) Tokenized issuance eliminates all issuance costs, including underwriting risk.
(d) Embedding data in tokens reduces transparency by restricting information to token holders.

ANSWER: (a)

CONCEPT TESTED: the issuance-stage benefit set. Intuition: the ledger IS the register and the custodian, the smart contract IS the auction manager, and the token can carry its own prospectus (as in a 2022 tokenized bond issue that embedded the term sheet and ESG data).

SOLUTION: (a) is correct. Direct linkage, custody elimination, automated auctions, embedded data.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Embedded information is PARTICULARLY valuable for SMALLER issuances, where traditional information is limited.
(c) Incorrect. Cost REDUCTION, not elimination of all costs and risks.
(d) Incorrect. Embedding data INCREASES transparency for investors.

TRAP:
(b) **POLARITY FLIP** (size gradient reversed)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.1, LO 106.b | Four-statement audit | Qualifier: "most consistent"

Q115.

Reading 106 | LO 106.b

A settlement specialist compares tokenized and traditional trade settlement. Which statement is correct?

(a) A self-executing smart contract can complete a trade only when both the buyer's cash and the seller's securities are locked in, enabling simultaneous or instantaneous settlement that traditional markets cannot achieve because clearinghouses need time to coordinate and update multiple ledgers.
(b) Traditional markets already settle instantaneously, so tokenization's settlement benefit is negligible.
(c) Smart contracts settle trades by extending intraday credit to the slower party.
(d) Instantaneous settlement increases transaction times but improves record accuracy.

ANSWER: (a)

CONCEPT TESTED: the settlement mechanics and why tokenization wins. Intuition: the smart contract is a two-key lockbox: nothing moves until both legs are inside, and then everything moves at once on ONE ledger, while the traditional world reconciles MANY ledgers.

SOLUTION: (a) is correct. Both-legs-locked execution plus the multi-ledger coordination burden that blocks instantaneous settlement traditionally.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Traditional settlement is nonsimultaneous; that friction is the target.
(c) Incorrect. The mechanism is conditional locking, not credit extension.
(d) Incorrect. Instantaneous settlement REDUCES transaction times.

TRAP:
(b) **POLARITY FLIP**
(c) **SIBLING SWAP** (invented mechanism)
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.1, LO 106.b | Four-statement audit | Qualifier: "correct"

Q116.

Reading 106 | LO 106.b

A derivatives desk asks whether moving its contracts onto a programmable ledger removes counterparty risk. Which response is most appropriate?

(a) No: tokenization cannot fully eliminate counterparty risk between contract initiation and execution; mitigating it requires incorporating a CCP or locking up collateral, and collateral lockup carries opportunity costs that may discourage participation.
(b) Yes: simultaneous settlement at initiation removes all counterparty exposure for the life of the contract.
(c) No, but the residual risk can be removed costlessly by requiring collateral.
(d) Yes, provided the derivative is written as a smart contract without any collateral requirement.

ANSWER: (a)

CONCEPT TESTED: the residual life-of-contract exposure. Intuition: the lockbox solves the HANDOVER, not the MARRIAGE; a derivative's obligations stretch across time, so someone can still fail later, and the fixes (CCP, locked collateral) are not free.

SOLUTION: (a) is correct. Residual risk persists through the contract's life; CCP or collateral lockup mitigates it; lockup creates opportunity costs.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Extends an initiation-stage fix across the whole contract life.
(c) Incorrect. "Costlessly" erases the stated opportunity cost of locked collateral.
(d) Incorrect. Without collateral, programmability alone cannot manage ongoing exposure.

TRAP:
(b) **SCOPE/CONDITION ERROR**
(c) **ABSOLUTE-CLAIM TRAP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.1, LO 106.b | Known GARP-style template (mirrors Schweser Module Quiz 106.1 Q2 structure) | Qualifier: "most appropriate"

Q117.

Reading 106 | LO 106.b

An OTC market operator considers moving trading onto a shared ledger. Which effect on search frictions is most consistent with the reading?

(a) Direct access to a single shared ledger makes counterparties easier to find and helps lower costs such as bid-ask spreads, reducing the need for broker-dealers.
(b) Shared ledgers widen bid-ask spreads by disintermediating the dealers who provided liquidity.
(c) Search frictions are unaffected because OTC information was already centralized.
(d) Shared ledgers increase the need for broker-dealers to interpret on-ledger information.

ANSWER: (a)

CONCEPT TESTED: the search-friction channel in OTC markets. Intuition: one shared noticeboard replaces a hundred phone calls; visibility finds the counterparty and compresses the spread.

SOLUTION: (a) is correct. Shared access reduces search costs, narrows spreads, and reduces broker-dealer dependence.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the spread effect.
(c) Incorrect. OTC markets are characterized by LIMITED information and liquidity; the premise fails.
(d) Incorrect. Reverses the intermediary effect.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.1, LO 106.b | Four-statement audit | Qualifier: "most consistent"

Q118.

Reading 106 | LO 106.b

An intermediary takes outsized risks because it expects a government bailout if things go wrong, keeping the profits while sharing losses with the public. Within the reading's framework, this behavior is best classified as:

(a) A positive externality.
(b) A negative externality in the form of moral hazard.
(c) An internality.
(d) A market power inefficiency.

ANSWER: (b)

CONCEPT TESTED: the externality/internality/market power taxonomy on the canonical moral hazard case. Intuition: the harm lands on OTHERS (taxpayers), so it is an externality; it is harmful, so negative; asymmetric profit-keeping under expected rescue is moral hazard by name.

SOLUTION: (b) is correct. Moral hazard is the named negative externality: profits kept, losses shared.

OPTION ANALYSIS:
(a) Incorrect. The spillover harms others; network effects are the positive example.
(b) Correct. As established in the solution above.
(c) Incorrect. Internalities harm the ACTOR (self-defeating choices); here the actor benefits at others' expense.
(d) Incorrect. No pricing power or switching barrier is involved.

TRAP:
(a) **POLARITY FLIP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.1, LO 106.b | Classification | Confusables: externality (harms others) vs internality (harms self) vs market power (extracts from others via dominance)

Q119.

Reading 106 | LO 106.b

A junior economist argues: "Network effects are a positive externality, so tokenized market participation must reach the socially optimal level on its own." Which correction is most accurate?

(a) Even positive externalities can lead to socially inefficient outcomes: liquidity improves as participants join, yet participation may still remain below the socially optimal level.
(b) She is right: positive externalities guarantee socially optimal participation.
(c) Network effects are actually a negative externality, so participation exceeds the optimum.
(d) Network effects are an internality, so social optimality is not defined.

ANSWER: (a)

CONCEPT TESTED: the subtle point that positive spillovers still under-deliver. Intuition: each joiner benefits everyone else but is not paid for it, so too few join; a good party that stays under-attended because nobody counts the fun they bring others.

SOLUTION: (a) is correct. Positive externalities can still produce socially inefficient outcomes, with participation below the social optimum.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Overclaims optimality from positivity; the wedge between private and social benefit remains.
(c) Incorrect. Network effects are the POSITIVE example.
(d) Incorrect. Misfiles a spillover-on-others as a self-harm concept.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.1, LO 106.b | Four-statement audit | Subtle scope point: positive does not mean optimal

Q120.

Reading 106 | LO 106.b

A bond servicing team assesses what a programmable ledger changes in the servicing and redemption phase. Which statement is most consistent with the reading?

(a) Smart contracts can automate interest, principal, and dividend payments by linking assets directly to owners, with the ledger specifying when payments are due and how much to pay per token, and even embedding dividend distribution decisions.
(b) Servicing automation applies to interest but not to dividends, which require board discretion off-ledger.
(c) The main servicing benefit is faster counterparty discovery in OTC markets.
(d) Programmable servicing increases recordkeeping costs by duplicating ownership records.

ANSWER: (a)

CONCEPT TESTED: the servicing/redemption benefit set. Intuition: the bond becomes its own paying agent: the schedule, the amount per token, even the distribution decision can live in the code.

SOLUTION: (a) is correct. Automated payments, per-token amounts, timing, and embedded dividend decisions are all stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Dividend distribution decisions can be embedded; the carve-out is invented.
(c) Incorrect. Counterparty discovery is the TRADING-phase search benefit.
(d) Incorrect. Direct asset-owner linkage REDUCES recordkeeping burden.

TRAP:
(b) **SCOPE/CONDITION ERROR** (dropped capability)
(c) **SIBLING SWAP** (lifecycle phase)
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.1, LO 106.b | Four-statement audit | Qualifier: "most consistent"

LO 106.c Reading 106

Explain how the use of tokenization and digital ledgers can impact financial market externalities, including those related to the transmission of shocks across the financial system, investments in market infrastructure, and network and knowledge effects.

Q121.

Reading 106 | LO 106.c

A financial stability analyst asks why tokenization could unintentionally amplify instability in a highly interconnected market. The PRIMARY channel identified in the reading is that tokenization:

(a) Lowers the cost of issuing debt, encouraging borrowing and higher leverage.
(b) Enables instantaneous settlement of trades.
(c) Removes the need for broker intermediation.
(d) Allows retail investors to buy fractional shares for diversification.

ANSWER: (a)

CONCEPT TESTED: the primary instability channel. Intuition: cheaper debt is an invitation to lever up, and in a connected system leverage is the fuel that turns a spark into a fire.

SOLUTION: (a) is correct. Lower debt issuance costs make borrowing more attractive, encouraging leverage that amplifies shocks in an interconnected system.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Instantaneous settlement is chiefly a benefit (cost, liquidity, capital allocation); speed can complicate containment, but it is not the primary leverage channel here.
(c) Incorrect. Reduced broker reliance is an efficiency gain, not the instability channel.
(d) Incorrect. Fractionalization broadens access and diversification; it points the other way.

TRAP:
(b) **SIBLING SWAP** (secondary effect promoted)
(c) **SIBLING SWAP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.c | Known GARP-style template (mirrors Schweser Module Quiz 106.2 Q1 structure) | Qualifier: "primary"

Q122.

Reading 106 | LO 106.c

A bank treasurer analyzes how tokenization could affect the bank's funding profile. Which chain of effects is most consistent with the reading?

(a) Tokenization makes it easier for retail investors to move funds out of bank deposits into financial assets, so banks rely more on wholesale funding, which can dry up quickly in stress and raise default and spillover risks.

(b) Tokenization increases retail deposit levels, since deposits themselves become tokenized and more attractive.

(c) Tokenization shifts banks from wholesale funding toward stickier retail deposits, improving stability.

(d) Wholesale funding is more stable in stress than retail deposits, so the shift is stabilizing.

ANSWER: (a)

CONCEPT TESTED: the deposit-migration funding chain. Intuition: the ledger opens the side gate for deposits to walk out; the bank replaces the departed patient money with flighty wholesale money, and flighty money leaves first in a storm.

SOLUTION: (a) is correct. Deposit outflow, wholesale reliance, stress fragility, spillovers: the full stated chain.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The stated direction is deposits DECLINING as funds move to tokenized assets.
(c) Incorrect. Reverses the substitution direction.
(d) Incorrect. Wholesale funding is the one that can DRY UP quickly in stress.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.c | Four-statement audit | Polarity-sensitive: deposits OUT, wholesale IN, fragility UP

Q123.

Reading 106 | LO 106.c

In a review of complex tokenized products, an analyst encounters collateral being reused across multiple transactions. This practice is best described as:

(a) Fractionalization.

(b) Rehypothecation.

(c) Escrow certification.

(d) Front running.

ANSWER: (b)

CONCEPT TESTED: the rehypothecation definition among neighbors. Intuition: one pledge doing double duty: the same collateral backing several chains of obligations, which lets a shock travel along every chain at once.

SOLUTION: (b) is correct. Rehypothecation is the reuse of collateral across multiple transactions, a feature of complex linked products that speeds shock transmission.

OPTION ANALYSIS:
(a) Incorrect. Fractionalization splits an asset into retail-sized pieces.
(b) Correct. As established in the solution above.
(c) Incorrect. Escrow certificates represent non-native assets in the common ledger model.
(d) Incorrect. Front running is a transaction-ordering abuse in validation queues.

TRAP:
(a) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.c | Definition discrimination

Q124.

Reading 106 | LO 106.c

A market microstructure researcher explains how programmable ledgers relate to flash crashes. Which explanation is most consistent with the reading?

(a) Chains of self-executing smart contracts using rules-based algorithms can trigger large volumes of trades nearly instantly, contributing to sharp price drops over short periods.

(b) Programmable ledgers prevent flash crashes because smart contracts always pause during volatility.

(c) Flash crashes on ledgers arise only from human order entry errors.

(d) Slower execution speeds on programmable ledgers give regulators more time to intervene.

ANSWER: (a)

CONCEPT TESTED: the automated-execution flash crash channel. Intuition: dominoes made of code: each contract's execution is another contract's trigger, and the whole line falls in seconds.

SOLUTION: (a) is correct. Self-executing chains bundling complex transactions can produce rapid movements and flash crashes.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. No automatic volatility pause is a stated property; smart contracts execute as coded.
(c) Incorrect. The identified mechanism is automated chains, not manual error.
(d) Incorrect. Execution is FASTER, which makes containment harder for policymakers.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **SIBLING SWAP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.c | Four-statement audit | Qualifier: "most consistent"

Q125.

Reading 106 | LO 106.c

A regulator examines why market infrastructure investment becomes MORE important as digital ledgers scale. Which statement is correct?

(a) If private operators underinvest in operational security, the resulting risks affect all participants, and a single point of failure in a dominant ledger could disrupt the entire market.
(b) Larger user bases dilute the impact of failures, so required investment falls as ledgers grow.
(c) Infrastructure risk is limited to fraud; human and software errors are eliminated by automation.
(d) Security investment is a private matter with no spillovers to other participants.

ANSWER: (a)

CONCEPT TESTED: the infrastructure-investment externality. Intuition: everyone lives in the same building now; if the landlord skimps on the wiring, every tenant burns. Scale raises the stakes of failure, so required investment rises with users and interconnection.

SOLUTION: (a) is correct. Underinvestment spills onto all participants; single-point-of-failure risk in a dominant ledger is the stated illustration.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The potential impact of failures GROWS with users and interconnected transactions.
(c) Incorrect. The stated risk set includes human and software errors, fraud, AND system failures.
(d) Incorrect. The spillover is exactly what makes it an externality.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR** (dropped terms)
(d) **ABSOLUTE-CLAIM TRAP**

Book 5, Reading 106, Module 106.2, LO 106.c | Four-statement audit | Qualifier: "correct"

Q126.

Reading 106 | LO 106.c

A widely adopted digital ledger becomes an attractive target for cyberattacks, with a successful attack capable of causing broad disruption across the financial system. This exposure is best labeled:

(a) Concentration risk in market infrastructure.
(b) An internality.
(c) A knowledge externality.
(d) Rehypothecation risk.

ANSWER: (a)

CONCEPT TESTED: the concentration-risk label in the infrastructure context. Intuition: when everyone stands on the same platform, the platform becomes the single most valuable thing to attack.

SOLUTION: (a) is correct. (a) widely used ledger concentrating activity becomes a cyberattack target with system-wide blast radius: concentration risk.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. No self-harming investor choice is involved.
(c) Incorrect. Knowledge externalities concern innovation spillovers from open code.
(d) Incorrect. No collateral reuse is described.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.c | Label-matching | Qualifier: "best labeled"

Q127. Reading 106 | LO 106.c

An exchange strategist models what happens when an OTC market moves onto a shared digital ledger. Which description of the network externality dynamic is most consistent with the reading?

(a) Standardized contracts, centralized price information, and reduced search frictions improve liquidity; as liquidity grows, transaction costs fall and spreads narrow, attracting still more users in a reinforcing cycle.

(b) More users raise congestion costs, so liquidity falls as participation grows.

(c) Network effects operate only in exchange-traded markets and cannot apply to OTC assets.

(d) Liquidity gains from sharedness are offset one-for-one by higher innovation costs.

ANSWER: (a)

CONCEPT TESTED: the positive network-externality flywheel. Intuition: every new stall makes the bazaar worth visiting; every new visitor makes a stall worth opening.

SOLUTION: (a) is correct. The stated flywheel: standardization, centralized prices, less search, more liquidity, lower costs, narrower spreads, more users.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Reverses the participation-liquidity relationship.
(c) Incorrect. Moving an OTC market onto a ledger is the reading's own example.
(d) Incorrect. More users STRENGTHEN innovation incentives; the offset is invented.

TRAP:
(b) **POLARITY FLIP**
(c) **SCOPE/CONDITION ERROR**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.c | Four-statement audit | Qualifier: "most consistent"

Q128. Reading 106 | LO 106.c

A retail platform head evaluates asset fractionalization on tokenized ledgers. Which statement is most accurate?

(a) Tokenization enables fractionalization across a wider range of assets than existing intermediary offerings, and when tokens are issued directly by the asset issuer, intermediary risks can be reduced or eliminated, improving access for smaller investors.

(b) Fractionalization is unique to tokenized ledgers; no intermediary has ever offered fractional shares.

(c) Fractionalization concentrates retail portfolios by encouraging single-asset bets.

(d) Issuer-direct tokens increase intermediary risk by adding an extra settlement layer.

ANSWER: (a)

CONCEPT TESTED: the fractionalization benefit with its precise scope. Intuition: the pie gets cut into retail-sized slices across MORE kinds of pie, and buying straight from the baker removes the middleman's risk.

SOLUTION: (a) is correct. Wider-asset fractionalization, issuer-direct issuance reducing intermediary risk, better small-investor access.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Some intermediaries ALREADY offer fractional shares of certain equities; the novelty is breadth, not existence.
(c) Incorrect. Fractionalization helps retail investors DIVERSIFY more easily.
(d) Incorrect. Issuer-direct issuance REMOVES intermediary layers.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.c | Four-statement audit | Qualifier: "most accurate"

Q129. Reading 106 | LO 106.c

Several private entities launch competing tokenized ledgers without coordination or interoperability requirements. Which consequence is most likely, according to the reading?

(a) Amplified transmission of financial shocks across the fragmented platforms.

(b) Reduced programmability and limited automation on each platform.

(c) Improved liquidity as competition deepens each pool.

(d) Reduced network externalities accompanied by higher search frictions and transaction costs.

ANSWER: (d)

CONCEPT TESTED: the fragmentation consequence, with the key exclusion. Intuition: split the bazaar into walled courtyards and each courtyard is quieter: thinner liquidity, harder searching, costlier trading. Fragmentation weakens NETWORKS; it does not amplify SHOCK transmission, and programmability is a design property untouched by interoperability.

SOLUTION: (d) is correct. Noninteroperable ledgers segment asset pools, weakening network effects and raising search frictions and transaction costs.

OPTION ANALYSIS:
(a) Incorrect. Shock transmission is a separate externality; fragmentation reduces liquidity but does not amplify shock spread.
(b) Incorrect. Programmability depends on ledger design, not on interoperability.
(c) Incorrect. Segmentation REDUCES liquidity; the competition framing reverses the effect.
(d) Correct. As established in the solution above.

TRAP:
(a) **SIBLING SWAP** (adjacent externality)
(b) **SIBLING SWAP**
(c) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.c | Known GARP-style template (mirrors Schweser Module Quiz 106.2 Q2 structure) | Qualifier: "most likely"

Q130.

Reading 106 | LO 106.c

An innovation economist assesses knowledge externalities in tokenized ecosystems. Which statement is most consistent with the reading?

(a) Open code development lets innovators build on existing smart contracts at low or no cost, spreading benefits widely, but easy copying can reduce incentives for significant R&D, and licensing or patenting protects innovation at the cost of limiting open-source benefits.
(b) Open code access strengthens R&D incentives because copying is impossible on immutable ledgers.
(c) Knowledge externalities shrink as the platform's user base grows.
(d) Licensing and patenting expand open-source benefits by clarifying ownership.

ANSWER: (a)

CONCEPT TESTED: the two-sided knowledge externality. Intuition: everyone can borrow everyone's blueprints, which is wonderful for builders and discouraging for architects; fences (licenses, patents) protect the architects but shrink the commons.

SOLUTION: (a) is correct. Low-cost building on shared code, weakened R&(d) incentives from copying, and the protection-vs-openness tradeoff are all stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Code CAN be quickly copied and improved by others; immutability of deployed contracts does not prevent copying the code.
(c) Incorrect. Knowledge externalities GROW as platform users increase.
(d) Incorrect. Protection LIMITS open-source benefits; that is the tradeoff.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.c | Four-statement audit | Qualifier: "most consistent"

LO 106.d Reading 106

Explain how the proliferation of distributed ledger technologies can impact retail investors and brokerage firms.

Q131.

Reading 106 | LO 106.d

On a tokenized ledger with direct retail trading, an investor bypasses a financial advisor to avoid fees and buys complex derivatives whose risks she does not fully understand, ending up under-diversified. Within the reading's framework, this outcome is best classified as:

(a) An amplified internality.
(b) A negative externality.
(c) A market power inefficiency.
(d) A network externality.

ANSWER: (a)

CONCEPT TESTED: internality recognition in the DLT retail context. Intuition: the harm boomerangs back onto the decision-maker herself: self-inflicted, advisor-bypassing, comprehension-gapped. That is an internality, and direct-access ledgers amplify it, especially absent strong consumer protections.

SOLUTION: (a) is correct. Trading securities whose risks one does not understand, while bypassing advisors to save fees, is the amplified internality DLT enables.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The loss lands on the actor, not on third parties.
(c) Incorrect. No dominant entity is extracting above-market fees here.
(d) Incorrect. No participation-value spillover is involved.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.d | Scenario classification | Qualifier: "best classified"

Q132. Reading 106 | LO 106.d

A market structure analyst explains why brokers in traditional markets can sustain high fees. Which explanation is most consistent with the reading?

(a) Switching brokers is time-consuming and cumbersome; for example, transferring assets in kind in the United States may require going through a clearinghouse, adding delays and complexity, so brokers keep charging higher fees without losing clients.
(b) Brokers sustain high fees because regulators set minimum commission schedules.
(c) Retail investors prefer higher fees as a signal of service quality.
(d) In-kind transfers settle instantly in traditional markets, so fees reflect pure service value.

ANSWER: (a)

CONCEPT TESTED: the switching-cost source of broker market power. Intuition: a heavy door keeps customers inside; the clearinghouse detour for in-kind transfers is the weight on the door.

SOLUTION: (a) is correct. Cumbersome switching, the US clearinghouse route for in-kind transfers, and the resulting fee stickiness are all stated.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The mechanism is switching friction, not mandated commissions.
(c) Incorrect. (a) behavioral story not in the reading.
(d) Incorrect. In-kind transfers involve DELAYS via the clearinghouse; instant settlement is the tokenized outcome.

TRAP:
(b) **SCOPE/CONDITION ERROR** (invented rule)
(c) **SIBLING SWAP** (fabricated mechanism)
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.d | Four-statement audit | Qualifier: "most consistent"

Q133. Reading 106 | LO 106.d

The same analyst then describes what changes for broker switching on a digital ledger. Which statement is correct?

(a) Switching and asset transfer can be instantaneous because transactions and ownership records are immediately verifiable, and the clearinghouse step is eliminated, reducing costs.
(b) Switching remains slow because ledgers must reconcile with legacy clearinghouses for every transfer.
(c) Ledger-based switching is faster but more expensive, since verification fees exceed clearinghouse fees.
(d) Broker fees rise on ledgers because economies of scale disappear.

ANSWER: (a)

CONCEPT TESTED: the ledger's effect on switching frictions. Intuition: when the ownership record is self-evident, the heavy door swings open: instant moves, no clearinghouse toll, and competitive pressure plus scale can push fees down.

SOLUTION: (a) is correct. Instant verifiability, clearinghouse elimination, cost reduction.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. The ledger REMOVES the clearinghouse need; mandatory reconciliation is invented.
(c) Incorrect. Reverses the cost effect.
(d) Incorrect. Increased participation can CREATE economies of scale, and competition pressures fees DOWN.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.d | Four-statement audit | Qualifier: "correct"

Q134. Reading 106 | LO 106.d

A private ledger operator offers free access while building its user base, then introduces fees once the ledger becomes dominant and users are effectively locked in. This behavior best illustrates:

(a) Internalities.
(b) Knowledge externalities.
(c) Market power inefficiencies.
(d) Positive network externalities.

ANSWER: (c)

CONCEPT TESTED: the free-then-fee monopoly rent pattern. Intuition: bait the network, then tax it; once switching away is costly, the dominant operator can charge above-market fees (monopoly rents).

SOLUTION: (c) is correct. Exploiting a dominant position to charge above-market fees after lock-in is the market power inefficiency, with such fees called monopoly rents.

OPTION ANALYSIS:
(a) Incorrect. Users are not harming themselves through misjudgment; they are being charged by a dominant operator.
(b) Incorrect. No innovation spillover is involved.
(c) Correct. As established in the solution above.
(d) Incorrect. Network effects BUILT the dominance, but the fee extraction itself is market power, not the externality.

TRAP:
(a) **SIBLING SWAP**
(b) **SIBLING SWAP**
(d) **SIBLING SWAP** (cause confused with conduct)

Book 5, Reading 106, Module 106.2, LO 106.d | Known GARP-style template (mirrors Schweser Module Quiz 106.2 Q3 structure) | Qualifier: "best illustrates"

Q135.

Reading 106 | LO 106.d

Beyond direct fees, which set of practices does the reading identify as ways a private ledger owner can monetize its position?

(a) Monetizing privileged data by offering credit, selling the data, or charging higher fees to the most active traders.
(b) Donating anonymized data to academic researchers to build goodwill.
(c) Paying rebates to the most active traders to deepen liquidity.
(d) Selling equity stakes in the ledger to its heaviest users.

ANSWER: (a)

CONCEPT TESTED: the privileged-data monetization list. Intuition: the operator sees everyone's cards; that vantage point can be turned into a lending business, a data product, or a discriminatory fee schedule aimed at those who trade most.

SOLUTION: (a) is correct. Credit provision, data sales, and higher fees on the most active traders are the named monetization routes.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Benevolent donation is not a monetization concern raised.
(c) Incorrect. Reverses the fee direction on active traders.
(d) Incorrect. Equity sales to users are not among the described practices.

TRAP:
(b) **SIBLING SWAP** (fabricated benign twin)
(c) **POLARITY FLIP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.d | List audit | Qualifier: "identify"

Q136.

Reading 106 | LO 106.d

A fintech founder pitches a platform where retail investors purchase assets directly from issuers, bypassing brokers entirely and worldwide. Which caveat from the reading most directly tempers this pitch?

(a) In most countries, trading is still required to be conducted through licensed brokers.
(b) Issuers are prohibited from creating tokens for their own assets.
(c) Direct trading would eliminate the internality problem entirely.
(d) Direct trading has no effect on broker fee pressure.

ANSWER: (a)

CONCEPT TESTED: the regulatory boundary on direct trading. Intuition: the technology can open the direct lane, but the law still routes most traffic through the licensed toll booth.

SOLUTION: (a) is correct. Direct issuer-to-investor trading would pressure broker fees, but most jurisdictions still mandate licensed-broker intermediation.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Issuer-direct token issuance is described as a benefit, not a prohibition.
(c) Incorrect. Direct access AMPLIFIES internalities; elimination reverses it.
(d) Incorrect. Direct trading WOULD put additional pressure on broker fees; the caveat is legal, not economic.

TRAP:
(b) **POLARITY FLIP**
(c) **POLARITY FLIP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.d | Four-statement audit | Qualifier: "most directly"

Q137.

Reading 106 | LO 106.d

A consumer protection authority assesses retail risk on direct-access tokenized platforms. Which pairing of driver AND condition is most consistent with the reading?

(a) Investors bypass financial advisors to avoid fees and trade risks they do not fully understand, AND the resulting internalities are most damaging in the absence of strong consumer financial protections.
(b) Investors bypass advisors, AND advisor bypass is harmless because ledgers verify all trades.

(c) Investors rely more on advisors on tokenized platforms, AND protections are therefore unnecessary.
(d) Internalities arise mainly among institutional investors, AND retail protections are misdirected.

ANSWER: (a)

CONCEPT TESTED: the internality driver and its conditioning factor. Intuition: the fee-avoidance shortcut removes the guide exactly when the terrain gets complex; the guardrail that remains is the consumer protection regime.

SOLUTION: (a) is correct. Advisor bypass plus comprehension gaps, conditioned on weak consumer protections, is the stated risk picture.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Verification confirms the TRADE, not the wisdom of it.
(c) Incorrect. Reverses the advisor-reliance direction.
(d) Incorrect. The internality concern centers on RETAIL investors.

TRAP:
(b) **ABSOLUTE-CLAIM TRAP**
(c) **POLARITY FLIP**
(d) **ROLE MISASSIGNMENT**

Book 5, Reading 106, Module 106.2, LO 106.d | Two-part conjunction (5B.5)

Q138. Reading 106 | LO 106.d

Beyond eliminated clearinghouse steps, through which additional channels does the reading suggest broker costs may fall on tokenized ledgers?

(a) Brokers lowering fees under greater competitive pressure, and economies of scale from increased market participation.
(b) Government fee caps and mandatory rebates.
(c) Brokers exiting the market entirely, leaving zero intermediation costs.
(d) Cross-subsidies from ledger operators to brokers.

ANSWER: (a)

CONCEPT TESTED: the secondary cost-reduction channels. Intuition: once customers can walk, brokers must court them (competition), and a bigger crowd spreads the fixed costs thinner (scale).

SOLUTION: (a) is correct. Competitive fee pressure and participation-driven economies of scale are the named additional channels.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. No regulatory price-setting channel is described.
(c) Incorrect. Broker exit is not the stated outcome; most jurisdictions still require licensed brokers.
(d) Incorrect. Fabricated flow; ledger operators are more likely to EXTRACT rents than subsidize brokers.

TRAP:
(b) **SCOPE/CONDITION ERROR** (invented rule)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.d | List audit | Qualifier: "additional channels"

Q139. Reading 106 | LO 106.d

A competition economist defines the fees a dominant private ledger owner extracts once locked-in users cannot easily leave. Which statement is most accurate?

(a) These fees are monopoly rents, and they tend to RISE as the ledger becomes more widely shared and dominant.
(b) These fees are monopoly rents, and they tend to FALL as the ledger becomes more dominant, since scale lowers costs.
(c) These fees are network externalities, priced to reflect each user's contribution to liquidity.
(d) These fees are knowledge externalities, compensating the operator for open-sourcing its code.

ANSWER: (a)

CONCEPT TESTED: the monopoly rent concept and its dominance dynamics. Intuition: the more indispensable the platform, the higher the toll it can charge; scale economics could cut costs, but market power decides the PRICE.

SOLUTION: (a) is correct. Monopoly rents rise with the ledger's sharedness and dominance.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Right label, wrong dynamic: dominance raises extractable rents even if costs fall.
(c) Incorrect. Mislabels an extraction as an externality with an invented pricing story.
(d) Incorrect. Same mislabeling toward the knowledge concept.

TRAP:
(b) **POLARITY FLIP** (cost logic substituted for pricing power)
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.d | Two-answer trap (finalists A vs B) | Polarity-sensitive: rents RISE with dominance

Q140. Reading 106 | LO 106.d

Three observations from a tokenized retail platform: (1) a first-time investor loses heavily on leveraged tokens he misunderstood; (2) the platform's operator raises fees after achieving dominance; (3) each new user makes the platform's markets more liquid for everyone. Which classification triple is correct?

(a) (1) internality; (2) market power inefficiency; (3) positive network externality.
(b) (1) market power inefficiency; (2) internality; (3) negative externality.
(c) (1) negative externality; (2) positive network externality; (3) internality.
(d) (1) internality; (2) knowledge externality; (3) market power inefficiency.

ANSWER: (a)

CONCEPT TESTED: the full taxonomy in one pass. Intuition: harm to self = internality; extraction via dominance = market power; benefit spilling to all from each joiner = positive network externality.

SOLUTION: (a) is correct. Self-harm, rent extraction, participation spillover: the three concepts in their places.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps (1) and (2) and mislabels the liquidity spillover as negative.
(c) Incorrect. Rotates all three labels off their scenarios.
(d) Incorrect. Right on (1), wrong on (2) and (3).

TRAP:
(b) **SIBLING SWAP** + **POLARITY FLIP**
(c) **SIBLING SWAP** (full rotation)
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.d | Choice-matrix style triple classification (5B.5)

LO 106.e Reading 106

Compare different models and methods that are currently available to achieve sharedness, programmability, and trust on a ledger, and describe the conditions under which trust can fail in such models.

Q141. Reading 106 | LO 106.e

A platform architect compares the three models for achieving SHAREDNESS in tokenization. Which description is correct?

(a) Single ledger models place all parties or their intermediaries on one system, with all assets created directly on that system.
(b) Common ledger models require destroying original assets and reissuing them natively on the shared system.
(c) Compatible ledger models place all assets in escrow with a central custodian.
(d) Single ledger models coordinate transfers across many independent ledgers via standardized technology.

ANSWER: (a)

CONCEPT TESTED: the three sharedness models. Intuition: single = one building everyone moves into; common = originals in the vault (escrow) with certificates circulating; compatible = separate buildings speaking one language (interoperability).

SOLUTION: (a) is correct. Single ledger: one system, all parties, native creation.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Destroy-and-reissue is MIGRATION; common ledgers keep originals in escrow, represented by escrow certificates.
(c) Incorrect. Escrow belongs to the COMMON model; compatibility is about standardized, interoperable technology.
(d) Incorrect. Cross-ledger coordination via standards is the COMPATIBLE model.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.e | Category-matching audit | Confusables triple: single vs common vs compatible ledger models

Q142. Reading 106 | LO 106.e

Under a COMMON ledger model, how is a non-native asset that exists on another ledger represented?

(a) The original asset is placed in escrow and represented through an escrow certificate on the common ledger.
(b) The original asset is destroyed on its source ledger and reissued natively on the common ledger.
(c) The original asset remains freely tradable on both ledgers simultaneously.
(d) The common ledger holds only a hyperlink reference to the source ledger's record.

ANSWER: (a)

CONCEPT TESTED: the escrow mechanism, held apart from migration. Intuition: the original goes into the vault; a claim ticket (escrow certificate) circulates on the common ledger.

SOLUTION: (a) is correct. Escrowed original, circulating escrow certificate.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. That is migration, the LO 106.a process, not the common ledger model.
(c) Incorrect. Simultaneous free trading of original and representation would double-count the asset; escrow exists to prevent this.
(d) Incorrect. (a) reference link is not an escrow-backed representation.

TRAP:
(b) **SIBLING SWAP**
(c) **SCOPE/CONDITION ERROR**
(d) **SIBLING SWAP** (fabricated mechanism)

Book 5, Reading 106, Module 106.2, LO 106.e | Confusables pair: common ledger escrow vs migration destroy-and-reissue, differs by: original survives in escrow vs original destroyed

Q143.

Reading 106 | LO 106.e

Two banks operate separate tokenized ledgers built on standardized technology that lets both run the same programs and coordinate transfers between them. This arrangement exemplifies:

(a) A compatible ledger model achieving interoperability.
(b) A single ledger model with two nodes.
(c) A common ledger model with mutual escrow.
(d) A permissionless DLT.

ANSWER: (a)

CONCEPT TESTED: compatible-model recognition. Intuition: two kitchens using identical recipes and a shared pass-through window: separate systems, one standard, coordinated handoffs.

SOLUTION: (a) is correct. Standardized technology, shared programs, coordinated transfers: interoperable compatible ledgers.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Two SEPARATE ledgers rule out the single-system model regardless of node count.
(c) Incorrect. No escrow-and-certificate representation is described.
(d) Incorrect. Permissionless describes a TRUST design (open validation), a different axis from sharedness models.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP** (axis confusion)

Book 5, Reading 106, Module 106.2, LO 106.e | Scenario classification | Qualifier: "exemplifies"

Q144.

Reading 106 | LO 106.e

A systems designer contrasts programmability in digital ledgers with traditional database setups. Which contrast is correct?

(a) In digital ledgers the code and the database are integrated, ensuring coherent, efficient transactions and easier bundling of smart contracts, whereas traditionally external users must send instructions to a separate database operator.
(b) In digital ledgers external users send instructions to a separate operator, whereas traditional databases integrate code and data.
(c) Integration of code and database makes transaction bundling harder because contracts interfere with records.
(d) Programmability refers to the ledger's ability to run on any hardware vendor's chips.

ANSWER: (a)

CONCEPT TESTED: internal programmability. Intuition: the rulebook lives inside the record book; no messenger runs instructions to a separate clerk, so transactions stay coherent and contracts can be chained.

SOLUTION: (a) is correct. Integrated code-and-database vs the traditional external-instruction model; coherence and bundling follow.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Swaps the two architectures.
(c) Incorrect. Integration makes bundling EASIER.
(d) Incorrect. Hardware portability is not the programmability concept.

TRAP:
(b) **SIBLING SWAP** (mirror reversal)
(c) **POLARITY FLIP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.e | Four-statement audit | Qualifier: "correct"

Q145.

Reading 106 | LO 106.e

A governance consultant matches the three TRUST models to their descriptions. Which matching is correct?

(a) Single-operator: one entity manages records and confirms transactions, with trust based on the operator's credibility, supervision, and oversight.
(b) Permissionless DLT: only participants approved by a consortium may validate transactions.

(c) Permissioned DLT: anyone can join, transact, and validate, with validators incentivized through rewards.
(d) Single-operator: a decentralized network of nodes verifies transactions so no single party can alter the ledger.

ANSWER: (a)

CONCEPT TESTED: the trust-model taxonomy. Intuition: single-operator = one trusted clerk; permissionless = an open crowd of validators nobody controls; permissioned = a members-only validator club approved by a central entity or consortium.

SOLUTION: (a) is correct. Centralized management with credibility-, supervision-, and oversight-based trust defines the single-operator system.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Consortium-approved validators define PERMISSIONED DLT.
(c) Incorrect. Open participation with validator rewards defines PERMISSIONLESS DLT.
(d) Incorrect. Decentralized no-single-party control is permissionless, the opposite of single-operator.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP** (polar opposite attributed)

Book 5, Reading 106, Module 106.2, LO 106.e | Category-matching audit | Confusables triple: single-operator vs permissionless vs permissioned

Q146.

Reading 106 | LO 106.e

In a proof-of-work permissionless DLT, an attacker seeks to compromise the consensus mechanism itself. This requires the attacker to gain control of:

(a) More than 50% of the computing power used to validate transactions.
(b) More than 50% of the tokens outstanding on the ledger.
(c) The private keys of the ledger's founding developers.
(d) A majority of seats on the governing consortium.

ANSWER: (a)

CONCEPT TESTED: the majority-compute attack threshold. Intuition: in proof-of-work, votes are measured in computing power; whoever out-computes the honest majority can rewrite the outcome.

SOLUTION: (a) is correct. Consensus compromise in PoW requires control of more than 50% of validating computing power.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Token majority is the wrong resource for a PoW consensus attack; compute, not holdings, is the voting weight.
(c) Incorrect. Developer keys are not the consensus mechanism.
(d) Incorrect. Consortium governance belongs to PERMISSIONED systems; permissionless ledgers have no such body.

TRAP:
(b) **WRONG INPUT TWIN**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP** (model confusion)

Book 5, Reading 106, Module 106.2, LO 106.e | Threshold anchor: over 50% of computing power, PoW, permissionless

Q147.

Reading 106 | LO 106.e

On a permissionless ledger, an attacker manipulates transaction fees to position his own trades immediately before AND after a victim's transaction in the validation queue, profiting from the induced price move. This technique is best described as:

(a) A sandwich attack, a form of front running.
(b) A model poisoning attack.
(c) A prompt injection attack.
(d) Rehypothecation.

ANSWER: (a)

CONCEPT TESTED: the sandwich attack definition. Intuition: the victim's trade is the filling; the attacker's two trades are the bread, placed by outbidding on fees to jump the validation queue.

SOLUTION: (a) is correct. Bracketing a victim's transaction via fee manipulation is the sandwich attack, a front-running form that undermines trust in permissionless ledgers.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Poisoning manipulates model weights or training data, an AI attack from Reading 101's territory.
(c) Incorrect. Prompt injection extracts confidential information from AI models.
(d) Incorrect. Rehypothecation is collateral reuse, not an ordering attack.

TRAP:
(b) **SIBLING SWAP** (cross-reading neighbor)

(c) **SIBLING SWAP**
(d) **SIBLING SWAP**

Book 5, Reading 106, Module 106.2, LO 106.e | Definition discrimination | Qualifier: "best described"

Q148. Reading 106 | LO 106.e

Among the trust models, which is MOST vulnerable to collusion among authorized participants, and what limits that behavior?

(a) Permissioned DLT; collusion is limited by participants' reputational incentives to earn future profits and by regulatory oversight and penalties.
(b) Permissionless DLT; collusion is limited by the consortium's certification process.
(c) Single-operator systems; collusion among many validators is their defining weakness.
(d) Compatible ledgers; interoperability standards prevent collusion.

ANSWER: (a)

CONCEPT TESTED: the collusion vulnerability and its mitigants. Intuition: a members-only validator club is small enough to conspire; what restrains it is that members want to stay members (reputation, future profits) and regulators can punish them.

SOLUTION: (a) is correct. Permissioned DLT can fail if enough certified participants collude to alter the ledger; reputation incentives and regulatory penalties are the stated limits.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Permissionless networks have MANY independent validators, making collusion difficult, and no consortium exists there.
(c) Incorrect. (a) single operator has no one to collude WITH; its weakness is operator failure and credibility.
(d) Incorrect. Compatible ledgers are a SHAREDNESS model; interoperability does not determine trust characteristics.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP** (axis confusion)

Book 5, Reading 106, Module 106.2, LO 106.e | Known GARP-style template (mirrors Schweser Module Quiz 106.2 Q4 structure, extended with mitigants)

Q149. Reading 106 | LO 106.e

Comparing trust-failure risk between a fully centralized single-operator system and a permissioned DLT, which statement is most consistent with the reading?

(a) The risks are similar in kind, but they are even higher in the single-operator system because trust depends entirely on the operator's credibility and the strength of legal protections rather than on consensus among participants.
(b) The single-operator system is safer because one accountable entity is easier to supervise than a consortium.
(c) The two models carry identical risk since both restrict participation.
(d) The permissioned DLT is riskier because consensus requirements slow down fraud detection.

ANSWER: (a)

CONCEPT TESTED: the risk ordering between the two closed trust models. Intuition: the permissioned club at least needs SEVERAL members to conspire; the single operator needs only itself to fail, so everything rides on its credibility and the law.

SOLUTION: (a) is correct. Similar risk types, but higher in the single-operator case, for exactly the stated reason: no consensus backstop.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Supervisability does not reverse the stated ordering; the reading places single-operator risk HIGHER.
(c) Incorrect. "Identical" flattens the stated asymmetry.
(d) Incorrect. Inverts the ordering with an invented consensus-speed mechanism.

TRAP:
(b) **POLARITY FLIP** (plausible governance intuition against the text)
(c) **ABSOLUTE-CLAIM TRAP**
(d) **POLARITY FLIP**

Book 5, Reading 106, Module 106.2, LO 106.e | Two-answer trap (finalists A vs B) | Polarity-sensitive: single-operator risk is HIGHER

Q150. Reading 106 | LO 106.e

A risk officer catalogs the trust weaknesses SPECIFIC to permissionless DLT beyond consensus attacks. Which catalog is most consistent with the reading?

(a) Manipulation of transaction fees enabling front running, greater vulnerability of external information to cyberattacks given the absence of a central authority, and more challenging regulatory compliance enforcement due to decentralization.
(b) Collusion among consortium-certified validators to alter the ledger for their own benefit.
(c) Complete dependence on a single operator's credibility and legal protections.
(d) Loss of programmability whenever validators disagree.

ANSWER: (a)

CONCEPT TESTED: the permissionless weakness set. Intuition: an open, headless system: queue-jumping by fee (front running), no guardian

for outside information feeds, and no doorman for regulators to talk to.

SOLUTION: (a) is correct. Fee-driven front running, cyber-exposed external information, and hard-to-enforce compliance are the stated permissionless-specific weaknesses.

OPTION ANALYSIS:
(a) Correct. As established in the solution above.
(b) Incorrect. Certified-validator collusion is the PERMISSIONED failure mode.
(c) Incorrect. Operator dependence is the SINGLE-OPERATOR failure mode.
(d) Incorrect. Validator disagreement suspending programmability is invented.

TRAP:
(b) **SIBLING SWAP**
(c) **SIBLING SWAP**
(d) **SIBLING SWAP** (fabricated mechanism)

Book 5, Reading 106, Module 106.2, LO 106.e | List audit | Confusables: failure modes by trust model, differs by: WHO can betray the ledger

LEARNING OBJECTIVE COVERAGE MAP

Learning objective	Reading priority	Questions	Range
LO 100.a	VERY IMPORTANT	10	Q1 to Q10
LO 100.b	VERY IMPORTANT	10	Q11 to Q20
LO 100.c	VERY IMPORTANT	10	Q21 to Q30
LO 100.d	VERY IMPORTANT	10	Q31 to Q40
LO 101.a	VERY IMPORTANT	10	Q41 to Q50
LO 101.b	VERY IMPORTANT	10	Q51 to Q60
LO 101.c	VERY IMPORTANT	10	Q61 to Q70
LO 102.a	VERY IMPORTANT	10	Q71 to Q80
LO 102.b	VERY IMPORTANT	10	Q81 to Q90
LO 102.c	VERY IMPORTANT	10	Q91 to Q100
LO 106.a	VERY IMPORTANT	10	Q101 to Q110
LO 106.b	VERY IMPORTANT	10	Q111 to Q120
LO 106.c	VERY IMPORTANT	10	Q121 to Q130
LO 106.d	VERY IMPORTANT	10	Q131 to Q140
LO 106.e	VERY IMPORTANT	10	Q141 to Q150
TOTAL		**150**	**15 LOs, all covered at 10 per LO**

Volume rule applied. Every Very Important learning objective received exactly 10 questions, giving uniform depth across all 15 objectives in the four highest-priority readings. The Important tier (Readings 103, 104, 105, 107) is built separately at 5 questions per LO and is not included in this document.

TYPE CONFIRMATION TABLE

Reading	LO verbs	Assigned type	Confirmation
100	Describe, Explain	Non-Numerical / Qualitative	Confirmed. Statement audits, category matching, definition discrimination. One ranking item (US algorithmic trading penetration by asset class) rests on recall of stated percentages, not calculation, so it stays inside the assigned type.
101	Explain, Identify, Assess	Qualitative	Confirmed. All items discriminate drivers, use case categories, and vulnerability mechanisms. Zero numerical demand.
102	Describe, Discuss, Compare	Qualitative	Confirmed with a caveat. LO 102.b requires interpretation of regression coefficients, signs, and one-standard-deviation effects. These are read and ranked, not computed, so the items remain non-calculation. One basis point magnitude item under LO 102.c (approximately 250 bps) is likewise recall, not arithmetic.
106	Explain, Describe, Compare	Qualitative	Confirmed. All fifty items are conceptual discrimination across features, frictions, externalities, and trust models. Zero numerical demand.

Set Aside section: empty across all four readings. No question in this bank demands a computed answer under a non-numerical or qualitative LO, so no type-misfit items arose. Recorded so the absence is deliberate rather than an oversight.

TRAP OPERATOR INDEX

Operator	Count	Questions
POLARITY FLIP	90	Q2, Q4, Q5, Q7, Q8, Q10, Q11, Q12, Q13, Q15, Q16, Q17, Q18, Q19, Q20, Q24, Q26, Q27, Q28, Q30, Q36, Q38, Q39, Q40, Q42, Q43, Q45, Q46, Q49, Q50, Q52, Q55, Q59, Q60, Q63, Q64, Q65, Q69, Q70, Q71 and 50 more

SIBLING SWAP	77	Q1, Q6, Q8, Q9, Q10, Q12, Q14, Q20, Q21, Q22, Q23, Q24, Q25, Q29, Q34, Q35, Q41, Q44, Q48, Q49, Q51, Q53, Q54, Q55, Q56, Q61, Q67, Q68, Q71, Q72, Q73, Q74, Q77, Q78, Q81, Q83, Q84, Q87, Q88, Q89 and 37 more
ROLE MISASSIGNMENT	21	Q3, Q6, Q14, Q28, Q31, Q33, Q38, Q43, Q47, Q56, Q57, Q66, Q76, Q82, Q94, Q96, Q100, Q103, Q112, Q113, Q137
SCOPE/CONDITION ERROR	55	Q4, Q5, Q7, Q8, Q9, Q14, Q16, Q18, Q19, Q23, Q25, Q28, Q30, Q31, Q35, Q36, Q37, Q38, Q40, Q42, Q48, Q49, Q50, Q52, Q55, Q56, Q58, Q60, Q61, Q64, Q66, Q78, Q79, Q82, Q87, Q89, Q90, Q91, Q92, Q93 and 15 more
ABSOLUTE-CLAIM TRAP	47	Q5, Q6, Q7, Q9, Q15, Q16, Q18, Q19, Q24, Q25, Q27, Q30, Q33, Q36, Q37, Q40, Q45, Q46, Q48, Q50, Q52, Q57, Q60, Q63, Q64, Q65, Q66, Q76, Q77, Q80, Q90, Q91, Q94, Q95, Q100, Q102, Q107, Q110, Q114, Q116 and 7 more
WRONG INPUT TWIN	7	Q2, Q17, Q72, Q86, Q97, Q98, Q146
QUALIFIER-MISREAD BAIT	3	Q32, Q62, Q88
CALCULATION-SLIP	1	Q97

Format mix. Positive qualifiers dominate (most appropriate, most likely, most accurate, most consistent, best describes, correct to include), matching the observed GARP distribution. Negative and superlative qualifiers are used sparingly, as GARP does. Compound formats appear throughout: two-part conjunction options where both halves must be right, and choice-matrix items where each row fills multiple columns. Ranking items are built so a conceptual shortcut decides the answer rather than brute-force comparison. Known GARP-style templates are flagged in the reference line of the items that reproduce them with perturbed content.

HIGH-FREQUENCY CONFUSABLES FROM THIS BANK

Concept	Sibling	Differs by
SupTech	RegTech	WHO deploys it: supervisor versus regulated firm
AI/ML models	Sophisticated AI models	Generation: established predictive tools versus LLMs, deep learning, reinforcement learning
Concentration risk (survey concern)	Third-party operational risk (stability challenge)	Which list frames the same vendor dependence
Prompt injection	Model or data poisoning	Extract information OUT versus corrupt the model IN
Hallucination	Misalignment	Confident factual error versus wrong objective pursued
Supply-side drivers	Demand-side drivers	What makes AI cheaper to build versus what makes firms want it
BDC	Typical PCF	Listed, retail, open-end features versus unlisted, institutional, closed-end
Direct lending	Asset-based lending	Covenants substitute for collateral versus substantial collateral required
CoD level effect	CoD gap effect	Lowering BDCs own WACC versus narrowing the bank to BDC differential
Migration (destroy and reissue)	Common ledger model (escrow)	Fate of the original asset
Trust	Sharedness	Consent-protected ownership versus access and transferability
Externality	Internality	Harm lands on others versus on the decision-maker
Permissioned DLT	Permissionless DLT	Collusion among certified validators versus consensus attack and front running

Clearance rule. A confusable is cleared only after two consecutive correct closed-book discriminations. Reading an explanation does not clear it.